

THIS DRAFT CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM IS PROVIDED FOR INFORMATIONAL PURPOSES ONLY ON A RESTRICTED AND CONFIDENTIAL BASIS AND IS SUBJECT TO FURTHER MODIFICATION, COMPLETION AND AMENDMENT.

CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

May 2025

Limited Partnership Interests of

VANECK PURPOSEBUILT OFFSHORE, LP

(a Cayman Islands exempted limited partnership)

VanEck PurposeBuilt GP, LLC
General Partner

Van Eck Absolute Return Advisers Corporation
Investment Manager

THIS CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM (THE “MEMORANDUM”) IS SUBMITTED TO YOU ON A CONFIDENTIAL BASIS SOLELY IN CONNECTION WITH YOUR CONSIDERATION OF AN INVESTMENT IN LIMITED PARTNERSHIP INTERESTS IN VANECK PURPOSEBUILT OFFSHORE, LP, A CAYMAN ISLANDS EXEMPTED LIMITED PARTNERSHIP (THE “FUND”). DUE TO THE CONFIDENTIAL NATURE OF THIS MEMORANDUM, ITS USE FOR ANY OTHER PURPOSE MIGHT INVOLVE SERIOUS LEGAL CONSEQUENCES. CONSEQUENTLY, THIS MEMORANDUM MAY NOT BE REPRODUCED IN WHOLE OR IN PART, AND MAY NOT BE DELIVERED TO ANY PERSON (OTHER THAN YOUR FINANCIAL ADVISOR) WITHOUT PRIOR WRITTEN CONSENT OF THE GENERAL PARTNER.

CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

VANECK PURPOSEBUILT OFFSHORE, LP

THE INFORMATION CONTAINED IN THIS MEMORANDUM SUPERSEDES ALL PRELIMINARY VERSIONS HEREOF AND ALL OTHER INFORMATION POTENTIAL INVESTORS MAY HAVE RECEIVED FROM VANECK PURPOSEBUILT GP, LLC (THE “GENERAL PARTNER”).

THIS MEMORANDUM IS NOT A PROSPECTUS OR AN ADVERTISEMENT, AND THE OFFERING OF THE LIMITED PARTNERSHIP INTERESTS IS NOT BEING MADE TO THE PUBLIC.

THE LIMITED PARTNERSHIP INTERESTS OF THE FUND WHICH ARE DESCRIBED IN THIS MEMORANDUM HAVE NOT BEEN AND WILL NOT BE REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE “SECURITIES ACT”), OR THE SECURITIES LAWS OF ANY OF THE STATES OF THE UNITED STATES. WITHIN THE UNITED STATES, THIS OFFERING IS MADE AS A PRIVATE PLACEMENT PURSUANT TO SECTION 4(a)(2) OF THE SECURITIES ACT AND THE RULES AND REGULATIONS THEREUNDER, AS AMENDED FROM TIME TO TIME, AND ONLY TO PARTIES THAT ARE “ACCREDITED INVESTORS” AS DEFINED IN RULE 501(a) OF REGULATION D UNDER THE SECURITIES ACT. OUTSIDE THE UNITED STATES, THIS OFFERING IS MADE PURSUANT TO REGULATION S UNDER THE SECURITIES ACT, ONLY TO PARTIES THAT ARE NOT “U.S. PERSONS” AS DEFINED IN SUCH REGULATION, AND PURSUANT TO EXEMPTIONS FROM APPLICABLE SECURITIES LAWS OF OTHER COUNTRIES.

THESE INTERESTS HAVE NOT BEEN APPROVED OR DISAPPROVED BY THE U.S. SECURITIES AND EXCHANGE COMMISSION (THE “SEC”), NEITHER HAS THE SEC NOR ANY STATE SECURITIES COMMISSION, NOR OTHER REGULATORY AUTHORITY PASSED UPON THE ACCURACY OR ADEQUACY OF THESE OFFERING MATERIALS. ANY REPRESENTATION TO THE CONTRARY IS UNLAWFUL.

THE FUND AND VANECK PURPOSEBUILT FUND, LP, A CAYMAN ISLANDS EXEMPTED LIMITED PARTNERSHIP (THE “MASTER FUND”), ARE EACH REQUIRED TO REGISTER AS A MUTUAL FUND UNDER THE MUTUAL FUNDS ACT (AS REVISED) OF THE CAYMAN ISLANDS. A MUTUAL FUND LICENCE ISSUED OR A FUND REGISTERED BY THE CAYMAN ISLANDS MONETARY AUTHORITY (THE “AUTHORITY”) DOES NOT CONSTITUTE AN OBLIGATION OF THE AUTHORITY TO ANY INVESTOR AS TO THE PERFORMANCE OR CREDITWORTHINESS OF THE FUND. FURTHERMORE, IN ISSUING SUCH A LICENCE OR IN REGISTERING A FUND, THE AUTHORITY SHALL NOT BE LIABLE FOR ANY LOSSES OR DEFAULT OF THE FUND OR THE MASTER FUND OR FOR THE CORRECTNESS OF ANY OPINIONS OR STATEMENTS EXPRESSED IN ANY PROSPECTUS OR OFFERING DOCUMENT OR ANY MATERIAL USED TO SOLICIT THE PURCHASE OF INVESTMENT INTERESTS IN A FUND SUCH AS THE FUND OR THE MASTER FUND. NEITHER THE AUTHORITY NOR ANY OTHER GOVERNMENTAL AUTHORITY IN THE CAYMAN ISLANDS HAS COMMENTED ON OR APPROVED THE TERMS OR MERITS OF THIS DOCUMENT. THERE IS NO INVESTMENT COMPENSATION SCHEME AVAILABLE TO INVESTORS IN THE CAYMAN ISLANDS.

ALL DISPUTES AS TO THE TERMS SHALL BE GOVERNED BY AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE CAYMAN ISLANDS.

EXCEPT AS OUTLINED IN THE FUND'S PRIVACY NOTICE, ANY INFORMATION FORWARDED TO THE FUND BY A PROSPECTIVE INVESTOR WILL BE TREATED ON A CONFIDENTIAL BASIS PROVIDED THAT IF REQUIRED TO DO SO BY LAW OR REGULATION, THE FUND MAY PASS ON THAT INFORMATION TO A RELEVANT THIRD PARTY. BY SUBSCRIBING FOR LIMITED PARTNERSHIP INTERESTS, EACH INVESTOR IS DEEMED TO HAVE CONSENTED TO SUCH RELEASE OF CONFIDENTIAL INFORMATION PURSUANT TO THE CONFIDENTIAL DISCLOSURE ACT (REVISED) OF THE CAYMAN ISLANDS. THE FUND WILL NOT UNDERTAKE BUSINESS WITH THE PUBLIC IN THE CAYMAN ISLANDS OTHER THAN SO FAR AS MAY BE NECESSARY FOR THE CARRYING ON OF THE BUSINESS OF THE FUND EXTERIOR TO THE CAYMAN ISLANDS. FOR THESE PURPOSES, "PUBLIC" HAS THE SAME MEANING AS "PUBLIC IN THE ISLANDS" AS DEFINED IN THE EXEMPTED LIMITED PARTNERSHIP ACT (AS REVISED) OF THE CAYMAN ISLANDS AND EXCLUDES, INTER ALIA, ANY EXEMPTED COMPANY, ORDINARY NON-RESIDENT COMPANY OR FOREIGN REGISTERED COMPANY, EACH AS REGISTERED UNDER THE COMPANIES ACT (AS REVISED) OF THE CAYMAN ISLANDS, OR A FOREIGN LIMITED PARTNERSHIP REGISTERED UNDER THE EXEMPTED LIMITED PARTNERSHIP ACT (AS REVISED) OF THE CAYMAN ISLANDS.

THIS MEMORANDUM DOES NOT CONSTITUTE AN OFFER OR SOLICITATION IN ANY STATE OR OTHER JURISDICTION IN WHICH AN OFFER OR SOLICITATION IS NOT AUTHORIZED.

NO REPRESENTATIONS OR WARRANTIES OF ANY KIND ARE INTENDED OR SHOULD BE INFERRED WITH RESPECT TO THE ECONOMIC RETURN OR THE TAX CONSEQUENCES FROM AN INVESTMENT IN THE FUND. NO ASSURANCE CAN BE GIVEN THAT EXISTING LAWS WILL NOT BE CHANGED OR INTERPRETED ADVERSELY TO THE FUND OR THE PARTNERS. PROSPECTIVE INVESTORS ARE NOT TO CONSTRUE THIS MEMORANDUM AS INVESTMENT, LEGAL OR TAX ADVICE AND THIS MEMORANDUM IS NOT INTENDED TO PROVIDE THE SOLE BASIS FOR ANY EVALUATION OF AN INVESTMENT IN AN INTEREST. PRIOR TO ACQUIRING AN INTEREST, A PROSPECTIVE INVESTOR SHOULD CONSULT WITH ITS OWN LEGAL, INVESTMENT, TAX, ACCOUNTING AND OTHER ADVISORS TO DETERMINE THE POTENTIAL BENEFITS, BURDENS AND OTHER CONSEQUENCES OF SUCH INVESTMENT. IN PARTICULAR, IT IS THE RESPONSIBILITY OF EACH INVESTOR TO ENSURE THAT THE LEGAL AND REGULATORY REQUIREMENTS OF ANY RELEVANT JURISDICTION OUTSIDE THE UNITED STATES ARE SATISFIED IN CONNECTION WITH SUCH INVESTOR'S ACQUISITION OF AN INTEREST.

NO PERSON OTHER THAN THE GENERAL PARTNER HAS BEEN AUTHORIZED TO MAKE REPRESENTATIONS, OR GIVE ANY INFORMATION, WITH RESPECT TO THESE LIMITED PARTNERSHIP INTERESTS, EXCEPT THE INFORMATION CONTAINED HEREIN, AND ANY INFORMATION OR REPRESENTATION NOT CONTAINED HEREIN OR OTHERWISE SUPPLIED BY THE GENERAL PARTNER IN WRITING MUST NOT BE RELIED UPON AS HAVING BEEN AUTHORIZED BY THE FUND OR ANY OF ITS PARTNERS. ANY FURTHER DISTRIBUTION OR REPRODUCTION OF THIS MEMORANDUM, IN WHOLE OR IN PART, OR THE DIVULGENCE OF ANY OF ITS CONTENTS, IS PROHIBITED.

THE FUND WILL MAKE AVAILABLE TO EACH INVESTOR OR HIS AGENT, DURING THIS OFFERING AND PRIOR TO THE SALE OF ANY INTERESTS, THE OPPORTUNITY TO ASK QUESTIONS OF AND RECEIVE ANSWERS FROM REPRESENTATIVES OF THE GENERAL PARTNER CONCERNING ANY ASPECT OF THE FUND AND ITS PROPOSED BUSINESS AND TO OBTAIN ANY ADDITIONAL RELATED INFORMATION TO THE EXTENT THE FUND POSSESSES SUCH INFORMATION OR CAN ACQUIRE IT WITHOUT UNREASONABLE EFFORT OR EXPENSE.

EXCEPT WHERE OTHERWISE SPECIFICALLY INDICATED, THIS MEMORANDUM IS AS OF THE DATE HEREOF. NEITHER THE SUBSEQUENT DELIVERY OF THIS MEMORANDUM NOR ANY SALE OF INTERESTS SHALL BE DEEMED A REPRESENTATION THAT THERE HAS BEEN NO CHANGE IN THE AFFAIRS, PROSPECTS OR ATTRIBUTES OF THE FUND SINCE THE DATE HEREOF. ALL DUTIES TO UPDATE THIS MEMORANDUM ARE HEREBY DISCLAIMED.

THE FUND IS NOT REGISTERED AS AN INVESTMENT COMPANY UNDER THE UNITED STATES INVESTMENT COMPANY ACT OF 1940, AS AMENDED (THE "INVESTMENT COMPANY ACT"). VAN ECK ABSOLUTE RETURN ADVISERS CORPORATION (THE "INVESTMENT MANAGER") IS CURRENTLY REGISTERED AS AN INVESTMENT ADVISER UNDER THE UNITED STATES INVESTMENT ADVISERS ACT OF 1940, AS AMENDED ("INVESTMENT ADVISERS ACT"). REGISTRATION AS AN INVESTMENT ADVISER DOES NOT IMPLY ANY CERTAIN LEVEL OF SKILL OR TRAINING.

WHILE THE FUND MAY TRADE COMMODITY FUTURES, COMMODITY OPTIONS CONTRACTS AND OTHER CFTC REGULATED PRODUCTS (COLLECTIVELY, "COMMODITY INTERESTS"), THE GENERAL PARTNER INTENDS TO RELY ON AN EXEMPTION FROM REGULATION AS A COMMODITY POOL OPERATOR ("CPO") WITH THE COMMODITY FUTURES TRADING COMMISSION ("CFTC") IN CONNECTION WITH PRIVATE INVESTMENT FUNDS WHOSE PARTICIPANTS ARE ACCREDITED INVESTORS, AS DEFINED IN REGULATION D UNDER THE SECURITIES ACT OF 1933, CERTAIN FAMILY TRUSTS AND CERTAIN PERSONS AFFILIATED WITH THE GENERAL PARTNER PURSUANT TO CFTC RULE 4.13(A)(3). AT ALL TIMES, THE FUND INTENDS TO UTILIZE COMMODITY INTERESTS SUCH THAT EITHER (1) NO MORE THAN 5% OF ITS ASSETS ARE USED TO ESTABLISH COMMODITY INTEREST POSITIONS OR (2) THE NOTIONAL VALUE OF ITS COMMODITY INTEREST POSITIONS DOES NOT EXCEED 100% OF THE FUND'S LIQUIDATION VALUE. UNLIKE A REGISTERED CPO, THE GENERAL PARTNER IS NOT REQUIRED TO DELIVER A DISCLOSURE DOCUMENT AND A CERTIFIED ANNUAL REPORT TO LIMITED PARTNERS. THE CFTC HAS NOT REVIEWED OR APPROVED THIS OFFERING OR ANY DISCLOSURE DOCUMENT FOR THE FUND. THE INVESTMENT MANAGER IS CURRENTLY REGISTERED AS A COMMODITY POOL OPERATOR AND A COMMODITY TRADING ADVISOR WITH THE CFTC. REGISTRATION AS A COMMODITY POOL OPERATOR OR A COMMODITY TRADING ADVISOR DOES NOT IMPLY ANY CERTAIN LEVEL OF SKILL OR TRAINING.

THIS MEMORANDUM SHALL NOT CONSTITUTE AN OFFER TO SELL OR THE SOLICITATION OF AN OFFER TO BUY NOR SHALL THERE BE ANY SALE OF INTERESTS IN THE FUND IN ANY JURISDICTION IN WHICH SUCH OFFER, SOLICITATION OR SALE IS NOT AUTHORIZED OR TO ANY PERSON TO WHOM IT IS UNLAWFUL TO MAKE SUCH OFFER, SOLICITATION OR SALE. NO PERSON HAS BEEN AUTHORIZED TO MAKE ANY

REPRESENTATIONS CONCERNING THE FUND WHICH ARE INCONSISTENT WITH THOSE CONTAINED IN THIS MEMORANDUM. PROSPECTIVE INVESTORS SHOULD NOT RELY ON ANY INFORMATION NOT CONTAINED IN THIS MEMORANDUM.

NOTHING CONTAINED HEREIN IS, OR SHOULD BE RELIED UPON AS, A PROMISE OR REPRESENTATION AS TO THE FUTURE PERFORMANCE OF THE FUND. STATEMENTS, ESTIMATES AND PROJECTIONS WITH RESPECT TO SUCH FUTURE PERFORMANCE SET FORTH IN THIS MEMORANDUM ARE BASED UPON ASSUMPTIONS MADE BY THE GENERAL PARTNER WHICH MAY OR MAY NOT PROVE TO BE CORRECT. NO REPRESENTATION IS MADE AS TO THE ACCURACY OF SUCH STATEMENTS, ESTIMATES OR PROJECTIONS.

CERTAIN OF THE FACTUAL STATEMENTS MADE IN THIS MEMORANDUM ARE BASED UPON INFORMATION FROM VARIOUS SOURCES BELIEVED BY THE GENERAL PARTNER TO BE RELIABLE. THE GENERAL PARTNER AND THE FUND HAVE NOT INDEPENDENTLY VERIFIED ANY OF SUCH INFORMATION AND SHALL HAVE NO LIABILITY ASSOCIATED WITH THE INACCURACY OR INADEQUACY THEREOF.

IN MAKING AN INVESTMENT DECISION, INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE FUND AND THE TERMS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED. THESE SECURITIES HAVE NOT BEEN RECOMMENDED BY ANY U.S. FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THIS MEMORANDUM. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

PROSPECTIVE INVESTORS SHOULD NOT CONSTRUE THE CONTENTS OF THIS MEMORANDUM AS LEGAL, TAX OR FINANCIAL ADVICE. EACH PROSPECTIVE INVESTOR SHOULD CONSULT ITS OWN PROFESSIONAL ADVISORS AS TO THE LEGAL, TAX, FINANCIAL OR OTHER MATTERS RELEVANT TO THE SUITABILITY OF AN INVESTMENT IN THE FUND FOR SUCH INVESTOR.

THESE SECURITIES ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE SECURITIES ACT AND APPLICABLE STATE SECURITIES LAWS, PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM, AND MAY NOT BE SOLD OR OTHERWISE TRANSFERRED EXCEPT IN ACCORDANCE WITH THE REQUIREMENTS AND CONDITIONS DESCRIBED IN THIS MEMORANDUM. INVESTORS SHOULD BE AWARE THAT THEY WILL BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME SUBJECT TO REDEMPTION RIGHTS WHICH ARE DESCRIBED IN GREATER DETAIL IN THIS MEMORANDUM.

THIS MEMORANDUM IS INTENDED SOLELY FOR THE USE OF THE PERSON TO WHOM IT HAS BEEN DELIVERED BY THE GENERAL PARTNER, THE INVESTMENT MANAGER, OR THE AUTHORIZED REPRESENTATIVE OF EITHER FOR THE PURPOSE OF EVALUATING A POSSIBLE INVESTMENT BY THE RECIPIENT IN THE LIMITED PARTNERSHIP INTERESTS DESCRIBED HEREIN. NOTWITHSTANDING ANYTHING HEREIN TO THE CONTRARY, EACH INVESTOR (AND EACH EMPLOYEE, REPRESENTATIVE, OR OTHER AGENT OF THE INVESTOR) MAY DISCLOSE TO ANY AND

ALL PERSONS, WITHOUT LIMITATION OF ANY KIND, THE TAX TREATMENT AND TAX STRUCTURE OF AN INVESTMENT IN THE FUND AND ALL MATERIALS OF ANY KIND (INCLUDING OPINIONS OR OTHER TAX ANALYSES) THAT ARE PROVIDED TO THE INVESTOR RELATING TO SUCH TAX TREATMENT AND TAX STRUCTURE.

EACH INVESTOR THAT ACQUIRES AN INTEREST WILL BECOME SUBJECT TO THE PARTNERSHIP AGREEMENT AND APPLICABLE SUBSCRIPTION DOCUMENTS. IN THE EVENT ANY TERMS OR PROVISIONS OF SUCH PARTNERSHIP AGREEMENT OR SUBSCRIPTION DOCUMENTS CONFLICT WITH THE INFORMATION CONTAINED IN THE MEMORANDUM, SUCH PARTNERSHIP AGREEMENT OR SUBSCRIPTION DOCUMENTS SHALL CONTROL.

UNLESS OTHERWISE INDICATED, ALL REFERENCES TO “\$” OR “DOLLARS” HEREIN ARE REFERENCES TO U.S. DOLLARS. CAPITALIZED TERMS USED, BUT NOT DEFINED, HEREIN SHALL HAVE THE MEANINGS GIVEN TO THEM IN THE LIMITED PARTNERSHIP AGREEMENT OF THE FUND, AS AMENDED. WHENEVER THE MASCULINE OR FEMININE GENDER IS USED IN THIS MEMORANDUM, IT WILL EQUALLY, WHERE THE CONTEXT PERMITS, INCLUDE THE OTHER, AS WELL AS INCLUDE ENTITIES.

ATTENTION RESIDENTS OF FLORIDA:

WHERE SALES ARE MADE TO PERSONS IN FLORIDA (EXCLUDING CERTAIN INSTITUTIONAL PURCHASERS DESCRIBED IN SECTION 517.061(9) OF THE FLORIDA SECURITIES AND INVESTOR PROTECTION ACT (THE “FLORIDA ACT”)), ANY SUCH SALE MADE PURSUANT TO SECTION 517.061(10) OF THE FLORIDA ACT SHALL BE VOIDABLE BY THE INVESTOR WITHIN THREE DAYS AFTER THE FIRST TENDER OF CONSIDERATION IS MADE BY SUCH INVESTOR TO THE FUND THAT INVESTOR EXPRESSLY VOIDS THE PURCHASE. THE INVESTOR’S NOTICE TO THE FUND MUST BE SENT BY E-MAIL TO THE FUND’S E-MAIL ADDRESS SET FORTH HEREIN OR BY HAND DELIVERY, COURIER SERVICE, OR OTHER METHOD BY WHICH WRITTEN PROOF OF DELIVERY TO THE FUND OF THE INVESTOR’S ELECTION TO RESCIND THE PURCHASE IS EVIDENCED.

DIRECTORY

Registered Office	Ogier Global (Cayman) Limited 89 Nexus Way, Camana Bay Grand Cayman, KY1-9009 Cayman Islands
General Partner	VanEck PurposeBuilt GP, LLC 666 Third Avenue, 9 th Floor New York, NY 10017
Investment Manager	Van Eck Absolute Return Advisers Corporation 666 Third Avenue, 9 th Floor New York, NY 10017
Administrator	Securitize Fund Services, LLC 78 SW 7 th Suite 500 Miami, FL 33130
Auditor	Cohen & Company (Cayman) 67 Fort Street, 2nd Floor, P.O. Box 1748 GT Grand Cayman KY1-1109 Cayman Islands
Custodians	State Street Bank and Trust Company 1290 Avenue of Americas New York, NY 10104 Coinbase Custody International, Ltd. c/o JTC Group Ground Floor, 45 Mespil Road Dublin D04 W2F1
U.S. Legal Counsel	Cole-Frieman & Mallon LLP 201 California Street, Suite 350 San Francisco, CA 94111 Telephone: 415-352-2300 Facsimile: 415-493-0154 Contact: Karl Cole-Frieman
Cayman Counsel	Ogier (Cayman) LLP 89 Nexus Way Camana Bay, Grand Cayman Cayman Islands KY1-9009 Telephone: +1 345 815 1816 Contact: Justin Savage

Requests for additional information should be sent to the General Partner.

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SUMMARY OF KEY TERMS

The following information is a summary of several aspects of an investment in the Fund and is qualified in its entirety by the detailed information provided elsewhere in this Memorandum and the attached exhibits, including the Limited Partnership Agreement for the Fund, as amended or restated from time to time (the “Partnership Agreement”). This Memorandum, the accompanying exhibits, and supporting documents must be read in their entirety by prospective investors. Capitalized terms used, but not defined, herein shall have the meanings given to them in the Partnership Agreement.

THE FUND

VanEck PurposeBuilt Offshore, LP is a Cayman Islands exempted limited partnership formed on March 27, 2025.

THE GENERAL PARTNER AND THE INVESTMENT MANAGER

VanEck PurposeBuilt GP, LLC, a Delaware limited partnership formed on March 24, 2025, is the General Partner of the Fund. The General Partner is responsible for the business and affairs of the Fund.

Van Eck Absolute Return Advisers Corporation, a Delaware corporation is the Investment Manager of the Fund and, pursuant to an investment management agreement (the “Investment Management Agreement”), has full and sole discretionary authority over the investments of the Fund and the management of the Fund’s portfolio. The Investment Manager, in consultation with the General Partner, is responsible for the formation of the Fund’s investment policies and strategies.

See section “Management” below for additional information on the General Partner and its key personnel.

THE MASTER FUND AND THE ONSHORE FUND

The Fund invests substantially all of its assets through a “master-feeder” fund structure in VanEck PurposeBuilt Fund, LP, a Cayman Islands exempted limited partnership (the “Master Fund”), that will conduct the investment activities described in this Memorandum, although the Fund may conduct some or all of those activities directly. The Master Fund’s limited partners will be the Fund and one or more other investment funds managed by the Investment Manager with the same or substantially similar investment objectives as the Fund’s, including but not limited to VanEck PurposeBuilt Onshore, LP, a Delaware limited partnership (the “Onshore Fund” and together with the Fund and other investment vehicles that invest in the Master Fund, the “Feeder Funds”). Even during periods in which the Fund’s assets are invested primarily through the Master Fund, the Fund and/or other Feeder Funds may invest some of their assets directly rather than through the Master Fund. References herein to the Fund’s investments include investments made through the Master Fund. Generally,

Feeder Funds that invest in the Master Fund will share indirectly the administrative and other expenses of the Master Fund pro rata based on their interest in the Master Fund.

INVESTMENT OBJECTIVE AND STRATEGY

The Fund's investment objective is to provide capital appreciation through investing primarily in Digital Assets (defined below), Digital Asset projects, tokenized real world assets ("RWAs") and Digital Asset companies associated with networks or protocols based on the Avalanche technology (the "Avalanche ecosystem").

The Fund will seek to achieve its investment objective by making (i) investments in Digital Assets and (ii) equity, equity-like, and debt investments in private emerging companies in the Digital Asset and blockchain technology sector ("Portfolio Companies"). For the purposes of this Memorandum, the Fund's investments in Portfolio Companies and Digital Assets are collectively referred to as "Investments".

The Fund may also pursue direct or indirect investments in liquid and illiquid digital assets, including, but not limited to, digital currencies, cryptocurrencies, decentralized application tokens and protocol tokens, cryptographic tokens, non-fungible tokens ("NFTs"), RWAs, smart contracts, blockchain-based assets, distributed ledger-based assets, cryptoassets, digital currency networks, digital coins, stablecoins, altcoins, cryptocurrency platforms, decentralized finance ("DeFi") assets, network participations, initial coin offerings ("ICOs"), pre-ICOs, simple agreements for future tokens ("SAFTs"), simple agreements for future equity ("SAFEs"), token warrants, decentralized autonomous organizations ("DAOs") and their underlying protocol tokens, liquidity pools, and DeFi protocols, and other cryptofinance or digital assets that currently exist or may exist in the future (collectively, "Digital Assets"). In connection with the Fund's investments in Digital Assets, the Investment Manager may employ a variety of strategies, including but not limited to, staking and yield-farming.

The Fund may pursue Investments in Portfolio Companies, including, without limitation, venture and private equity style investments in pre-seed, seed, and early-stage companies. In connection with its investments in the Portfolio Companies, the Fund may purchase, without limitation, equity and equity-related securities (including options and warrants for such securities), debt securities (including convertible debt), Digital Assets, or receive certain other securities, options, or warrants that are convertible into equity securities, debt

securities, or Digital Assets. The Fund may also invest in initial public offerings and private investments in public equities.

The Fund expects that its Investments will focus on Digital Assets and Portfolio Companies that leverage the Avalanche ecosystem.

The Investment Manager utilizes a risk-based approach to Digital Asset allocation with the aim of providing the flexibility to adjust in adverse market conditions.

There can be no assurance that the Fund will achieve this objective or that substantial losses will not be incurred.

THE OFFERING

The Fund is offering limited partnership interests (the “Limited Partnership Interests” or “Interests”) to certain qualified investors as described herein and in the Subscription Documents.

Interests may be offered by any form of general solicitation or general advertising pursuant to Rule 506(c) under Regulation D promulgated under the Securities Act of 1933, as amended (the “Securities Act”), provided that the Fund takes reasonable steps to verify that each prospective investor is an “accredited investor” as that term is defined in Rule 501(a) of Regulation D and complies with all applicable laws and regulations. Each prospective investor must have completed and submitted all requested documentation necessary for the Fund to make such verification. Each Limited Partner will be required to represent and warrant to the Fund in connection with its subscription, among other things, that the Limited Partner: (i) is acquiring an Interest for its own account for investment purposes only and not with a view toward resale or other distribution in whole or in part; and (ii) will not transfer, sell or otherwise dispose of its Interest in any manner that will violate the Securities Act or other applicable laws, rules or regulations. Interests are offered to non-U.S. Persons and a limited number of U.S. Persons that are an “accredited investor” as that term is defined in Rule 501(a) of Regulation D promulgated under the Securities Act, a “qualified purchaser” as that term is defined in Section 2(a)(51) of the Investment Company Act, and exempt from U.S. Federal income taxation.

The minimum initial investment that will be accepted from a new Limited Partner is \$1,000,000 and the minimum additional investment that will be accepted from an existing Limited Partner is \$250,000. The General Partner may raise

or lower the minimum investment amounts from time to time and accept Capital Contributions below the established minimums in its sole discretion. Capital Contributions will be credited to the Fund as of the first business day of each month or on such other day or days as the General Partner may from time to time determine; provided that, if the first business day of the month is not the first calendar day of such month, such Capital Contribution (and the establishment of the related Capital Account) will be deemed for all purposes to be made on or as of such first calendar day irrespective of the day such Capital Contribution is actually processed. The General Partner may reject any Capital Contribution in its sole discretion.

The Fund may, in the General Partner's sole discretion, accept Capital Contributions in-kind (i.e., in the form of securities, Digital Assets, or other assets), in lieu of, or in addition to, cash as payment for Interests.

If the General Partner accepts a Limited Partner's In-Kind Contribution to the Fund, the Fund may, in the General Partner's discretion, assess a special charge against such Limited Partner equal to the actual costs incurred by the Fund in connection with accepting such In-Kind Contribution, including the costs of liquidating such In-Kind Contribution or otherwise adjusting the Fund's portfolio to accommodate such investment. **Any Limited Partner who contributes In-Kind Contributions to the Fund should consult with such Limited Partner's tax advisors as to the tax effect of such contribution.**

In-Kind Contributions will be valued in accordance with the General Partner's valuation policy. Changes in relative value of the Digital Asset(s) against the U.S. dollar will affect the value of the In-Kind Contribution and may result in a Limited Partner's Capital Account being credited with a higher or lower U.S. dollar value of the In-Kind Contribution at the time it is sent to the Fund. Moreover, all of the risks of the Fund's trading of Digital Assets described in this Memorandum will thus be borne directly by the Limited Partner during the period from when such In-Kind Contribution is accepted by the Fund and when such In-Kind Contribution is credited to the Fund.

RISK FACTORS

The investment program of the Fund is speculative and entails substantial risks. There can be no assurance that the investment objective of the Fund will be achieved and that investors will not incur losses. Moreover, an investment in the Fund provides limited liquidity since the Interests are not freely transferable, and the Limited Partners will have limited

withdrawal rights. All investments risk a total loss of capital. See section “Risk Factors” below.

This section does not purport to be a complete enumeration or explanation of the risks involved in the Fund.

MANAGEMENT FEE

The Investment Manager will receive a monthly management fee, calculated at an annual rate of 2.0% (approximately 0.1667% per month) of each Limited Partner’s Capital Account (the “Management Fee”).

The Management Fee will be calculated and paid monthly in arrears based on the value of each Limited Partner’s Capital Account, as of the last day of the calendar month. The Investment Manager may, in its sole discretion, elect for the Management Fee to be paid by the Master Fund on behalf of the Fund. To the extent the Management Fee is paid by the Master Fund, no Management Fee will be paid at the Fund level. The Investment Manager may elect to reduce, otherwise modify, or waive the Management Fee with respect to any Limited Partner. If a Limited Partner makes a Capital Contribution at any time other than at the beginning of a calendar month, a pro rata portion of the Management Fee will be paid to the Investment Manager (based on the actual number of days remaining in such partial month).

EXPENSES

The Fund bears and shall be responsible for its own expenses, including its *pro rata* portion of the expenses of the Master Fund, including, but not limited to: (i) Management Fees; (ii) its *pro rata* share of the Organizational Expenses (as defined below); (iii) all general investment expenses (i.e., exchange commissions and expenses, brokerage commissions, research expenses, data processing costs and expenses, hardware and physical vaults for storage of private keys, bank service fees, interest expenses, borrowing charges, custodial expenses, prime brokerage, staking and other digital asset service provider fees, outsourced risk management advisory and software, investment-related consultants and travel costs that are research-related and other investment expenses); (iv) all administrative, legal, accounting, auditing, record-keeping, tax form preparation, compliance, and consulting costs and expenses; (v) all fees, costs and expenses related to middle office operations which may include daily reconciliation of cash, cost, positions, and valuations; (vi) fees, costs, and expenses of third-party service providers that provide such services; (vii) costs and expenses associated with preparing investor communications, printing, and mailing costs; (viii) insurance costs and expenses (e.g., for the assets of the Fund,

D&O, E&O); (ix) marketing and syndication expenses; (x) taxes and other governmental charges; (xi) governmental licensing, filing, and exemption fees (including Blue Sky filing fees); (xii) indemnification obligations; (xiii) all judgments, settlements, fines, and expenses (including reasonable attorneys' fees) incurred in connection with any actual, anticipated, or threatened litigation or governmental inquiry, investigation, or proceeding, including any examination, audit, request for information, subpoena, or any similar request or requirement from the U.S. Internal Revenue Service ("IRS"), the U.S. Securities and Exchange Commission ("SEC"), or any other local, state, U.S. Federal, or foreign authority; and (xiv) any extraordinary expenses.

Each of the General Partner and the Investment Manager bears its own expenses, including office space and utilities, computer equipment and software (not otherwise paid by the Fund) and secretarial, clerical, employee related and other personnel, except as assumed by the Fund.

Expenses incurred with respect to the following Fund matters will be paid or borne by the Fund (collectively, the "Organizational Expenses"): (i) all costs and expenses related to the formation and organization of the Fund, the Onshore Fund, the Master Fund and any other Feeder Fund and the offering and sale of the Interests and shares in the Onshore Fund and any parallel investment vehicle (such costs and expenses may be aggregated at the Master Fund level and paid or borne pro rata by the Feeder Funds and the parallel investment vehicles, if any, except to the extent such aggregation would, in the General Partner's sole discretion, result in an unfair distribution of such costs and expenses among investors in the Feeder Funds) and (ii) the negotiation, execution, and delivery of the Partnership Agreement, any side letter, any investment management agreement, and any related or similar documents, including, without limitation, any related legal and accounting fees and expenses, travel expenses, and filing fees. At the option of the General Partner, the Organizational Expenses paid or borne by the Fund may be amortized over a period of 60 months from the date the Fund commenced operations. The amortization of applicable Organizational Expenses over 60 months is not in accordance with U.S. generally accepted accounting principles ("GAAP") and could result in an exception opinion in the auditors' report in the annual audited financial statements if the difference between amortization and recognition of these expenditures when incurred is deemed material to the financial statements. The General Partner may accelerate the

**ALLOCATION OF NET
INCOME OR NET LOSS;
PERFORMANCE
ALLOCATION**

amortization of applicable Organizational Expenses in its sole discretion.

Subject to the General Partner's right to receive a Performance Allocation as described below, the Net Income or Net Loss of the Fund (including realized and unrealized gains and losses) will be allocated to each Limited Partner and the General Partner in proportion to their respective Capital Account balances.

In addition to its proportionate share of the Net Income and Net Losses based on its Capital Account balance, the General Partner will be allocated from the Master Fund an allocation (the "Performance Allocation"), generally annually, equal to 20% of the Net Income allocated to each Limited Partner for the fiscal year.

A Performance Allocation is generally made at the end of each calendar year and as of any date on which a Limited Partner makes a withdrawal from the Fund. The General Partner, in its sole discretion, may elect to reduce, otherwise modify, or waive the Performance Allocation for any Limited Partner. The Performance Allocation with respect to the assets of the Fund will generally be structured as an allocation of profits at the Master Fund level rather than the Fund level for tax, regulatory or operational reasons so long as and to the extent that the Fund's assets are invested in the Master Fund, but in such event will be paid after taking into account the fees and expenses of the Fund. In such an event, no Performance Allocation will be made to the General Partner at the Fund level, but the amount of profits otherwise allocable to the Fund by the Master Fund will be reduced by the amount of the Performance Allocation prior to allocation to the Fund and subsequent allocation to Limited Partners' Capital Accounts.

Performance Allocations are subject to a "High Water Mark" provision under which the General Partner receives a Performance Allocation from a Limited Partner only to the extent Net Income allocated to that Limited Partner's Capital Account exceeds any Net Losses previously allocated to it since the last date a Performance Allocation was assessed (or the date of such Limited Partner's initial Capital Contribution if no Performance Allocation has previously been assessed). If a Limited Partner makes a partial withdrawal or receives a distribution at a time when it has unrecovered losses, those unrecovered losses will be reduced in proportion to the withdrawal for purposes of calculating future Performance Allocations. The "High Water Mark" provision prevents the

General Partner from receiving a Performance Allocation on Net Income that simply restores previous Net Losses.

WITHDRAWALS

Generally, a Limited Partner may make withdrawals from such Limited Partner's Capital Account as of the last day of any calendar quarter upon 30 calendar days' prior written notice, subject to the Investment Manager's ability to designate Side Pocket Investments, as described below. Each date on which Capital Accounts may be withdrawn is herein referred to as a "Withdrawal Date".

Provided that the General Partner has received all necessary documentation, the Fund will normally distribute proceeds payable to a Limited Partner in connection with a withdrawal in U.S. dollars within 30 calendar days after an authorized Withdrawal Date. However, the General Partner shall have the right, at its sole discretion, to withhold up to 5% of the amount withdrawn from a Limited Partner's Capital Account for the Fund's liabilities and other contingencies until no later than 30 calendar days after the completion of the year-end audit of the Fund's financial statements for any withdrawal of 90% or more of a Limited Partner's Capital Account balance (or when combined with all other withdrawals of such Limited Partner during the preceding 12 months, would result in such Limited Partner having withdrawn 90% or more of such Limited Partner's Capital Account as of the beginning of such period). The Fund will remit the outstanding balance of the withdrawal proceeds without interest. The Fund reserves the right to pay any withdrawal request in-kind.

The General Partner, in its sole discretion, may waive any of the foregoing requirements or restrictions, in whole or in part, for certain Limited Partners. The General Partner, in its sole discretion, may waive any of the foregoing requirements or restrictions to facilitate withdrawals by Limited Partners to settle any tax liability relating to investments in the Fund. If the General Partner in its sole discretion permits a Limited Partner to withdraw capital on any date other than a Withdrawal Date, the General Partner may impose an additional administrative fee to cover the legal, accounting, administrative, brokerage, and any other costs and expenses associated with such withdrawal.

The General Partner may suspend withdrawal rights for any or all Limited Partners in certain circumstances.

The General Partner, by written notice to any Limited Partner, may compel the withdrawal of all of such Limited Partner's

Capital Account at any time and for any reason or no reason at all.

SIDE POCKETS

The Investment Manager may designate certain assets as “Side Pocket Investments” when the Investment Manager, in its sole discretion, determines that an asset is illiquid or it is in the best interest of the Fund and the Master Fund to value such investments separately from the Fund’s and the Master Fund’s other assets. Partners may not make a withdrawal with respect to a Side Pocket Investment until such investment is realized, deemed realized, or distributed.

If the Investment Manager designates an asset as a Side Pocket Investment, the Partners of the Fund at the time of such designation will have a proportionate interest in such investment and shall bear any expenses associated with such Side Pocket Investment. In the event the Fund makes an investment which the Investment Manager determines is a follow-up investment to a Side Pocket Investment (each, a “Follow-Up Investment”), the participating Partners will generally share in such Follow-Up Investment in proportion to their participating percentage interests in the related Side Pocket Investment; *provided*, that the Investment Manager, in its sole discretion, may allocate a Follow-Up Investment among all Partners invested in the Fund as of the date of such Follow-Up Investment. Notwithstanding the foregoing, the Investment Manager, in its sole discretion, may adjust any of the foregoing guidelines in order to effectuate participation in Side Pocket Investments in a fair and equitable manner.

The General Partner shall not receive a Performance Allocation with respect to any Side Pocket Investment until the investment is realized, deemed realized, or distributed; however, the Fund’s financial statements will reflect the Performance Allocation as if it was earned, treating all assets and liabilities other than Side Pocket Investments as if they were realized at the reporting date and treating each Side Pocket Investment as if such Side Pocket Investment’s value had not changed since being designated as a Side Pocket Investment until such Side Pocket Investment is realized, deemed realized, or distributed. Side Pocket Investments will be included in the calculation of the Management Fee.

INDEBTEDNESS

The Fund has the power to borrow and may do so when deemed appropriate by the Investment Manager, including, without limitation, to enhance the Fund’s returns and to meet withdrawals that would otherwise result in premature liquidation of investments. The use of leverage can, in certain circumstances, substantially increase the losses to which the

Fund's investment portfolio may be subject. The Fund's leverage (defined as Master Fund net assets plus leverage divided by equity capital and expressed as a percentage) will not exceed 200% as measured immediately after such leverage is incurred (i.e., 2:1 leverage).

See section "Risk Factors – Investment and Trading Risks – Use of Leverage" below.

SIDE LETTERS

The Fund, without any further act, approval or vote of any Limited Partner, will be able to enter into side agreements or similar separate written agreements with one or more Limited Partners, which will have the effect of establishing rights under, or altering, supplementing or modifying the terms of the Partnership Agreement, including with respect to economic rights and terms of a Limited Partner (each such side agreement or other writing, a "Side Letter"). Any rights established, or any terms altered, modified or supplemented, in a Side Letter with a Limited Partner, including any economic rights and terms, will govern solely with respect to such Limited Partner notwithstanding any other provision of the applicable governing agreements.

CORNERSTONE INVESTORS

The General Partner, the Investment Manager and/or its affiliates may, subject to compliance with applicable law, enter into one or more cornerstone investment agreements with certain cornerstone investors in the Fund (collectively, the "Cornerstone Investors"), pursuant to which the Cornerstone Investors have agreed or shall agree, subject to certain conditions, to make an investment in the Fund of a certain size (the "Cornerstone Investment"). The General Partner is of the view that, leveraging on the Cornerstone Investors' investment experience, in particular in the digital asset space, such Cornerstone Investment(s) will help to raise the profile of the Fund and the strategy. In return for such Cornerstone Investment(s), the General Partner, the Investment Manager and/or its affiliates, as applicable (but not the Fund) will, from their own assets, make payments to such Cornerstone Investors, which payments may be based on total management fees received by the Investment Manager in connection with its management of the Fund. Any such arrangements entered into with one or more Cornerstone Investors shall be done at the sole discretion of the General Partner, the Investment Manager and/or its affiliates, as applicable. Moreover, the determination of what level of investment in the Fund shall be considered a Cornerstone Investment shall be determined in the sole discretion of the

General Partner, the Investment Manager and/or its affiliates, as applicable.

SELLING COMMISSIONS

Selling commissions, placement fees and/or referral fees may be paid in connection with the offering of the Limited Partnership Interests. A portion of the Management Fee and/or the Performance Allocation may be remitted to third parties introducing Limited Partners to the Fund, or the General Partner or the Investment Manager may use their resources to compensate third parties for such introductions. Notwithstanding the foregoing, placement agents or brokers that place certain Limited Partners in the Fund will be paid a placement fee out of such Limited Partner's investment in the Fund (the "Placement Agent Fees"). The Placement Agent Fees will reduce such Limited Partner's net investment in the Fund.

The Investment Manager may also direct brokerage from Fund trades to broker-dealers which introduce Limited Partners to the Fund, subject to applicable laws.

Without limiting the foregoing, General Partner has engaged Van Eck Securities Corporation, a Delaware corporation ("Van Eck Securities"), a registered broker-dealer and an affiliate of the General Partner and Investment Manager, to to serve as a marketing agent for the Fund. Van Eck Securities will not receive any compensation in connection with such engagement.

REGULATORY MATTERS

Interests will not be registered with the SEC in reliance upon an exemption from the registration requirements of the Securities Act. As a result, the transferability of Interests will be restricted.

In reliance on Section 3(c)(7) of the Investment Company Act, the Fund has not registered as an investment company because the Fund's Interests are beneficially owned solely by "qualified purchasers" and/or "knowledgeable employees", as those terms are defined in the Investment Company Act.

The Investment Manager is currently registered as an investment adviser with the SEC under the Investment Advisers Act.

The Fund may trade futures and options on futures and therefore may be deemed to be a commodity pool under the Commodity Exchange Act, as amended (the "Commodity Exchange Act"). The General Partner has claimed an

exemption from registration as a commodity pool operator with respect to the Fund pursuant to CFTC Rule 4.13(a)(3).

The Fund is or will be regulated as a mutual fund for the purposes of the Mutual Funds Act. The Fund is or will be registered with the Cayman Islands Monetary Authority (the “Authority”) pursuant to section 4(3) of that Mutual Funds Act and the prescribed details in respect of this Memorandum and the Fund have been or will be filed with the Authority. Such registration does not imply that the Authority or any other regulatory authority in the Cayman Islands has approved this Memorandum or the offering of Interests hereunder.

REPORTS

Each Limited Partner will receive monthly unaudited reports of the Fund’s performance. As soon as reasonably practical after the end of each Fiscal Year, each Limited Partner will also receive annual audited financial statements and such other tax information as shall enable such Limited Partner or former Limited Partner (or its legal representatives) to prepare its Federal income tax return in accordance with the laws, rules and regulations then prevailing. The books of account and records of the Fund shall be audited, in accordance with GAAP, as of the end of each Fiscal Year by independent certified public accountants designated from time to time by the General Partner.

TAX MATTERS

There is, at present, no direct taxation in the Cayman Islands and interest, distributions, and gains payable to the Fund will be received free of all Cayman Islands taxes.

The Fund intends to elect to be classified as an association taxable as a corporation for U.S. Federal and state income tax purposes.

Prospective investors should consult their own advisors regarding the tax consequences of and risks related to an investment in the Fund applicable to them.

SUBSCRIPTION PROCEDURE

In order to subscribe for Interests, Limited Partners must complete the Subscription Documents (the “Subscription Documents”) and return them to the Administrator and General Partner at least five business days prior to the beginning of the month in which the investment will be made. If the Fund, in the General Partner’s sole discretion, accepts a Limited Partner’s subscription agreement (the “Subscription Agreement”) (whether in respect of the full subscription amount or only part thereof), such Limited Partner must transmit its Capital Contribution to the Fund by wire transfer (or other method as applicable) in accordance with the

General Partner's instructions no later than three business days before the relevant investment date (subject to waiver by the General Partner in its sole discretion).

The Subscription Agreement constitutes a binding offer to purchase the Interests subscribed for thereunder and an agreement to hold such offer open until the subscription is accepted or rejected by the Fund. Execution of the Subscription Agreement and its acceptance by the Fund together constitute an agreement to be bound by the terms of the Subscription Agreement and the Partnership Agreement. The General Partner, on behalf of the Fund, in its sole discretion, reserves the right to accept or reject any Subscription Agreement, and any Capital Contributions to the Fund, in whole or in part.

To ensure compliance with applicable laws, regulations, and other requirements relating to money laundering, the General Partner or Administrator may require additional information to verify the identity of any person who subscribes for an Interest in the Fund.

**FISCAL YEAR; ACCOUNTING
MATTERS**

The Fund's Fiscal Year will be the calendar year ended 31 December unless the General Partner determines otherwise. The Fund will keep its financial books under the accrual method of accounting, and as to matters not specifically described herein or in the Partnership Agreement, in accordance with GAAP consistently applied.

LEGAL COUNSEL

Cole-Frieman & Mallon LLP has served as US legal counsel and Ogier (Cayman) LLP has served as Cayman Islands legal counsel to the Fund in connection with the organization of the Fund and the offering of Interests. Cole-Frieman & Mallon LLP and Ogier (Cayman) LLP also acts as counsel to the General Partner and the Investment Manager. In connection with the Fund's offering of Interests and subsequent advice to the Fund, the General Partner, the Investment Manager, and their affiliates, Cole-Frieman & Mallon LLP and Ogier (Cayman) LLP will not be representing Limited Partners of the Fund. No independent counsel has been retained to represent Limited Partners of the Fund.

The statements made in this Memorandum are those of the Fund, the General Partner, and the Investment Manager and not of Cole-Frieman & Mallon LLP or Ogier (Cayman) LLP.

INTRODUCTION

This Memorandum sets forth the investment objective and method of operation of the Fund, the principal terms of the Partnership Agreement, and certain other pertinent information. However, the Memorandum does not set forth all the provisions and distinctions of the Partnership Agreement that may be significant to a particular prospective Limited Partner. Each prospective Limited Partner should examine this Memorandum, the Partnership Agreement, and the Subscription Documents accompanying this Memorandum in order to assure that the terms of the Partnership Agreement and the Fund's investment program are satisfactory to each Limited Partner.

Prospective Limited Partners may wish to review materials available from the General Partner relating to the Fund, the operations of the Fund, and any other matters regarding the Fund. The General Partner will afford prospective Limited Partners the opportunity to ask questions of and receive answers from its representatives concerning the terms and conditions of the offering and to obtain any additional information to the extent that the General Partner or the Fund possesses such information or can acquire it without unreasonable effort or expense.

The proceeds from the sale of Interests in the Fund offered hereby will be available for use in the Fund's investment program.

INVESTMENT PROGRAM

THE FUND MAY BE DEEMED TO BE A HIGHLY SPECULATIVE INVESTMENT AND IS NOT INTENDED AS A COMPLETE INVESTMENT PROGRAM. IT IS DESIGNED ONLY FOR SOPHISTICATED PERSONS WHO CAN BEAR THE ECONOMIC RISK OF THE LOSS OF THEIR INVESTMENT IN THE FUND AND WHO HAVE A LIMITED NEED FOR LIQUIDITY IN THEIR INVESTMENT. THERE CAN BE NO ASSURANCE THAT THE FUND WILL ACHIEVE ITS INVESTMENT OBJECTIVE.

Investment Objective and Strategy. The Fund's investment objective is to provide capital appreciation through investing primarily in Digital Assets (defined below), Digital Asset projects, tokenized real world assets ("RWAs") and Digital Asset companies associated with networks or protocols based on the Avalanche technology (the "Avalanche ecosystem").

The Fund will seek to achieve its investment objective by making (i) investments in Digital Assets and (ii) equity, equity-like, and debt investments in private emerging companies in the Digital Asset and blockchain technology sector ("Portfolio Companies"). For the purposes of this Memorandum, the Fund's investments in Portfolio Companies and Digital Assets are collectively referred to as "Investments".

The Fund may also pursue direct or indirect investments in liquid and illiquid digital assets, including, but not limited to, digital currencies, cryptocurrencies, decentralized application tokens and protocol tokens, cryptographic tokens, non-fungible tokens ("NFTs"), RWAs, smart contracts, blockchain-based assets, distributed ledger-based assets, cryptoassets, digital currency networks, digital coins, stablecoins, altcoins, cryptocurrency platforms, decentralized finance ("DeFi") assets, smart contracts, network participations, initial coin offerings ("ICOs"), pre-ICOs, simple agreements for future tokens ("SAFTs"), simple agreements for future equity ("SAFEs"), token warrants, decentralized autonomous organizations ("DAOs") and their underlying protocol tokens, liquidity pools, and DeFi protocols, and other cryptofinance or digital assets that currently exist or may exist in the future (collectively, "Digital

Assets”). In connection with the Fund’s investments in Digital Assets, the Investment Manager may employ a variety of strategies, including but not limited to, staking and yield-farming.

The Fund may pursue Investments in Portfolio Companies, including, without limitation, venture and private equity style investments in pre-seed, seed, and early-stage companies. In connection with its investments in the Portfolio Companies, the Fund may purchase, without limitation, equity and equity-related securities (including options and warrants for such securities), debt securities (including convertible debt), Digital Assets, or receive certain other securities, options, or warrants that are convertible into equity securities, debt securities, or Digital Assets.

The Fund expects that its Investments will focus on Digital Assets and Portfolio Companies that leverage the Avalanche ecosystem.

The Investment Manager utilizes a risk-based approach to Digital Asset allocation with the aim of providing the flexibility to adjust in adverse market conditions.

There can be no assurance that the Fund will achieve this objective or that substantial losses will not be incurred.

Other Activities, Techniques. The Investment Manager is not limited by the above discussion of the investment program. Further, the investment program is a strategy as of the date of this Memorandum only. The Investment Manager has wide latitude to invest or trade the Fund’s assets, to pursue any particular strategy or tactic, or to change the emphasis without obtaining the approval of the Limited Partners. The investment program imposes no significant limits on the types of instruments in which the Investment Manager may take positions, the type of positions it may take, its ability to borrow money, or the concentration of investments by sector, industry, issuer, counterparty, servicer, country, asset class or otherwise. The foregoing description is general and is not intended to be exhaustive. Prospective investors must recognize that there are inherent limitations on all descriptions of investment processes due to the complexity, confidentiality, and subjectivity of such processes. In addition, the description of virtually every trading strategy must be qualified by the fact that trading approaches are continually changing, as are the markets invested in by the Investment Manager.

Master Fund and Other Funds. The Fund invests substantially all of its assets through a “master-feeder” fund structure in the Master Fund, that will conduct the investment activities described in this Memorandum, although the Fund may conduct some or all of those activities directly. The Master Fund’s limited partners will be the Fund and one or more other investment entities affiliated or non-affiliated with the General Partner or the Investment Manager or other investment funds managed by the General Partner or the Investment Manager with the same or substantially similar investment objectives as the Fund’s, including but not limited to the Onshore Fund and potentially other Feeder Funds. Even during periods in which the Fund’s assets are invested primarily through the Master Fund, the Fund and/or other Feeder Funds may invest some of their assets directly rather than through the Master Fund. Although each of the Master Fund and the Feeder Funds is a separate entity, if any of the Feeder Funds’ assets are invested through the Master Fund, all invested assets may be used to satisfy any of the Master Fund’s liabilities. Similarly, should the Master Fund’s assets be invested in another investment vehicle, such assets may be used to satisfy the investment vehicle’s liabilities, *e.g.*, in the event that a trading account of the investment vehicle is subject to a margin call or forced liquidation. References herein to the Fund’s investments include investments made through the Master Fund. Generally, Feeder Funds that invest in the Master Fund will share indirectly the administrative and other expenses of the Master Fund pro rata based on their interest in the Master Fund.

MANAGEMENT

VanEck PurposeBuilt GP, LLC, a Delaware limited liability company, is the General Partner of the Fund. The General Partner is responsible for the business and affairs of the Fund. Van Eck Absolute Return Advisers Corporation, a Delaware corporation, is the Investment Manager of the Fund, and pursuant to the Investment Management Agreement, has full and sole discretionary authority over the management of the Fund's portfolio. The Investment Manager, in consultation with the General Partner, is responsible for the formation of the Fund's investment policies and strategies.

The Investment Manager is currently registered as an investment adviser with the SEC under the Investment Advisers Act.

The Fund may trade futures and options on futures and therefore may be deemed to be a commodity pool under the Commodity Exchange Act, as amended (the "Commodity Exchange Act"). The General Partner has claimed an exemption from registration as a commodity pool operator with respect to the Fund pursuant to CFTC Rule 4.13(a)(3), and the Investment Manager has claimed an exemption from registration as a commodity trading advisor with respect to the Fund pursuant to CFTC Rule 4.14(a)(8).

Jan van Eck, Chief Executive Officer and President. Mr. van Eck serves as the Chief Executive Officer and President of Van Eck Associates Corporation ("VanEck"). Mr. van Eck joined VanEck in 1992 and its Executive Management Team in 1998. Additionally, he is the President and CEO of Van Eck Securities Corporation ("Van Eck Securities"). Furthermore, Mr. van Eck is a Trustee, the President and Chief Executive Officer of VanEck ETF Trust, VanEck Funds and VanEck VIP Trust. Furthering VanEck's mission to anticipate asset classes and trends, Mr. van Eck has created strategic beta, tactical allocation, emerging markets, and commodity-related investment strategies in mutual fund, ETF, and institutional formats. Mr. van Eck founded the Van Eck's ETF business in 2006. One of the world's largest ETF sponsors, the VanEck offers ETFs, branded VanEck, globally across equity and fixed income asset classes. Mr. van Eck holds a JD from Stanford University and graduated Phi Beta Kappa from Williams College with a major in Economics. He has registrations with the National Futures Association and the Financial Industry Regulatory Authority. Mr. van Eck is a Director of the National Committee on United States-China Relations. He routinely appears on CNBC and Bloomberg Television, and was a 2013 Finalist for Institutional Investor's Fund Leader of the Year and a 2019 finalist for ETF.com's Lifetime Achievement Award.

Pranav Kanade, Portfolio Manager, Digital Assets Alpha Fund. Mr. Kanade joined VanEck in 2022 and serves as Portfolio Manager of the Digital Assets Alpha Fund complex. Mr. Kanade is also part of the VanEck team serving as litigation administrator for the Celsius Estate. Prior to joining VanEck, Mr. Kanade worked at Millennium Management as a Credit Portfolio Manager working closely with a team of 6 investment professionals. Prior to Millennium, he was the founding member as the Head of Research for the Liquid Credit investing business at Angelo, Gordon & Co. Prior experience of Mr. Kanade includes his role as Managing Director / Research Analyst with a focus on Technology and Energy at Hutchin Hill Capital. Pranav started his career at UBS in credit research during the European credit crisis. He has a B.S. degree in Finance and Accounting with a specialization in Entertainment, Media and Technology from the Stern School of Business at New York University.

Investment Management Agreement. The General Partner has delegated authority pursuant to an investment management agreement (the "Investment Management Agreement") to make certain general management and investment decisions to the Investment Manager. Pursuant to the Investment Management Agreement, the Investment Manager will invest and reinvest the assets of the Fund in

accordance with the objectives and policies of the Fund as set forth in the Memorandum. Although the Investment Management Agreement shall continue until terminated, the Investment Manager or the Fund may terminate the Investment Management Agreement by giving the other party no fewer than 90 days' written notice.

The Investment Management Agreement recognizes that the Investment Manager and its Affiliates are associated with other investment entities and may engage in investment management services for others, including themselves. Except to the extent necessary to perform its obligations under the Investment Management Agreement, the Investment Manager and its Affiliates are not limited or restricted from engaging in or devoting time and attention to the management of any other business, whether of a similar or dissimilar nature, or rendering services of any kind to any other corporation, firm, individual or association.

Under the Investment Management Agreement, the Fund will indemnify the Investment Manager and its Affiliates (each, an "IM Indemnified Party") against any and all liabilities, damages, losses, costs and expenses suffered, incurred or sustained by such IM Indemnified Party by reason of the fact that it was an IM Indemnified Party, including, without limitation, any judgment, settlement, reasonable attorneys' fees and other costs and expenses incurred in connection with the defense of any actual or threatened action, suit or proceeding, provided that such liability, damage, loss, cost or expense did not constitute fraud, willful misconduct, or gross negligence. The Fund shall, in the discretion of the General Partner, advance to any IM Indemnified Party reasonable attorneys' fees and other costs and expenses incurred in connection with the defense of any action or proceeding that arises out of such conduct. If such an advance is made by the Fund, the IM Indemnified Party shall agree to reimburse the Fund to the extent that it is finally determined that it was not entitled to indemnification.

MANAGEMENT FEE; EXPENSES

Management Fee

The Investment Manager will receive a monthly Management Fee, calculated at an annual rate of 2.0% (approximately 0.1667% per month) of each Limited Partner's Capital Account.

The Management Fee will be calculated and paid monthly in arrears based on the value of each Limited Partner's Capital Account, as of the last day of the calendar month. The Investment Manager may, in its sole discretion, elect for the Management Fee to be paid by the Master Fund on behalf of the Fund. To the extent the Management Fee is paid by the Master Fund, no Management Fee will be paid at the Fund level. The Investment Manager may elect to reduce, otherwise modify, or waive the Management Fee with respect to any Limited Partner. If a Limited Partner makes a Capital Contribution at any time other than at the beginning of a calendar month, a pro rata portion of the Management Fee will be paid to the Investment Manager (based on the actual number of days remaining in such partial month).

Expenses

Fund. The Fund bears and shall be responsible for its own expenses, including its *pro rata* portion of the expenses of the Master Fund, including, but not limited to: (i) Management Fees; (ii) its *pro rata* share of the Organizational Expenses (as defined below); (iii) all general investment expenses (i.e., exchange commissions and expenses, brokerage commissions, research expenses, data processing costs and expenses, hardware and physical vaults for storage of private keys, bank service fees, interest

expenses, borrowing charges, custodial expenses, outsourced risk management advisory and software, investment-related consultants and travel costs that are research-related and other investment expenses); (iv) all administrative, legal, accounting, auditing, record-keeping, tax form preparation, compliance, and consulting costs and expenses; (v) all fees, costs and expenses related to middle office operations which may include daily reconciliation of cash, cost, positions, and valuations; (vi) fees, costs, and expenses of third-party service providers that provide such services; (vii) costs and expenses associated with preparing investor communications, printing, and mailing costs; (viii) insurance costs and expenses (e.g., for the assets of the Fund, D&O, E&O); (ix) marketing and syndication expenses; (x) taxes and other governmental charges; (xi) governmental licensing, filing, and exemption fees (including Blue Sky filing fees); (xii) indemnification obligations; (xiii) all judgements, settlements, fines, and expenses (including reasonable attorneys' fees) incurred in connection with any actual, anticipated, or threatened litigation or governmental inquiry, investigation, or proceeding, including any examination, audit, request for information, subpoena, or any similar request or requirement from the IRS, the SEC, or any other local, state, U.S. Federal, or foreign authority; and (xiv) any extraordinary expenses.

General Partner and Investment Manager. Each of the General Partner and the Investment Manager bears its own expenses, including office space and utilities, computer equipment and software (not otherwise paid by the Fund) and secretarial, clerical, employee related and other personnel, except as assumed by the Fund.

Organizational Expenses. Expenses incurred with respect to the following Fund matters will be paid or borne by the Fund (collectively, the "Organizational Expenses"): (i) all costs and expenses related to the formation and organization of the Fund, the Onshore Fund, the Master Fund and any other Feeder Fund and the offering and sale of the Interests and shares in the Onshore Fund and any parallel investment vehicle (such costs and expenses may be aggregated at the Master Fund level and paid or borne pro rata by the Feeder Funds and the parallel investment vehicles, if any, except to the extent such aggregation would, in the General Partner's sole discretion, result in an unfair distribution of such costs and expenses among investors in the Feeder Funds) and (ii) the negotiation, execution, and delivery of the Partnership Agreement, any side letter, any investment management agreement, and any related or similar documents, including, without limitation, any related legal and accounting fees and expenses, travel expenses, and filing fees. At the option of the General Partner, the applicable Organizational Expenses of the Fund may be amortized over a period of 60 months from the date the Fund commenced operations. The amortization of applicable Organizational Expenses over 60 months is not in accordance with GAAP and could result in an exception opinion in the auditors' report in the annual audited financial statements if the difference between amortization and recognition of these expenditures when incurred is deemed material to the financial statements. The General Partner may accelerate the amortization of applicable Organizational Expenses in its sole discretion.

ALLOCATION OF NET INCOME AND NET LOSSES; PERFORMANCE ALLOCATION

Allocation of Net Income and Net Losses. Net Income and Net Loss for each Fiscal Period shall be allocated to the Capital Accounts of the Partners (including the General Partner) in proportion to their respective Capital Account balances as of the first day of such Fiscal Period. Net Income and Net Loss of the Fund will be determined as provided for in the Partnership Agreement and will be deemed to include net unrealized gains or losses on investment positions as of the end of each Fiscal Period.

Performance Allocation. In addition to its proportionate share of the Net Income and Net Losses based on its Capital Account balance, the General Partner will be allocated from the Master Fund A Performance Allocation, generally annually, equal to 20% of the Net Income allocated to each Limited Partner for the fiscal year which exceeds the Hurdle Rate.

A Performance Allocation is generally made at the end of each calendar year and as of any date on which a Limited Partner makes a withdrawal from the Fund. The General Partner, in its sole discretion, may elect to reduce, otherwise modify, or waive the Performance Allocation for any Limited Partner.

The Hurdle Rate will reset each calendar year, such that if the Fund fails to achieve the Hurdle Rate during any year, there is no requirement that any such shortfall be recovered in a subsequent year prior to allocating the Performance Allocation to the General Partner. The Hurdle Rate will be pro-rated (calculated on an annualized basis) for shorter periods with respect to Limited Partners who were first admitted, who withdrew, or who made an additional Capital Contribution during a Fiscal Year.

The Performance Allocation with respect to the assets of the Fund will generally be structured as an allocation of profits at the Master Fund level rather than the Fund level for tax, regulatory or operational reasons so long as and to the extent that the Fund's assets are invested in the Master Fund, but in such event will be paid after taking into account the fees and expenses of the Fund. In such an event, no Performance Allocation will be made to the General Partner at the Fund level, but the amount of profits otherwise allocable to the Fund by the Master Fund will be reduced by the amount of the Performance Allocation prior to allocation to the Fund and subsequent allocation to Limited Partners' Capital Accounts.

Performance Allocations are subject to a "High Water Mark" provision under which the General Partner receives a Performance Allocation from a Limited Partner only to the extent Net Income allocated to that Limited Partner's Capital Amount exceeds any Net Losses previously allocated to it since the last date a Performance Allocation was assessed (or the date of such Limited Partner's initial Capital Contribution if no Performance Allocation has previously been assessed). If a Limited Partner makes a partial withdrawal or receives a distribution at a time when it has unrecovered losses, those unrecovered losses will be reduced in proportion to the withdrawal for purposes of calculating future Performance Allocations. The "High Water Mark" provision prevents the Performance Allocation Recipient, from receiving a Performance Allocation on Net Income that simply restores previous Net Losses.

Prior Fiscal Period Items. In general, and notwithstanding any of the allocation rules discussed above, if the Fund has a material item of gain or loss in any Fiscal Period which relates to a matter or transaction occurring during a prior Fiscal Period (e.g., if the Fund wins a cash settlement in a case it began in a prior year) the item of gain or loss may, in the sole discretion of the General Partner, be shared among the Partners (including persons who have ceased to be Partners) in accordance with their Interest in the Fund during the prior period. A person who has ceased to be a Partner will be liable for its proportionate share of prior Fiscal Period items and will pay such share on demand but the amount to be paid will not exceed the amount of such Partner's Capital Account at the time such prior Fiscal Period item arose.

RISK FACTORS

No guarantee or representation is made that the Fund will achieve its investment objective. Investment in the Fund involves significant risks and conflicts of interest, including, but not limited to, the risks and conflicts of interest set forth below. The risks set out below do not purport to be exhaustive.

Additional risks and uncertainties that are currently unknown or currently deemed immaterial may become material factors that affect the Fund. Prospective investors should carefully consider the risks involved in an investment in the Fund, including but not limited to those discussed below. Prospective investors should consult their own legal, tax and financial advisers as to all these risks and as to an investment in the Fund generally.

General Risk Factors

Lack of Operating History. The Fund has no operating history and therefore may not be able to operate its business, implement its investment strategy, or generate sufficient revenue to make or sustain distributions to investors. Failure to procure adequate funding and capital could adversely affect the Fund's ability to grow and/or expand its business, which can negatively impact its performance. In addition, the past investment performance of the Fund or other entities or accounts managed by the General Partner or the Investment Manager or any of their respective employees or affiliates may not be indicative of the future performance of the Fund.

Start-Up Periods. The Fund may encounter start-up periods during which it will incur certain risks relating to the initial investment of newly contributed assets. Moreover, the start-up periods also represent a special risk in that the level of diversification of the Fund's portfolio may be lower than in a fully invested portfolio.

Reliance on the Investment Manager and no Authority by Limited Partners. The success of the Fund depends on the ability of the Investment Manager to develop and implement investment strategies to achieve the Fund's investment objectives. Although the Investment Manager may impose limits on the types of positions the Fund may take, or the concentration of its investments, the Partnership Agreement imposes no such limits. Limited Partners will have no right or power to take part in the management of the Fund. The Fund's investment performance could be materially adversely affected if any members of the investment team were to die, become ill or disabled, or otherwise cease to be involved in the active management of the business of the Fund's portfolio.

Dependence on Key Personnel. Each of the General Partner and the Investment Manager are dependent on the services of its principals and key personnel (collectively, the "Key Personnel"). The success of the Fund may depend to a great extent on the investment skills of the Key Personnel. There can be no assurance that the Key Personnel or any other principals will continue to be associated with the General Partner, the Investment Manager, or their respective affiliates. The Fund may be adversely affected if, because of illness, resignation, or other factors, the services of the relevant people were not available for any significant period of time.

Undisclosed Investing Strategy. The Investment Manager's investment strategy and the techniques it will employ to attempt to reach the Fund's goal are proprietary and are not required to be disclosed to potential investors (or to Limited Partners). As a result, a potential investor's decision to invest in the Fund must be made without the benefit of being able to review and analyze the Investment Manager's strategy and techniques.

Undisclosed Positions. In an effort to protect the confidentiality of its positions and its strategies, the Investment Manager generally will not disclose the Fund's positions to Limited Partners on an ongoing basis. The Investment Manager, in its sole discretion, may from time to time permit such disclosure to certain Limited Partners.

Changes in Investment Strategies. The Investment Manager has broad discretion to expand, revise or contract the Fund's business without the consent of the Limited Partners. The Fund's investment strategies may be altered, without prior approval by, or notice to, the Limited Partners, if the Investment Manager, in consultation with the General Partner, determines that such change is in the best interest of the Fund.

Side Pocket Investments. The Fund may invest a significant portion of its assets in investments that the Investment Manager believes either lack a readily assessable market value or should be held until the resolution of a special event or circumstances (i.e., Side Pocket Investments). The Fund may not be able to readily dispose of Side Pocket Investments and, in some cases, may be contractually prohibited from disposing of such investments for a specified period of time. For accounting purposes, Side Pocket Investments and other assets and liabilities for which no such market prices are available (including loans) will generally be carried on the books of the Fund at fair value as reasonably determined by the Investment Manager. There is no guarantee that fair value will represent the value that will be realized by the Fund on the eventual disposition of the investment or that would, in fact, be realized upon an immediate disposition of the investment. A withdrawing Partner with an interest in a Side Pocket Investment will not receive any amount in respect of such interest until the related Side Pocket Investment is realized or deemed realized. Further, depending on the timing of the investment, Side Pocket Investments may constitute the entirety of the Fund's assets. As such, an investment in the Fund poses a greater risk than if the Fund were to invest a smaller portion of its assets in Side Pocket Investments.

Subscription Monies. Where a subscription for Interests is accepted, the Interests will be treated as having been issued with effect from the relevant subscription day notwithstanding that the subscriber for those Interests may not be entered in the Fund's register of members until after the relevant subscription day. The subscription monies paid by a subscriber for Interests will accordingly be subject to investment risk in the Fund from the relevant subscription date.

Operating Deficits. The expenses of operating the Fund (including Management Fees payable to the Investment Manager) could exceed its income. This would require that the difference be paid out of the Fund's capital, reducing the amount of capital available to the Fund for investment and the Fund's potential for profitability.

Absence of Regulatory Oversight. While the Fund may be considered similar to an investment company, it is not required, and does not intend, to register as such under the laws of any jurisdiction. For instance, the provisions of the Investment Company Act, which may provide certain regulatory safeguards to investors, are not applicable.

Business and Regulatory Risks of Hedge Funds. Legal, tax and regulatory changes could occur during the term of the Fund that may adversely affect the Fund. The regulatory environment for hedge funds is evolving, and changes in the regulation of hedge funds may adversely affect the value of investments held by the Fund and the ability of the Fund to obtain the leverage it might otherwise obtain or to pursue its trading strategies. In addition, securities and futures markets are subject to comprehensive statutes, regulations and margin requirements. The SEC, other regulators and self-regulatory organizations and exchanges are authorized to take extraordinary actions in the event of market emergencies. The regulation of derivative transactions and funds that engage in such transactions is an evolving area of law and is subject to modification by government and judicial actions. The effect of any future regulatory change on the Fund could be substantial and adverse.

Enhanced Scrutiny and Potential Regulation of Private Investment Funds. There has been enhanced governmental scrutiny and/or increased regulation of the private investment fund and financial services industries in general. Future legislation may have an adverse effect on the private investment fund industry generally and/or on the Fund, specifically. In addition, regulatory agencies in the U.S., Europe, or elsewhere may adopt burdensome laws (including tax laws) or regulations, or changes in law or regulation, or in the interpretation or enforcement thereof, which are specifically targeted at the private investment fund industry, or other changes that could adversely affect private investment firms and the funds they sponsor, including the Fund. Additional governmental scrutiny may reduce the availability of the Fund's investment opportunities and may increase the Fund's and the General Partner's and the Investment Manager's exposure to potential liabilities and to legal, compliance and other related costs. Such increased regulation and scrutiny could have a material and adverse effect on the Fund.

Assignment of Advisory Contracts. Federal and state laws applicable to investment advisers (including, without limitation, the Investment Advisers Act and rules promulgated thereunder) may impose limitations on the General Partner's or the Investment Manager's ability to assign certain of its rights and obligations under the Partnership Agreement or Investment Management Agreement, as applicable. Normally, such limitations would permit the General Partner or the Investment Manager, as applicable, to engage in transactions that do not involve a change of control of the General Partner or the Investment Manager without consent of the Limited Partners. However, to the extent that an assignment does involve a change of control, the General Partner or the Investment Manager, as applicable, will be required to seek consent of the Limited Partners before the transaction will be consummated. To the extent that the consent of Limited Partners is required for a particular assignment, such consent may be withheld to a transaction that would, in the view of the Investment Manager benefit the Fund and/or the Limited Partners. Generally, these laws do not require a minimum length of time for notices or deadlines to provide or withhold consent. The General Partner or Investment Manager may establish reasonable notice periods and deadlines in their sole discretion. The General Partner or Investment Manager may seek Limited Partner consent via electronic means and/or negative consent.

Future Regulatory Change is Impossible to Predict. The securities and derivatives markets are subject to comprehensive statutes, regulations and margin requirements. In addition, the SEC, the CFTC, and the exchanges are authorized to take extraordinary actions in the event of a market emergency, including, for example, the retroactive implementation of speculative position limits or higher margin requirements, the establishment of daily price limits and the suspension of trading. The regulation of securities and derivatives both inside and outside the United States is a rapidly changing area of law and is subject to modification by government and judicial action

The Fund primarily invests in Digital Assets, which currently are either not regulated, or are in the early stages of regulation by U.S. federal and state governments, or self-regulatory organizations. As Digital Assets have grown in popularity, certain U.S. agencies, such as the Financial Crimes Enforcement Network ("FinCEN") and the CFTC, have begun to examine Digital Assets and the operations of Digital Assets in depth. Currently, the SEC has not formally asserted regulatory authority over Digital Assets. The SEC has issued a release stating that, depending on the specific facts and circumstances of the Digital Assets in question, the Digital Asset may fall under securities regulation. The CFTC has declared that Digital Assets are commodities, but currently, only certain kinds of Digital Assets may be subject to CFTC jurisdiction. To the extent that any type of Digital Asset is determined to be a security, commodity, future or other regulated asset, or to the extent that a U.S. or foreign

government or quasi-governmental agency exerts additional regulatory authority over the Digital Assets, the Fund may be adversely affected.

Digital Assets currently face an uncertain regulatory landscape in not only the United States but also in many foreign jurisdictions such as the European Union, China and Russia. Various foreign jurisdictions may, in the near future, adopt laws, regulations or directives that affect Digital Assets networks and their users, particularly Digital Assets exchanges and service providers that fall within such jurisdictions' regulatory scope. Such laws, regulations or directives may conflict with those of the United States and may negatively impact the acceptance of Digital Assets by users, merchants and service providers outside of the United States and may therefore impede the growth of the digital asset economy.

The effect of any future regulatory change on the Fund is impossible to predict, but such change could be substantial and adverse.

Availability of Banking Services. The Fund and other entities that hold, trade in, or otherwise engage in transactions involving Digital Assets may at any time lose access to fiat banking services from one or more financial institutions, whether as a result of those financial institutions voluntarily ceasing to serve entities engaged in activities related to Digital Assets or regulatory changes that prohibit or limit such financial institutions' ability to provide services to such entities. The inability to obtain, maintain, and use such banking services may limit the Fund's ability to make distributions to Limited Partners in fiat currency, to timely pay its service providers and other expenses, or to complete a timely and orderly liquidation of the Fund, any of which may have a material and adverse impact on the Fund.

No FDIC or SIPC Protection. Digital currencies held by the Fund are not subject to Federal Deposit Insurance Corporation ("FDIC") or Securities Investor Protection Corporation ("SIPC") protections. The Fund is not a banking institution or otherwise a member of the FDIC or SIPC and, therefore, deposits held with or assets held by the Fund are not subject to the protections enjoyed by depositors with FDIC or SIPC member institutions. While private insurance may be available at times, the undivided interest in the Fund's Digital Assets represented by Interests in the Fund are not insured.

Legality of Digital Assets. It may be illegal, now or in the future, to own, hold, sell or use Digital Assets in one or more countries, including the United States. Although currently Digital Assets are not regulated or are lightly regulated in most countries, including the United States, one or more countries may take regulatory actions in the future that severely restricts the right to acquire, own, hold, sell or use Digital Assets or to exchange Digital Assets for fiat currency. Such an action may restrict the Fund's ability to hold or trade Digital Assets, and could result in termination and liquidation of the Fund at a time that is disadvantageous to Limited Partners, or may adversely affect an investment in the Fund.

Current and Future CFTC or SEC Regulation. Current and future legislation, CFTC and SEC rulemaking and other regulatory developments may impact the manner in which Digital Assets are treated for classification and clearing purposes. As of the date of this Memorandum, the General Partner is not aware of any rules that have been proposed to specifically regulate Digital Assets as commodities or securities. The SEC has issued multiple releases stating that, depending on the specific facts and circumstances of the Digital Asset in question, some Digital Assets may fall under securities regulation. Additionally, although the CFTC has declared that Digital Assets are commodities, currently, only certain kinds of Digital Assets, including Digital Asset transactions that are entered into, or offered, on a leveraged or margined basis, or financed by the offeror, may be subject to CFTC

regulation. The General Partner cannot be certain as to how future regulatory developments will impact the treatment of Digital Assets under the law.

To the extent that Digital Assets are deemed to fall within the definition of a commodity future or further within the scope of CFTC regulation pursuant to subsequent rulemaking by the CFTC, the General Partner, the Investment Manager, and/or the Fund may be required to register and comply with additional regulation under the Commodity Exchange Act. Moreover, the General Partner and the Investment Manager may be subject to further requirements with the CFTC through the National Futures Association. Such additional registrations, regulations or disclosures may result in extraordinary, non-recurring expenses of the Fund. If the General Partner or the Investment Manager determines not to comply with such additional requirements, the Fund, where necessary, may terminate and liquidate at a time that may be disadvantageous to investors. Currently, the General Partner does not intend to register as a commodity pool operator with the CFTC. The Investment Manager is registered as a commodity pool operator and a commodity trading adviser with the CFTC.

To the extent that Digital Assets are deemed to fall within the definition of a security pursuant to subsequent rulemaking by the SEC, the General Partner, the Investment Manager and/or the Fund may be required to register and comply with additional regulation under the Investment Company Act or similar state investment advisory statutes. Such additional registrations and compliance requirements may result in extraordinary, non-recurring expenses of the Fund. If the General Partner or the Investment Manager determines not to comply with such additional regulatory and registration requirements, the Fund, where necessary, may terminate and liquidate at a time that may be disadvantageous to investors.

Digital Asset Derivative Regulatory Risk. The Fund may invest and trade in perpetual futures and a variety of other derivative instruments related to or based on Digital Assets (“Digital Asset Derivatives”). Pursuant to the CEA, many, if not all, of such Digital Asset Derivatives must either be traded on, or subject to the rules of a board of trade, of an exchange that has been designated or registered with the CFTC for the specific Digital Asset Derivative, such as a futures commission merchant or swap execution facility, or else fall under an applicable exemption. To the extent the Fund invests or trades in Digital Asset Derivatives on exchanges or platforms not registered with the CFTC, including without limitation non-U.S. or decentralized exchanges (“DEXes”) (collectively, “Non-Registered Exchanges”), or otherwise does not enter into Digital Asset Derivatives transactions that are not subject to an exemption, the Fund may be in violation of the CEA. The CFTC may, now or in the future, assert jurisdiction over such activity and take enforcement actions against the General Partner, the Investment Manager, and/or the Fund. Any such enforcement actions may result in fines, sanctions, and other penalties that could materially and adversely affect the General Partner, the Investment Manager, and/or the Fund.

In addition to the foregoing, Non-Registered Exchanges have been, and may continue in the future to be, subject to CFTC enforcement actions, fines, sanctions, and other penalties for failing to register as futures commission merchants or otherwise being in violation of the CEA. In the event of any CFTC investigation, inquiry, enforcement action, or other review of or action against a Non-Registered Exchange, such Non-Registered Exchange may elect or be required to close the Fund’s positions or otherwise freeze the Fund’s assets. See also “Exchanges Operating Outside of the U.S.” below.

Cybersecurity Risk. As part of their business, the General Partner and the Investment Manager processes, stores, and transmits large amounts of electronic information, including information relating to the transactions of the Fund and personally identifiable information of the Limited Partners.

Similarly, service providers of the General Partner, the Investment Manager, or the Fund, especially the Administrator, may process, store and transmit such information. The General Partner and the Investment Manager have procedures and systems in place to protect such information and prevent data loss and security breaches. However, such measures cannot provide absolute security. The techniques used to obtain unauthorized access to data, disable or degrade service, or sabotage systems change frequently and may be difficult to detect for long periods of time. Hardware or software acquired from third parties may contain defects in design or manufacture or other problems that could unexpectedly compromise information security. Network connected services provided by third parties to the General Partner or the Investment Manager may be susceptible to compromise, leading to a breach of the General Partner's or the Investment Manager's network. The General Partner's and the Investment Manager's systems or facilities may be susceptible to employee error or malfeasance, government surveillance, or other security threats. Breach of the General Partner's or the Investment Manager's information systems may cause information relating to the transactions of the Fund and personally identifiable information of the Limited Partners to be lost or improperly accessed, used, or disclosed.

The service providers of the General Partner, the Investment Manager, and the Fund are subject to the same electronic information security threats as the General Partner and the Investment Manager. If a service provider fails to adopt or adhere to adequate data security policies, or in the event of a breach of its networks, information relating to the transactions of the Fund and personally identifiable information of the Limited Partners may be lost or improperly accessed, used, or disclosed.

The loss or improper access, use, or disclosure of the General Partner's, the Investment Manager's, or the Fund's proprietary information may cause the General Partner, the Investment Manager, or the Fund to suffer, among other things, financial loss, the disruption of its business, liability to third parties, regulatory intervention, or reputational damage. Any of the foregoing events could have a material adverse effect on the Fund.

Force Majeure. The Fund's investments may be affected by force majeure events (*i.e.*, events beyond the control of the party claiming that the event has occurred, including, without limitation, acts of God, fire, flood, earthquakes, lightning, outbreaks of an infectious disease, chemical or radioactive contamination or ionising radiation, pandemic or any other serious public health concern, war, terrorism, labor strikes, major plant breakdowns, pipeline or electricity line ruptures, failure of technology, defective design and construction, accidents, demographic changes, government macroeconomic policies, social instability, uninsurable losses, etc.). Some force majeure events may adversely affect the ability of a party (including the Fund or a counterparty to the Fund) to perform its obligations until it is able to remedy the force majeure event and/or prompt precautionary government-imposed closures of certain travel and business. In addition, forced events, such as the cessation of the operation of machinery for repair or upgrade, could similarly lead to the unavailability of essential machinery and technologies. These risks could, among other effects, adversely impact the Fund's returns, cause personal injury or loss of life, disrupt global markets, damage property, or instigate disruptions of service. In addition, the cost to the Fund of repairing or replacing damaged assets resulting from such force majeure event could be considerable. Force majeure events that are incapable of or are too costly to cure may have a permanent adverse effect on the Fund's expected returns. Certain force majeure events (such as war, terrorism, or an outbreak of an infectious disease) could have a broader negative impact on the world economy and international business activity generally, or in any of the countries in which the Fund may invest and the markets the Fund may trade specifically. Military action or governmental sanctions prompted by certain force majeure events may further impact general economic conditions and market liquidity internationally or in the specific markets the Fund invests.

Additionally, a major governmental intervention into industry, including the nationalization of an industry or the assertion of control over industry assets, could result in losses to the Fund, including if its investments are canceled, unwound or acquired (which could be without adequate compensation). Any of the foregoing may therefore adversely affect the performance of the Fund and its investments.

Investment and Trading Risks

General Investment and Trading Risks. An investment in the Fund involves a high degree of risk, including the risk that the entire amount invested may be lost. The Fund invests in Digital Assets and other financial instruments using strategies and investment techniques with significant risk characteristics. No guarantee or representation is made that the Fund's program will be successful. The Fund's investment program may utilize investment techniques, the use of which can, in certain circumstances, maximize the adverse impact to which the Fund may be subject.

Digital Assets. Digital Assets are loosely regulated and there is no central marketplace for currency exchange. Supply is determined by a computer code, not by a central bank, and prices can be extremely volatile. Digital Asset exchanges have been closed due to fraud, failure or security breaches. Any of the Fund's funds that reside on an exchange that shuts down may be lost.

Several factors may affect the price of Digital Assets, including, but not limited to: supply and demand, investors' expectations with respect to the rate of inflation, interest rates, currency exchange rates or future regulatory measures (if any) that restrict the trading of Digital Assets or the use of Digital Assets as a form of payment. There is no assurance that Digital Assets will maintain their long-term value in terms of purchasing power in the future, or that acceptance of Digital Asset payments by mainstream retail merchants and commercial businesses will grow.

Digital Assets are created, issued, transmitted, and stored according to protocols run by computers in the Digital Asset network. It is possible these protocols have undiscovered flaws which could result in the loss of some or all assets held by the Fund. There may also be network scale attacks against these protocols which result in the loss of some or all of assets held by the Fund. Some assets held by the fund may be created, issued, or transmitted using experimental cryptography which could have underlying flaws. Advancements in quantum computing could break the cryptographic rules of protocols which support the assets held by the fund. The Fund makes no guarantees about the reliability of the cryptography used to create, issue, or transmit assets held by the Fund.

Digital Asset balances are generally maintained as an address on the blockchain and are accessed through private keys, which may be held by a market participant or a custodian. Although Digital Asset transactions are typically publicly available on a blockchain or distributed ledger, the public address does not identify the controller, owner or holder of the private key. Unlike bank and brokerage accounts, Digital Asset exchanges and custodians that hold virtual currencies do not always identify the owner. The opaque underlying or spot market poses asset verification challenges for market participants, including the Fund, regulators and auditors and gives rise to an increased risk of manipulation and fraud, including the potential for Ponzi schemes, bucket shops and pump and dump schemes.

Digital Asset Exchanges. The Digital Asset exchanges on which Digital Asset trade are relatively new and largely unregulated and may therefore be more exposed to theft, fraud and failure than established, regulated exchanges for other products. In general, Digital Asset exchanges are currently start-up

businesses with no institutional backing, limited operating history and no publicly available financial information. Exchanges generally require cash to be deposited in advance in order to purchase Digital Asset, and no assurance can be given that those deposit funds can be recovered. Additionally, upon sale of Digital Asset, cash proceeds may not be received from the exchange for several business days. The participation in exchanges requires users to take on credit risk by transferring Digital Asset from a personal account to a third-party's account. The Fund will take credit risk of an exchange every time it transacts.

Digital Asset exchanges may impose daily, weekly, monthly or customer-specific transaction or distribution limits or suspend withdrawals entirely, rendering the exchange of Digital Assets for fiat currency difficult or impossible. Additionally, Digital Asset prices and valuations on Digital Asset exchanges have been volatile and subject to influence by many factors including the levels of liquidity on exchanges and operational interruptions and disruptions. The prices and valuation of Digital Assets remain subject to any volatility experienced by Digital Asset exchanges, and any such volatility can adversely affect an investment in the Fund.

Digital Asset exchanges are appealing targets for cybercrime, hackers and malware. It is possible that while engaging in transactions with various Digital Asset exchanges located throughout the world, any such exchange may cease operations due to theft, fraud, security breach, liquidity issues, or government investigation. In addition, banks may refuse to process wire transfers to or from exchanges. Over the past several years, many exchanges have, indeed, closed due to fraud, theft (*e.g.*, Mt. Gox voluntarily shutting down because it was unable to account for over 850,000 Bitcoin), government or regulatory involvement, failure or security breaches (*e.g.*, the voluntary temporary suspensions by Mt. Gox of cash withdrawals due to distributed denial of service attacks by malware and/or hackers), or banking issues (*e.g.*, the loss of Tradehill's banking privileges at Internet Archive Federal Credit Union).

Any financial, security or operational difficulties experienced by such exchanges may result in an inability of the Fund to recover money or Digital Assets being held by the exchange, or to pay investors upon withdrawal. Further, the Fund may be unable to recover Digital Assets awaiting transmission into or out of the Fund, all of which could adversely affect an investment in the Fund. Additionally, to the extent that the Digital Asset exchanges representing a substantial portion of the volume in Digital Asset trading are involved in fraud or experience security failures or other operational issues, such Digital Asset exchanges' failures may result in loss or less favorable prices of Digital Assets, or may adversely affect the Fund, its operations and investments, or the Limited Partners.

Risks Associated with Investing through DEXes.

- *Dependence on a Few DEXes.* There are currently very few decentralized, non-custodial protocols with platforms through which the Fund may invest. If platforms representing any significant portion of the decentralized credit market were to dissolve, liquidate, become bankrupt or otherwise cease operations, change their business, and cease originating loans, the Fund would be unable to fulfill its investment objective.
- *DEXes Dependent on New Technology.* DEXes are in the rapidly changing fields of blockchain technology and the Digital Assets markets and face special risks. The Investment Manager has no control over and limited visibility into future technological developments. The rapid pace of technological development creates the risk that a DEXes' products and services become obsolete, fail to gain meaningful market share, or fall out of favor as more appealing and advanced technologies and products emerge.

A DEXes' intellectual property rights may be subject to legal challenge. Many companies in the blockchain technology and Digital Assets space have limited operating histories. Such a company may be unable to engage and retain sufficient skilled engineering, marketing and management personnel to allow it to maintain its technological edge and develop the corporate infrastructure required to sustain and grow its business. For these and other reasons specific to the lending industry, investments through DEXes which operate in blockchain technology industries pose greater risks than those in certain other sectors.

- *Limited Supply of Investments.* The Investment Manager's ability to execute its investment strategy depends on its ability to access a sufficient supply of stablecoins or other Digital Assets. The extent of such supply is outside of the Fund's and the Investment Manager's control. The Fund may not be able to acquire investments in the quantities and at the times it otherwise desires. In such cases, the Fund may hold large cash positions for extended periods of time, which may adversely affect its performance. In addition, if insufficient attractive investments are available, the Fund may not accept additional capital, which could cause greater concentration in the Fund's portfolio and cause the Fund's expense ratio to be higher than it would with a larger asset base.

The Fund must also compete with other investors for investment opportunities on DEXes. Competition for investment opportunities may adversely affect the terms of the investments and may prevent the Fund from finding a sufficient number of attractive opportunities to meet its investment objectives.

- *Regulatory Risks Due to Novelty of Decentralized Credit Models.* Decentralized credit models are fairly new, and their compliance with various aspects of regulatory regimes applicable to consumer credit transactions is untested. A federal or state regulator could take a position that a DEXes' activities (and perhaps the activities of the lenders/borrowers/members of those platforms, such as the Fund) do not comply with applicable law. Further, there is a risk that DEXes are mandated to comply with Anti-Money Laundering (AML) and Know Your Customer (KYC) regulations applicable to traditional lenders as well as jurisdiction-specific lending laws. Any such regulatory action could adversely affect the Fund and the Limited Partners.
- *Lack of Transparency.* The Investment Manager selects investments for the Fund and executes its investment strategy based in part on information and data that DEXes make available to their users, including interest rates set by these platforms. The Investment Manager is not in a position to confirm the completeness, genuineness or accuracy of such information and data, and in some cases, complete and accurate information is not readily available.
- *Scalability Risk.* Although the Investment Manager believes that decentralized finance ecosystem presents an opportunity for attractive returns as compared to other fixed income markets, there is a possibility that as additional capital enters any DEX the

interest rates and potential for returns will diminish which will negatively affect the Fund's returns.

- *Collateral and Borrower Default Risks.* The Fund is subject to various risks associated with the collateral securing the loans invested in by the Fund. The prices of Digital Assets can be extremely volatile, and the value of collateral pledged by a borrower may decrease, resulting in the borrower's loan being under-collateralized. If the value of the collateral decreases and in the event the Fund were forced to liquidate the collateral upon a buyer's default, there is no assurance that liquidation of any collateralized Digital Assets would satisfy a borrower's obligations under the applicable loan. Although borrowers on most DEXes are required to "over-collateralize" i.e. post collateral valued greater than the value of the loan (typically 120%-\$150%), the frequent and rapid volatility of Digital Assets may result in a situation where the value of the collateral that a borrower posted falls so rapidly that despite algorithmic liquidation triggers there is insufficient collateral value left over to repay the loan.

Due to the volatility of pricing Digital Assets, there may not be significant demand for a particular digital currency or digital asset, and the Fund may have difficulty liquidating certain Digital Assets held as collateral if a borrower defaults.

- *Interest Rate Risk.* The loans invested in by the Fund are subject to interest rate risk, which relates to changes in a loan's value as a result of changes in interest rates generally. Certain of the interest rates selected by the DEXes utilized by the Fund are variable and can fluctuate even after a loan has been made. Accordingly, the Fund may earn a lower interest rate on loans it has invested in if the interest rate is lower than the rate applicable at the time the Fund made the investment. Additionally, the interest rates applicable to the loans invested in by the Fund are determined by the DEXes through which such loans are made. Neither the Investment Manager nor the Fund has control over the interest rates applicable to such loans.
- *Liquidation Risk.* The Fund is also subject to liquidation risks when borrowing Digital Assets. DEXes utilized by the Fund or lenders of loans invested in by the Fund may force liquidation of the Digital Assets offered by the Fund as collateral for loans. Generally, liquidation will be forced if the loan is defaulted on or if the value of the posted collateral falls below a specific collateral ratio in comparison to the value of the amount borrowed. If liquidation is forced the Fund may be required to pay a liquidation penalty to the applicable DEX in addition to a separate discount on price of the amount of collateral sold, resulting in greater losses to the Fund's investments.
- *Technology Risk.* The software and technology of DEXes is experimental and new, and may now or in the future contain undetected bugs or security vulnerabilities. In addition, like digital exchanges, DEXes are appealing targets for cybercrime, hackers and malware. All of these risks could result in the loss of some or all assets held by the Fund.
- *Smart Contracts.* The loans invested in by the Fund may utilize smart contracts. Smart contracts are computer codes that can be created and run by the users of the network on which such smart contract is based. A smart contract can take information as an input, process that information through the rules defined in the computer code and

execute certain actions, such as digital currency or Digital Asset transactions, that have been programmed into the smart contract. The use of smart contracts creates risk exposure because smart contracts use experimental cryptography. The occurrence of software bugs or other flaws cannot be ruled out and could potentially result in the theft or destruction of funds.

- *Network Risk.* Most smart contracts are stored on a limited number of Networks and the Fund will be subject to certain risks related to such Networks. The development of the Networks could be impacted by one or more regulatory inquiries or regulatory actions. Additionally, Networks, have various levels of centralized control, (e.g., the Ethereum Foundation exerts a strong influence on the Ethereum platform), and the centralization of such power could make such Networks less secure. Furthermore, Networks may become destabilized due to the increased cost of running distributed applications. Destabilization of a Network could dampen interest in the Network and its native Digital Asset(s), making it more difficult for businesses utilizing the Network to operate, which could negatively impact the Fund and other users of such businesses.
- *Ethereum Risk.* Most smart contracts are stored on the Ethereum network, and the Fund will be subject to certain risks related to Ethereum. The development of the Ethereum platform could be impacted by one or more regulatory inquiries or regulatory actions. Additionally, the Ethereum Foundation exerts a strong influence on the Ethereum platform, and the centralization of such power could make the Ethereum platform less secure. The Ethereum platform is also subject to risks applicable to Digital Asset Networks as defined and further described below. A destabilization of the Ethereum platform could dampen interest in the Ethereum platform and ETH, making it more difficult for Ethereum-based businesses to operate, which could negatively impact the Fund and other users of such businesses.
- *Systemic Economic Risk.* Given the nascent state of the decentralized finance ecosystem, as well as interconnectivity of various protocols, there are unknown degrees of systemic risk.
- *Dependence on Service Providers.* DEXes rely on various parties to execute their business models. For example, DEXes administrators may rely on hardware security modules (HSMs), cloud based solutions for key management, and other critical operating infrastructure, which could be the subject of failure, loss, or theft. In such cases, administrative governance and control of the DEXes could be materially affected and, in some scenarios, lead to complete loss of funds. The platforms could be adversely affected if any such party ceases to provide those services, which would, in turn, adversely affect the Fund and the Limited Partners.
- *Operational Risk.* The Fund's investment strategy relies extensively on DEXes and DEXes' computer programs and systems to borrow or make loans, settle transactions and monitor its portfolio. The Investment Manager may not be in a position to verify the risks or reliability of such systems. If there is a failure in the price mechanism, or the occurrence of data manipulation or other failure to retrieve correct market data owing to price source issues, the value of collateral provided by a buyer for any loans

invested in by the Fund may be determined incorrectly, which could adversely impact the Fund.

- *Potential for Frontrunning.* The structure of DEXes permit independent network participants (“Searchers”) to seek out and execute trades to obtain the maximal extractable value (“MEV”) that can be extracted from block production in excess of the standard block reward and gas fees. Searchers can also utilize the bots or algorithms used to identify MEV opportunities to copy potentially profitable trades identified by other network participants and submit them with a higher gas price, enabling the Searcher to “front-run” the other network participants’ trading activity. Such activities by Searchers may adversely affect the Fund by reducing or eliminating the profits available to the Fund in connection with its trading activity.

Risks Related to the Avalanche Digital Network. The Avalanche protocol is a digital network designed to enable the development of fast, secure, and low-cost decentralized applications through the use of smart contracts and other technologies. Digital networks that are designed as smart contract platforms, such as Avalanche, are sometimes referred to as “layer 1” protocols. The Ethereum network, which was originally described in 2013, is the most well-known layer 1 smart contract platform, and enjoys a “first to market” advantage. In addition, a number of newer layer 1 networks have recently launched that are also smart contract platforms. Each smart contract platform has purported strengths and weaknesses relative to other smart contract platforms, including Avalanche. While it is possible for multiple layer 1 protocols to operate successfully concurrently, competition for users and developers may lead to decreased adoption of the Avalanche network, which could in turn adversely affect the value of the Fund’s investments.

The success of the Avalanche ecosystem may depend on the continued development, maintenance, and innovation of the Avalanche platform, its protocols, its network, its community, and its ecosystem partners. However, there is no guarantee that the platform will achieve its goals, meet its expectations, or overcome its challenges. The platform may face technical difficulties, bugs, errors, delays, failures, or disruptions that could impair its functionality, security, or scalability. The platform may also face governance issues, disputes, conflicts, or disagreements among its developers, users, validators, or stakeholders that could affect its direction, vision, or consensus. The platform may also face competition from other existing or emerging platforms that may offer similar or superior solutions or attract more users, developers, or investors. Any of these factors could negatively impact the value of the Fund’s investments in the Avalanche ecosystem.

Avalanche is a relatively new digital network that uses unique and novel technologies, and is unproven at scale. Accordingly, the development, use, and adoption of the Avalanche network is subject to substantial risk.

Prior Vulnerabilities Related to Avalanche. Avalanche has a record of a few potential vulnerabilities and operational risks, including:

- In 2022, an Ethereum developer discovered an existential bug in the Avalanche code. The bug was disclosed to Ava Labs, Inc. (“Ava Labs”) and was subsequently patched. The vulnerability

in the code involved the C-Chain and precompile code for Avalanche Native Tokens. The bug could be used to manipulate certain contracts to undermine the Avalanche network.

- There is at least one recorded instance in which Ava Labs allegedly altered the protocol without a community vote.
- In 2022, a report was published to a cryptocurrency whistleblower site, which included a video in which an attorney, Kyle Roche, was secretly recorded claiming that Ava Labs had hired his law firm to harm its competitors via at least 25 class-action lawsuits. Ava Labs denied all allegations and Roche claimed the report contained false information and that the video was edited to remove context and obtained illegally. Following the report, Ava Labs fired Roche and his law firm, Freedman Normand Friedland LLP, formerly Roche Cyrulnik Freedman. Roche subsequently resigned from the firm.
- In 2023, the Avalanche X-Chain and C-Chain experienced temporary outages and performance issues due to a bug in version 1.19.12 of the network. The Avalanche co-founder claimed the issue was caused by network instability rather than the bug, but an update was made to rectify the item in question in version 1.19.14.

Avalanche Subnets. In addition to its three blockchains and the primary network, the Avalanche platform allows anyone to create application-specific blockchains called “subnets” in exchange for burning AVAX tokens and paying additional fees. Throughout the Avalanche ecosystem, each blockchain may be validated by a single subnet, though multiple blockchains may be validated by the same subnet. Subnets present many unique risks to the Avalanche network, including:

- **Centralization Risk** – Subnets can lead to reduced decentralization if a smaller number of entities control a significant portion of a particular subnet. Further, if a subnet is controlled by a single entity or small group, it becomes a single point of failure. Any compromise or failure of a subnet can affect the entire network of the blockchain it validates.
- **Security Vulnerabilities** – Subnets can increase the attack surface of a network. Each subnet may have its own security protocols and a vulnerability in one subnet could be exploited to attack the entire network, particularly if subnets are not properly isolated from one another.
- **Interoperability Challenges** – Different subnets may use different protocols which can affect their interoperability. Further, it can be very complex and expensive to integrate subnets into a cohesive network.
- **Scalability Concerns** – Managing multiple subnets, including ensuring each subnet has adequate resources and security, is challenging and can strain network resources. If subnets are not properly managed, the overall performance and scalability of a blockchain can be negatively affected.
- **Regulatory and Compliance Risks** – Subnets operating in different jurisdictions may be subject to various regulations, making compliance efforts complex and expensive. Failure to comply with regulations can result in disciplinary action, fines, or other penalties.

- **Economic Risks** – Different subnets may have different incentive structures, leading to potential misalignment of interest among participants, which can affect the overall stability and security of the network. Additionally, the cost of setting up, maintaining, and securing multiple subnets can be significant.

Avalanche depends on the creation of subnets to scale its network, which makes the risks associated with subnets particularly relevant to the Fund’s investment strategy.

Stablecoin Specific Risks. Stablecoins are distinct from other Digital Assets in that their value is intended to be pegged to fiat currency, such as U.S. dollars (“USD”) (e.g., 1 stablecoin is intended to represent \$1 USD), and backed by an underlying asset, such as fiat currency like USD, commodities, or other Digital Assets. Stablecoins are subject to many of the same risks as other Digital Assets, but are also subject to unique risks. While stablecoins are intended to be less volatile than other Digital Assets, they are inherently subject to the volatility of the underlying assets by which they are backed. Stablecoins come in various forms, each with their own unique set of risks.

- Fiat-based stablecoins are centralized, which exposes the holder of such stablecoins to counterparty risk, including, but not limited to, the entity or entities that issue and support such stablecoin and manages conversion between such stablecoin and the relevant fiat currency. Specifically, fiat-based stablecoins require the holder of such stablecoins to rely on the issuer to have sufficient reserve to back up all of the issued stablecoins. For example, USDT issued by Tether is subject to controversy due to the lack of transparency and claims that Tether does not hold sufficient USD reserves to back all of the issued USDT tokens, which resulted in a significant drop in value of USDT October 2018. The financial institution in which a stablecoin issuer holds its USD reserves may also become insolvent, which may result in a significant drop in the value of the stablecoin. Further, fiat-based stablecoins are subject to greater oversight and regulation, and are generally dependent on the banking industry and other geopolitical factors, all of which could affect the value of such stablecoins.
- Algorithmic stablecoins rely on another Digital Asset to support such stablecoin with an algorithm or smart contract governing the relationship between the two assets. Such stablecoins utilize the smart contract to maintain their peg, typically to USD. Destabilization of the Digital Asset on which an algorithmic stablecoin relies can lead to a complete collapse in the value of the stablecoin. For example, in May of 2022, TerraUSD (or UST, for short), an algorithmic stablecoin created and administered by Terraform Labs, collapsed after attacker(s) flooded the Digital Asset market with UST putting downward pressure on the price of UST and investors, sensing negative sentiment, further withdrew UST compounding the loss of UST’s peg to USD.
- Digital Asset-backed stablecoins rely on various forms of collateralized Digital Assets, to allow for such stablecoin to maintain their value. Digital currency backed stablecoins are inherently more volatile than stablecoins backed by fiat currencies or commodities given the volatility of the underlying Digital Assets. Even though overcollateralization (sometimes to the extent of 170% or greater) of Digital Assets is generally required with respect to Digital Asset-backed stablecoins, there is no guarantee such collateral will be sufficient for a stablecoin to maintain its value or its peg. The collateral backing Digital Asset based stablecoins is generally held in smart contracts and the underlying Digital Asset should be immediately liquidated if the value of such Digital Asset falls below a certain threshold. For example, DAI, a stablecoin launched on the Ethereum blockchain was overcollateralized at a ratio of 141% as of August 2022 via its “vault” smart contract. The greater the value of the collateral, the more such Digital Assets

would need to fall in value before such stablecoins lose their peg. If the underlying digital currency loses too much value, the system may become under-collateralized and there is potential the stablecoin will quickly lose its peg and all value. In addition, there is a risk that the underlying Digital Asset held as collateral is not adopted or no longer accepted on other platforms, implicitly lowering the value of such collateral, and increasing the risk such Digital Asset backed stablecoin loses its value.

- Stablecoins promoted or supported by entities other than the central bank of a particular country may face competition from stablecoins issued as legal tender by the central banks of various countries. Central bank digital currencies (“CBDCs”) may or may not incorporate blockchain or similar technologies, but may have advantages as a medium of exchange or store of value depending on the level of confidence in the issuing central bank. Financial institutions may also be incentivized to support CBDCs over other kinds of stablecoins depending on the regulatory environment in the countries having jurisdiction over such financial institutions. If one or more CBDCs gains significant market share among stablecoins in use at any given time, the value of non-CBDC stablecoins may be materially and adversely affected.

OTC Transactions. The Fund will engage in transactions involving Digital Assets and securities traded on over-the-counter (“OTC”) markets. In general, there is less governmental regulation and supervision in the OTC markets than of transactions entered into on an organized exchange. In addition, many of the protections afforded to participants on some organized exchanges, such as the performance guarantee of an exchange clearinghouse, will not be available in connection with OTC transactions. This exposes the Fund to the risks that a counterparty will not settle a transaction because of a credit or liquidity problem or because of disputes over the terms of the contract. Such risks are accentuated for contracts with longer maturities where events may intervene to prevent settlement, or where the Fund has concentrated its transactions with a single or small group of OTC counterparties. Moreover, the Fund has no internal credit function that evaluates the creditworthiness of their OTC counterparties. Therefore, to the extent that the Fund engages in trading on OTC markets, the Fund could be exposed to greater risk of loss through default than if it confined its trading to regulated exchanges.

Liquidity Risk. Liquidity risk exists when particular investments are difficult to purchase or sell, possibly preventing the Fund from selling out of these illiquid investments at an advantageous price.

Concentrated Ownership of Digital Assets. Certain Digital Assets may have highly concentrated ownership, with certain wallets, or groups of wallets owned or controlled by a single or small group of persons, holding a majority or a substantial portion of a Digital Asset in circulation. In the event such person or persons determine to sell or otherwise dispose of such Digital Asset in a short period of time, the price for such Digital Asset could rapidly decline. If the Fund is holding such Digital Asset at such time, the value of the Fund’s holdings of such Digital Asset may be materially and adversely affected.

Limitations on Scaling Digital Asset Networks. Many Networks face difficulties scaling due to the inherent tradeoff between the security and scalability of public Networks. At present, decentralized Networks are generally considered to be more secure than centralized networks due to the lessened risk of manipulation or capture by a single or small group of intermediaries. However, decentralization may also limit the number of transactions that can be processed by a Network due to the capabilities and requirements of each node that participates in the verification of transactions on such Network.

Digital Asset Transaction Costs and Settlement Times. Transaction costs related to the purchase, sale, or exchange of Digital Assets can be significant depending on the Network, Digital Asset Exchange, or other means used to engage in such transaction. Because Networks can only process a

limited number of transactions simultaneously, the fees charged to process a specific transaction or the settlement time for such transaction may be significant. Such fees or delayed settlement times may limit the Fund's ability to engage in subsequent transactions or to exit positions during periods of heightened volatility without incurring substantial fees or other transaction costs.

Risk of Cryptocurrencies Lending. The Fund may borrow and lend cryptocurrencies, tokens, and other types of Digital Assets in the ordinary course of its business. Third parties that borrow cryptocurrencies, tokens, or other Digital Assets from the Fund may not be able to return these cryptocurrencies, tokens, or other Digital Assets on demand (possibly causing the Fund to default on its obligations to other parties) and may also default on the payment obligations owed to the Fund in connection with such loans, potentially resulting in substantial losses to the Fund. The Fund may lose the entire value of the cryptocurrencies, tokens, and other types of Digital Assets it lends to defaulting borrowers. The Fund may lend only one or a limited universe of Digital Assets, including but not limited to stablecoins. In the event of the catastrophic failure of a particular Digital Asset protocol, such protocol may convert the entire Digital Asset to another digital currency or Digital Asset (such as Ethereum), which may result in a particular risk that some or all of the principal may be lost, or assets placed into the protocol may be lost in their entirety.

Securities and Digital Asset Lending and Borrowing. The Fund may lend securities or Digital Assets to securities brokers and other institutions to earn additional income or borrow securities or Digital Assets from securities brokers or other institutions to enable short sales. If the other party becomes insolvent or bankrupt, the Fund could experience delays and costs in recovering payment or the securities. If, in the meantime, the value of the securities changes, the Fund could experience further losses. Security and Digital Assets loans may be fully collateralized and the Investment Manager may misjudge the creditworthiness of the other party to the transaction. If the lending or borrowing occurs through a blockchain-based platform, additional risks related to such platform may impair the Fund's loans or collateral.

DeFi Lending of Digital Assets. DeFi lending involves participation in a blockchain-based Digital Asset network, protocol or platform ("DeFi Lending Platform") wherein the Fund contributes Digital Assets and receives interest on such Digital Assets. Where DeFi lending is on an uncollateralized basis, the Fund is exposed to the credit risk of the underlying borrowers but typically will not be able to conduct due diligence or credit checks on such underlying borrowers and will have to rely on any such due diligence or credit checks conducted or other threshold conditions imposed by the DeFi Lending Platform. Where DeFi lending is on a collateralized basis, there is a risk that, notwithstanding any margin calls or other collateral protection and maintenance mechanisms as may be built into the DeFi Lending Platform the value of such collateral may not be sufficient to satisfy the principal (or interest) owed on any Digital Assets lent. As DeFi lending may not be ring-fenced on a geographic basis, it is also possible for lending to occur across different jurisdictions, which may cause the Fund and/or the DeFi Lending Platform to potentially be in breach of laws or subject to regulatory oversight in such jurisdictions, including as a result of laws or regulations governing the dealing in Digital Assets, usury laws, money lending laws and may also give rise to the risk of the Fund being deemed to have a business or tax presence in such jurisdictions. There are also greater risks in terms of the profile of borrowers on DeFi Lending Platforms as compared to borrowers on the commercial paper or bond markets. There is no established equivalent to the system of credit ratings for debt issuers or credit scores for individuals for DeFi Lending Platforms. Furthermore, DeFi Lending Platforms will typically incorporate into their operations smart contracts and both the blockchain and the smart contracts may be subject to slow transaction speeds, denial of service attacks, and other vulnerabilities, flaws, bugs or loopholes which could be the subject of malicious hacks or result in accidental or unintended

outcomes which can result in losses for some or all participants on such DeFi Lending Platforms, including as a result of a rug pull scam whereby a liquidity provider lists a token on a DEX for the sole purpose of gaining investment for such token and then pulls all of its liquidity from the project, resulting in a rapid price crash that prevents other investors from retrieving their funds in time. Recovery from such outcomes may not be possible, and in decentralized DeFi Lending Platforms, may require the agreement or all or the majority of participants on such DeFi Lending Platforms to amend or otherwise vary on the operations of the DeFi Lending Platform. On DeFi Lending Platforms where a trusted central or third party authority plays a role, while such trusted authority may have certain powers within the DeFi Lending Platform (such as emergency controls to halt certain transactions) significant power may be vested in such trusted authorities, introducing a potential key point of failure. Furthermore, DeFi lending is a new and relatively untested technology, subject to further developments in the area. While it is intended that potential risks will be identified and resolved or otherwise mitigated, there may be risks or categories of risks for which it is not possible to identify or have prior knowledge of, given their novel nature and the failure to adapt to and resolve such novel risks may have an adverse effect on the Fund.

Digital Assets Lending Programs. The Fund may participate in Digital Asset lending programs offered by certain CeFi and DeFi (blockchain protocol-based) exchanges to investors, including investors seeking to short such Digital Assets. Interest will accrue to the Fund until such Digital Assets are replaced. While the exchanges on which the Fund lends its Digital Assets requires borrowers to post collateral and provides for forced liquidation procedures, there is no assurance that such procedures will prevent the Fund from losing capital in connection with its lending practices.

For any particular loan, and thus for all loans, there are many risks that some or all of the principal and interest may fail to be repaid, including but not limited to:

- the value of the borrower's leveraged position declines so quickly that forced liquidation does not occur quickly enough to preserve some or all of the principal and interest;
- a "flash crash" causes a forced liquidation at a price insufficient to recover some or all of the principal and interest;
- the software systems enforcing forced liquidation do not function correctly or at all;
- the software systems enforcing forced liquidation function correctly but are too slow to preserve some or all of the principal and interest;
- the software systems enforcing forced liquidation are compromised due to an attack or "hack";
- the exchange purported to enforce liquidation does not do so, for any reason or for no reason at all; and
- the exchange purported to enforce liquidation experiences a disruption of service, is halted by an investigation, regulatory enforcement, or litigation, or otherwise becomes non-operational.

Usury Laws. U.S. federal law permits the issuing bank that originates a loan to export the interest rates permitted by law in the state where the issuing bank is located to the state where the borrower is located.

Certain states where borrowers are located have usury laws which limit the interest rate able to be charged on their loans. If a borrower were to successfully bring a claim against a loan provider for violations of such local state usury laws, the interest collectable on such loans could be materially reduced, which may adversely affect the ability of the Fund to achieve its investment objective and expected profitability.

Further, it is possible that a state's usury laws may affect the ability of an assignee of a loan to charge the underlying borrower the interest rate agreed upon by the originator of such loan and the borrower. In particular, the recent decision of *Madden v. Midland Funding, LLC* (786 F.3d 246 (2d Cir. 2015)) ("Madden") concluded that the purchaser of a charged off credit card account could not rely on the federal law preempting state usury laws described in the paragraph above. To the extent the Fund purchases a loan from an assignee of such loan, the Madden decision could affect the ability of the assignee to continue to charge the borrowers the agreed upon interest rates. In the event that the assignee is no longer permitted to charge the borrowers the interest rates agreed upon between the borrower and the originator of each loan, the Fund may not be able to recover its full investment in such loans and the profitability of the Fund may be adversely affected.

Impermanent Loss. Automated market maker protocols and other yield-bearing capital pools are a new and novel technology which allow the Fund to earn trading fees by providing liquidity to such pools. These systems may have risks that are not yet fully understood when there is volatility in the underlying Digital Assets which comprise the capital pool. Volatility within such yield-bearing capital pools could lead to loss of committed Digital Assets (such loss, "Impermanent Loss") or other unexpected adverse behaviors, thereby lowering the value of the Fund's returns of Digital Assets from such yield-bearing capital pools. Additionally, such capital pools are open market systems that may be subject to a variety of economic/volatility attacks by other market participants. Such adverse action by other market participants may further increase the volatility of the underlying Digital Assets in the capital pools thereby compounding any Impermanent Loss.

Rebasing of Digital Assets. Unlike Bitcoin and other Digital Assets where the supplies of such Digital Assets are readily and predictably known, certain other Digital Assets are engineered through smart contracts where the supplies of such Digital Assets are not fixed and adjust routinely. Such Digital Assets have a dynamic or elastic supply (and may be referred to as elastic supply tokens), and the mechanism used to adjust the supply is referred to as a rebase. The rebasing mechanism adjusts an elastic supply token's circulating supply periodically when a related parameter of any such token, such as price, changes. Elastic supply tokens aim for a target price with a time-varying supply of such tokens. For example, if the target price for an elastic supply token is \$1 USD and such price falls below \$1 USD, the current supply of such elastic supply token will decrease and the value of each such token will increase. Conversely, if the price increases above \$1 USD, the rebase will increase the supply of such elastic supply tokens and the value of each such token will decrease. Because investments in any elastic supply tokens may be subject to periodic rebasing's, the Fund's investments in any elastic supply tokens may fluctuate greatly with respect to the number and value of such tokens held. While a rebase may potentially result in a profitable event, investments in elastic supply tokens may be extremely volatile, even more volatile than the Digital Asset space, generally. An investment in elastic supply tokens may result in a loss of value or amount of an investor's total holdings as each rebase occurs, and in a downtrend, this may cause a spiral of negative rebases. In the worst-case scenario, the

supply changes are unable to increase demand and re-stabilize the price and market cap of such elastic supply token, resulting in further losses.

Risk of Rug Pull Scam. In recent years, “rug pull” scams have become a predominant exit scam in the Digital Asset and DeFi space. A “rug pull” scam (also known as “rugging”) occurs when a hacker or a fraudulent issuer injects liquidity into an underlying asset that is thinly traded and, in some cases, encourages other investors to do the same, causing a significant increase in the underlying price (such increase otherwise known as the “pump” in a “pump-and-dump scheme”). In a rug pull, the hacker or issuer subsequently sells its underlying assets, receiving generally a large profit (otherwise known as the “dump”). Such a large sell-off of the assets may cause a chain reaction in the marketplace that crashes the value of the asset. While it may be difficult to detect a rug pull before it has been completed, the Investment Manager conducts extensive research before investing in any Digital Assets whether such asset is susceptible to becoming victim to a rug pull to minimize the likelihood of a rug pull affecting the Fund’s investments. A rug pull may adversely affect a Limited Partner’s investment and could result in a total loss of capital.

Credit Risk. Because derivative transactions in which the Fund may engage involve instruments that are not traded on an exchange but are instead traded between counterparties based on contractual relationships or on crypto-related platforms, the Fund is subject to the risk that a counterparty will not perform its obligations under the related contracts. Although the Fund intends to enter into transactions only with counterparties which the Investment Manager believes to be creditworthy, there can be no assurance that a counterparty will not default and that the Fund will not sustain a loss on a transaction as a result.

In situations where the Fund is required to post margin or other collateral with a counterparty, the counterparty may fail to segregate the collateral or may commingle the collateral with the counterparty’s own assets. As a result, in the event of the counterparty’s bankruptcy or insolvency, the Fund’s collateral may be subject to the conflicting claims of the counterparty’s creditors, and the Fund may be exposed to the risk of a court treating the Fund as a general unsecured creditor of the counterparty, rather than as the owner of the collateral.

The Fund is subject to the risk that issuers of the instruments in which it invests and trades may default on their obligations under those instruments, and that certain events may occur that have an immediate and significant adverse effect on the value of those instruments. There can be no assurance that an issuer of an instrument in which the Fund invests will not default, or that an event that has an immediate and significant adverse effect on the value of an instrument will not occur, and that the Fund will not sustain a loss on a transaction as a result.

Transactions entered into by the Fund may be executed on various U.S. and non-U.S. exchanges, and may be cleared and settled through various clearing houses, custodians, depositories and prime brokers throughout the world. Although the Fund attempts to execute, clear and settle the transactions through entities the Investment Manager believes to be sound, there can be no assurance that a failure by any such entity will not lead to a loss to the Fund.

Credit Market Illiquidity. Crypto-related credit markets are an especially nascent industry and may experience an extended period of significant illiquidity. While a lack of liquidity may create opportunities for the Fund to acquire assets at prices that the Investment Manager believes are attractive, lack of liquidity also creates a number of risks. There is no guarantee that the credit markets will not experience a lack of liquidity or increased volatility in the future. Further, there can be no

assurance that the markets will, in the future, continue to be more liquid. It is also possible that illiquidity in the market could cause prices to decline further, which may have the result of forcing the Fund or other leveraged investment vehicles to sell assets to satisfy requirements under its borrowing arrangements or to meet margin calls, which could, in turn, create further downward price pressure. If there is a substantial decline in the market value of the Fund's portfolio of investments, investments may need to be liquidated quickly, and perhaps not at fair value. Upheavals in the crypto-related credit markets may cause margin borrowing costs and securities borrowing costs to increase. Such increases in borrowing costs may impact the Fund's ability to generate returns.

Limited Exchanges on Which to Trade. The Fund may trade on a limited number of exchanges (and potentially only a single exchange) either because of actual or perceived counterparty or other risks related to a particular exchange. Trading on a single or limited number of exchanges may result in less favorable prices and decreased liquidity for the Fund and therefore could have an adverse effect on the Fund and the Limited Partners.

Risks of Buying or Selling Digital Assets. The Fund may transact with private buyers or sellers or virtual currency exchanges. The Fund will take on credit risk every time it purchases or sells digital currency or Digital Assets, and its contractual rights with respect to such transactions may be limited. Although the Fund's transfers of Digital Assets or cash will be made to or from a counterparty which the Investment Manager believes is trustworthy, it is possible that, through computer or human error, or through theft or criminal action, the Fund's Digital Assets or cash could be transferred in incorrect amounts or to unauthorized third parties. To the extent that the Fund is unable to seek a corrective transaction with such third party or is incapable of identifying the third party which has received the Fund's Digital Assets or cash (through error or theft), the Fund will be unable to recover incorrectly transferred Digital Assets or cash, and such losses will negatively impact the Fund.

Exchanges Operating Outside of the U.S. Certain of the Fund's Digital Asset exchanges may operate outside of the United States. The Fund may have difficulty in successfully pursuing claims in the courts of such countries or enforcing in the courts of such countries a judgment obtained by the Fund in another country. Further, should an exchange cease operation due to criminal actions or for financial or regulatory reasons, the Fund may suffer losses and will likely be subject to the laws of the exchange's home country when pursuing remedies. In general, certain less developed countries lack fully developed legal systems and bodies of commercial law and practices normally found in countries with more developed market economies. Exchanges operating outside the U.S. typically limit or prohibit, or may in the future without notice limit or prohibit, investment by entities with U.S. beneficial owners in order to avoid U.S. regulations. Should an exchange on which the Fund trades prohibit U.S. beneficial owners or limit the Fund's trading, the Fund may be forced to liquidate its positions at an inopportune time and be further limited or prevented from making investments in accordance with its investment strategy. It is possible in such an event that the exchange could "freeze" the Fund's account thereby preventing the Fund from accessing its account completely, and the Fund would be unable to trade or withdraw funds from the exchange. Furthermore, any trading profits that the Fund would have made as a result of early liquidation will not be available to the Fund and the Fund, in certain cases, may be obligated to indemnify the exchange for losses incurred due to the liquidation and to participate in an investigation conducted by the exchange and/or relevant authorities. If the Fund, either directly or through a Master Fund, holds assets on an exchange where it is technically not an eligible counterparty, the exchange may have a claim for breach of contract against the Fund or such Master Fund. These legal and regulatory risks may adversely affect the Fund and its operations and investments.

Third Party Wallet Providers. The Fund may use third party wallet providers to hold a portion of the Fund's Digital Assets. The Fund may have a high concentration of its Digital Assets in one location or with one third party wallet provider, which may be prone to losses arising out of hacking, loss of passwords, compromised access credentials, malware, or cyber-attacks. The Fund is not required to maintain a minimum number of wallet providers to hold the Fund's Digital Assets. The Fund may not do detailed information technology diligence on such third-party wallet providers and, as a result, may not be aware of all security vulnerabilities and risks. Certain third-party wallet providers may not indemnify the Fund against any losses of Digital Assets. Digital Assets held by third parties could be transferred into "cold storage" or "deep storage," in which case there could be a delay in retrieving such Digital Assets. The Fund may also incur costs related to third party storage. Any security breach, incurred cost or loss of Digital Assets associated with the use of a third-party wallet provider, may adversely affect an investment in the Fund.

Bankruptcy of Third Party Wallet Providers, Custodians, and Exchanges. The Fund may hold Digital Assets with one or more third party wallet providers, custodians, and/or exchanges (each, a "Third Party Custodian"). There is a risk that a bankruptcy court would deem Digital Assets held with a Third Party Custodian to be the property of the bankruptcy estate in the event of a Third Party Custodian's bankruptcy. In that case, the Fund could be treated as a general unsecured creditor of the Third Party Custodian, which means the Fund would not have a claim to its specific Digital Assets held with the Third Party Custodian, and could only recover the value of its Digital Assets to the extent there are funds remaining after more senior and secured creditors' claims have been satisfied. Moreover, the value of such Digital Assets may fluctuate (up or down) after the filing of the bankruptcy petition and the Fund's claim may not receive the benefit of such higher valuation or could be reduced in the case of a lower valuation. In such an event, the Fund may be unable to recover the full value of its Digital Assets held at the Third Party Custodian, which could result in significant losses.

Risk of Loss of Private Key. Digital Assets are controllable only by the possessor of unique private keys relating to the addresses in which the Digital Assets are held. The theft, loss or destructions of a private key required to access a Digital Asset is irreversible, and such private keys would not be capable of being restored by the Fund. Any loss of private keys relating to digital wallets used to store the Fund's Digital Assets could result in the loss of the Digital Assets and a Limited Partner could incur substantial, or even total, loss of capital.

Risk of Loss Due to Incapacitation of Key Personnel. The Key Personnel may be the sole individuals in possession of the unique private keys required to access the Digital Assets held by the Fund. The incapacitation of the Key Personnel would likely result in the loss of the private keys and, consequently, the loss of the Digital Assets held by the Fund. In such an event, a Limited Partner could incur substantial, or even total, loss of capital.

Risk of Loss Due to Failure of Custodial Systems. The Investment Manager may utilize a proprietary self-custody system for custody of the Fund's assets that seeks to mitigate risk from any single malicious individual or security threat, however there are a variety of risks that could lead to a system failure, resulting in the loss of the Fund's Digital Assets. Any hardware, including physical backups used by the Investment Manager to store the Fund's Digital Assets, could fail or become unusable. The incapacitation or coercion of any privileged team members of the Investment Manager who have access to the cryptographic keys required to access some or all of the Digital Assets held by the Fund could result in the loss of the private keys and consequently, the loss of the Digital Assets held by the Fund. The system is also vulnerable to a malicious insider sabotaging the system or sophisticated malware and cryptographic errors or attacks, which could lead to a loss of funds. Additionally, while

funds are being transferred from the applicable custody system, protocol, application, or user errors could additionally lead to incorrect sends that cause funds to be irrecoverably lost. In any of the events described above, a Limited Partner could incur substantial, or even total, loss of capital.

Digital Assets Trading is Volatile and Speculative. Digital Assets represent a speculative investment and involve a high degree of risk. As relatively new products and technologies, Digital Assets have not been widely adopted as a means of payment for goods and services by major retail and commercial outlets. Conversely, a significant portion of the demand for Digital Assets is generated by speculators and investors seeking to profit from the short or long-term holding of Digital Assets. The relative lack of acceptance of Digital Assets in the retail and commercial marketplace limits the ability of end-users to pay for goods and services with Digital Assets. A lack of expansion by Digital Assets into retail and commercial markets, or a contraction of such use, may result in increased volatility.

Trading on Digital Asset Networks. The Fund will convert U.S. dollar contributions made by limited partners to Digital Assets over specific networks, as applicable. The Fund may use certain Digital Assets to purchase other Digital Assets. Many Digital Asset networks are online end-user-to-end-user networks that host a public transaction ledger, known as the blockchain, and the source code that comprises the basis for the cryptographic and algorithmic protocols governing such networks. In many Digital Asset transactions, the recipient of the Digital Asset must provide its public key, which serves as an address for a digital wallet, to the party initiating the transfer. In the data packets distributed from Digital Asset software programs to confirm transaction activity, each Digital Asset user must “sign” transactions with a data code derived from entering the private key into a “hashing algorithm,” which signature serves as validation that the transaction has been authorized by the owner of such Digital Asset. This process is vulnerable to hacking and malware, and could lead to theft of the Fund’s digital wallets and the loss of the Fund’s Digital Assets. Many Digital Asset exchanges have been closed due to fraud, failure or security breaches. In many of these instances, the customers of such Digital Asset exchanges were not compensated or made whole for the partial or complete losses of their account balances in such Digital Asset exchange.

Amendments to a Digital Asset Network’s Protocols and Software Could Adversely Affect the Fund’s Investment and Trading Activities. Digital Asset networks (collectively, “Networks”) are typically based on protocols that govern peer-to-peer interactions between computers connected to a digital asset’s Network. Generally, the code that sets forth a Digital Asset’s protocol is informally managed by a development team known as the core developers. A Digital Asset’s core developers, miners, and/or users (each such core group in respect of a particular Digital Asset, the “Community”) can propose amendments to a Network’s source code through one or more software upgrades that alter such Digital Asset’s protocols, the software that govern its Network and the properties of the Digital Asset itself, including, but not limited to, the irreversibility of transactions and limitations on the mining/creation of new Digital Asset units. To the extent that a majority of a Community installs such software upgrade(s), such Digital Asset’s Network could be subject to new protocols and software that may adversely affect the Fund’s investment and trading activities. If less than a majority of a Community installs such software upgrade(s), such Digital Asset’s Network could “fork.”

Many Digital Assets are open source projects and, although there may be an influential group of leaders in a specific Community, there may be no official developers or group of developers that formally control the applicable Network. For many Digital Assets, any individual can download the applicable Network software and make any desired modifications, which are proposed to the relevant Digital Asset’s Community through software downloads and upgrades. However, the Community must usually consent to those software modifications by downloading the altered software or upgrade that

implements the changes; otherwise, the changes do not become a part of that Network. A developer or group of developers could potentially propose a modification to a Network that is not accepted by the applicable Community, but that is nonetheless accepted by a substantial portion of such Community. In such a case, a “fork” in the blockchain could develop and two separate Networks could result, one running the pre-modification software program and the other running the modified version (i.e., a second such Network in respect of the same Digital Asset). Such a fork in the blockchain typically would be addressed by Community-led efforts to merge the forked blockchains. This kind of split in a Network could materially and adversely affect the value of Fund investments and, in the worst-case scenario, harm the sustainability of the applicable Digital Asset’s economy.

Risk to Digital Asset Networks from Malicious Actors. If a malicious actor or botnet (a volunteer or hacked collection of computers controlled by networked software coordinating the actions of the computers) obtains a majority of the processing power dedicated to mining on certain Digital Asset networks, it may be able to alter the blockchain on which the Digital Asset transaction relies on by constructing alternate blocks if it is able to solve for such blocks faster than the remainder of the miners on the Digital Asset network can add valid blocks. In such alternate blocks, the malicious actor or botnet could control, exclude or modify the ordering of transactions, though it could not generate new Digital Assets or transactions using such control. Using alternate blocks, the malicious actor could double spend its own Digital Assets and prevent the confirmation of other users’ transactions for so long as it maintains control. To the extent that such malicious actor or botnet does not yield its majority control of the processing power on various Digital Asset networks or the Digital Asset community does not reject the fraudulent blocks as malicious, reversing any changes made to the blockchain may not be possible. Such changes could adversely affect an investment in the Fund or the ability of the Fund to transact.

Forks and Airdrops. The blockchain code for a Digital Asset may be split, resulting in two different Digital Assets: one that is unaltered and a second, new Digital Asset whose code is based on but differs from the original Digital Asset’s code (a “Hard Fork”). Further, new Digital Assets may be distributed via “airdrops” to holders of certain existing Digital Assets (an “Airdrop”). New Digital Assets provided via a Hard Fork or Airdrop are provided involuntarily and without consideration. A Hard Fork or Airdrop may affect the value of the original Digital Asset. The Investment Manager, in its sole discretion, may elect to claim the new Digital Asset created as a result of a Hard Fork or Airdrop. Further, various exchanges, custodians, wallets, or other storage solutions may not accommodate such Hard Forks or Airdrops or may only accommodate such Hard Forks or Airdrops after a significant period of time. Additionally, the Investment Manager may not have any systems in place to monitor or participate in Hard Forks or Airdrops. Therefore, the Fund may not receive any new Digital Assets created as a result of a Hard Fork or Airdrop, thus losing any potential value from such Digital Assets.

Digital Assets Miners May Cease to Solve Blocks. If the award of new Digital Assets, including bitcoins or other coins, as applicable, for solving blocks declines and transaction fees are not sufficiently high, miners may not have an adequate incentive to continue mining and may cease their mining operations. Miners ceasing operations would reduce the collective processing power on such Digital Asset network, as applicable, which would adversely affect the confirmation process for transactions (i.e., decreasing the speed at which blocks are added to the blockchain until the next scheduled adjustment in difficulty for block solutions) and make such network more vulnerable to a malicious actor or botnet obtaining control in excess of 50% of the processing power on such network.

Any reduction in confidence in the confirmation process or processing power of such network may adversely impact an investment in the Fund.

Intellectual Property Rights Claims May Adversely Affect the Operation of Digital Asset Networks. Third parties may assert intellectual property claims relating to the operation of Digital Assets and their source code relating to the holding and transfer of such assets. Regardless of the merit of any intellectual property or other legal action, any threatened action that reduces confidence in the Digital Asset's long-term viability or the ability of end-users to hold and transfer Digital Assets may adversely affect an investment in the Fund. Additionally, a meritorious intellectual property claim could prevent the Fund and other end-users from accessing such Digital Asset network or holding or transferring their Digital Assets, which could force the Fund to terminate and liquidate the Fund's Digital Assets (if such liquidation of the Fund's Digital Assets is possible). As a result, an intellectual property claim against the Fund could adversely affect an investment in the Fund.

Proof of Stake Risk. The Fund may invest some of its assets through protocols that verify transactions through a concept known as Proof of Stake ("PoS"). PoS generally allows holders of a Digital Asset to verify future transactions in a protocol based on various factors, depending on the rules of the protocol. Some protocols allow holders with a larger amount of the Digital Asset (i.e. stakes) deposited in the protocol to be awarded with additional Digital Assets through the verification of future transactions. Those with stakes in some protocols may also have the ability to govern and vote on how the protocol is controlled in the future. As PoS typically requires storing a large amount of the relevant Digital Asset for a potentially long period of time in order to verify future transactions on the protocol, such investments may be illiquid for an extended period of time before there is any return on investment. Such illiquidity could have an adverse effect on the Fund. To the extent the Fund invests any of its assets through PoS-based protocols, there is a risk that a protocol assesses a penalty against the Fund in connection with the Fund's activities in verifying transactions in such protocol, which could result in a loss of some or all of the Fund's Digital Assets that have been deposited in the protocol. Further, PoS is subject to the same risks associated with Digital Assets in general including, but not limited to, equipment failure, regulatory control, and a failure of the network which the stake is deposited on.

Slashing of Digital Assets. A "slashing" is an event where the validator in a Digital Asset network or blockchain is forced to forfeit a defined proportion of staked tokens, which are then burned or redistributed to other stakeholders. In addition, staked tokens of delegators may also be at risk of being forfeited based on the actions of the validators they have chosen. Downtime and double-signing are examples of harmful behaviors that may result in slashing. Most PoS networks have defined slashing parameters with corresponding penalties and varying degrees of severity, although some networks do not penalize such activities and, instead, rely on opportunity costs and validator reputation to create an efficient delegation market. Certain networks therefore will pose more risks due to parameters around slashing. Additionally, while the General Partner will seek to only delegate Digital Assets to reputable validators, any validator may engage in dishonest validation or other malicious behavior over which the General Partner has no control and which may result in "slashing" of the Digital Assets staked by the validator (including Digital Assets delegated by the Fund to the validator). To the extent the Fund delegates Digital Assets to a validator on a PoS Digital Asset network or blockchain that is subject to slashing, such assets are also subject to slashing which may result in a partial or complete loss of such Digital Assets.

Computer Malware, Viruses, Bugs, Etc. Computer malware, viruses, and computer hacking and phishing attacks have become more prevalent in the industries in which the Digital Asset exchanges

(DEXs and CeFi exchanges) operate, and may occur on such exchanges' systems or technologies. Though it is difficult to determine what, if any, harm may directly result from any specific interruption or attack, any failure to maintain performance, reliability, security, and availability of exchange products and technical infrastructure may harm such exchanges' reputations, their ability to retain existing users and attract new users, and their results of operations.

Digital Asset exchange products and internal systems generally rely on software that is highly technical and complex, and such exchanges' internal systems depend on the ability of such software to store, retrieve, process, and manage immense amounts of data. Such software may now or in the future contain undetected errors, bugs, or vulnerabilities. Some errors may only be discovered after the code has been released for external or internal use. Errors or other design defects within such software may result in a negative experience for users and marketers who use Digital Asset exchange products, delay product introductions or enhancements, or result in measurement or billing errors. Any errors, bugs, or defects discovered in an exchange's software could result in damage to such exchange's reputations, loss of users, loss of revenue, or liability for damages, any of which could adversely affect such exchange's business and financial results, and could result in significant losses for the Fund.

Stolen or Incorrectly Transferred Digital Assets May be Irretrievable. Once a transaction has been verified and recorded in a block that is added to the blockchain, an incorrect transfer of Digital Assets or a theft of Digital Assets generally will not be reversible and the Fund may not be capable of seeking compensation for any such transfer or theft. It is possible that, through computer or human error, or through theft or criminal action, the Fund's Digital Assets could be transferred in incorrect amounts or to unauthorized third parties. To the extent that the Fund is unable to seek a corrective transaction with such third party or is incapable of identifying the third party which has received the Fund's Digital Assets through error or theft, the Fund will be unable to revert or otherwise recover incorrectly transferred Digital Assets. To the extent that the Fund is unable to seek redress for such error or theft, such loss could adversely affect an investment in the Fund.

Initial Coin Offering and Pre-Sale Initial Coin Offering Risk. The Fund may invest some of its assets in ICOs. The Fund may also invest some of its assets in presale-ICOs ("pre-ICOs"), which may include but are not limited to Simple Agreements for Future Tokens. ICOs and pre-ICOs allow for investors to purchase digital tokens offered or created by blockchain based companies on various platforms in exchange for dollars or already established digital currencies which can then be converted to dollars on a cryptocurrency exchange. ICOs and pre-ICOs are currently unregulated and are subject to fraud, security breaches, regulatory developments, enforcement actions, and technological developments. ICOs and pre-ICOs can at any point become subject to federal and state securities laws, federal commodity laws, and various international regulations, among other restrictions. Such restrictions may have an adverse impact on the Fund's assets or on the Fund's ability to sell its assets. As investors can purchase new tokens with already existing digital currencies, investments in ICOs and pre-ICOs subject the Fund to all risks associated with digital currencies in general.

ICOs and pre-ICOs occur in respect of Digital Assets that have not been tested or used in the marketplace. As a result, the risk that Digital Assets obtained by the Fund through ICOs or pre-ICOs will have imperfections and/or be susceptible to hackers is greater than that of Digital Assets that have already been established. In addition, there is also the risk that Digital Assets obtained by the Fund through ICOs or pre-ICOs will not develop a following.

As ICOs and pre-ICOs may arise at unpredictable intervals, there is a risk that the Fund's investments may become concentrated in a single (or limited number of) Digital Asset(s). Such limited

diversification may result in the concentration of risk, which, in turn, could expose the Fund to losses disproportionate to market movements in general if there are disproportionately greater adverse price movements with respect to such Digital Asset(s). In addition, the Fund may be forced to hold cash for significant periods of time (until the occurrence of an ICO or pre-ICO opportunity).

Digital Assets acquired by the Fund in connection with ICOs and pre-ICOs may also entail promises to sell within, or hold for, a specified time period. As a result, the Fund may be forced to sell an investment at an inopportune time, or hold an investment at times where it would otherwise be advantageous to sell. Digital Assets sold through ICOs and pre-ICOs are currently experiencing high levels of performance and rapid increases in price. While past performance is generally not indicative of future results, this is especially the case with respect to Digital Assets purchased through ICOs and pre-ICOs, which are relatively new and untested products. In addition, there is not yet sufficient information to determine whether such high levels of performance are sustainable and/or how the Digital Asset market will react in the short- or long-term to the proliferation of ICOs and pre-ICOs currently taking place.

ICO and Pre-ICO Valuation Risks. ICOs and pre-ICOs may offer the Fund the ability to purchase Digital Assets at discounted prices. Digital Assets purchased by the Fund will generally be valued at cost until active trading in such Digital Assets develops. Any such Digital Assets may also be revalued in the event the Investment Manager believes such valuation does not accurately reflect the value of the applicable Digital Assets because there are subsequent offerings of such Digital Assets at higher values, as reported by the relevant issuer during the applicable financing round. Such values will be deemed accurate and will be used in determining the value of the applicable Digital Assets held by the Fund. Accordingly, while Limited Partners who invest in the Fund prior to any revaluation or the emergence of such active trading, as applicable, will receive the benefit of purchasing such Digital Assets at discounted prices, any withdrawal proceeds paid to Limited Partners who withdraw from the Fund prior to any revaluation or the emergence of such active trading will reflect the lower, discounted prices and not the adjusted valuation price or expected trading price of such Digital Assets on any active exchange or other market, as applicable.

Fraudulent ICOs and Pre-ICOs. ICO and pre-ICO campaigns in which the Fund participates are unregulated and may turn out to be fraudulent. There is no guarantee that funds lost due to such fraudulent actions will be recovered by the Fund.

ICO Ineligibility. Many token sponsors are either based in offshore jurisdictions or do not allow U.S. investors. The Fund may be ineligible to participate in certain ICOs (particularly, ICOs issued by non-U.S. sponsors that limit participation to non-U.S. persons or entities). This creates increased counterparty risk, including the risk that the Fund will never receive the tokens. While the Fund may seek to participate in ICOs through a non-U.S. subsidiary, there is no guarantee that a non-U.S. subsidiary of the Fund will be permitted to take part in an ICO that generally limits participation to non-U.S. persons or entities. The relevant agreements may contain an indemnification provision whereby the Fund or the Master Fund would be responsible for losses incurred by the token sponsor as a result of a breach of representation.

Synthetic Exposure to Certain Investments. The Onshore Fund may be ineligible from making certain investments due to, without limitation, the criteria for eligibility of investment in such investment as determined by the issuer and, as a result, the Onshore Fund may seek to gain exposure to such investment synthetically through a participation agreement, total return swap, or by other means with the Fund or another fund or special purpose vehicle managed by the Investment Manager or an

affiliate as determined by the Investment Manager in its sole discretion. Such synthetic exposure may require the Onshore Fund to post collateral and at times pay premiums or other similar payments to maintain exposure to certain investments. These arrangements may increase the Fund's administration expenses, the Fund's direct exposure to certain investments, and exposes the Fund to the risk of default by the Onshore Fund. There is no guarantee that premiums or other payments received by the Fund pursuant to a participation agreement, total return swap, or other means with the Onshore Fund will result in a positive return for the Fund.

Uncertain Legal Status of Decentralized Autonomous Organizations. DAOs are organizations that rely on smart contracts to grant members the ability to control or direct the DAO's assets. Smart contracts and an underlying blockchain keep track of members, and membership can be purchased or allocated as a reward (such as in the form of a token) in exchange for capital, services, use, or resources. Membership in a DAO gives participants specific rights as enumerated in such DAO's smart contracts and other applicable constituent documents, which may include a portion of such DAO's profits or losses, the right to access, manage, or transfer the assets or services of the DAO, or specific privileges, such as the ability to engage in the DAO's decision-making processes.

The legal status of, and laws and regulations applicable to, DAOs is generally unclear and may vary based on jurisdiction, organizational structure (or lack thereof) and other factors such as the DAO's purpose or level of decentralization. Some previous approaches to DAOs have been regarded by the SEC as illegal offers of unregistered securities. Moreover, there is a substantial risk that DAOs formed for the purpose of making a profit would be deemed general partnerships, thus exposing their participants to unlimited joint and several personal liability for the DAO's debts and obligations. If characterized as general partnerships, DAOs may struggle to attract members or meet their intended objectives. Large businesses, institutional investors, and other regulated commercial entities may be reluctant to invest in, participate in or otherwise support a DAO for fear that membership would put their assets at risk. Due to the untested nature of DAOs and the risks inherent in Digital Assets in general, the Fund's investment or participation in DAOs is subject to loss.

On July 1, 2021, Wyoming became the first state in the United States to allow DAOs to file for legal status as a specific form limited liability company. Some DAOs have attempted to obtain recognized legal status and/or shield members from personal liability by incorporating as a corporation, limited liability company or other currently recognized legal entity (a "wrapped" DAO), while other DAOs have either dissolved such legal entity after achieving a certain level of decentralization or sustainability or forgone such corporate formation altogether (an "unwrapped" or "DAO first" DAO).

Distributed Governance and Lack of Infrastructure in DAOs. DAOs rely on blockchain technology and smart contracts for governance instead of traditional corporate structures with clear fiduciaries and decision-makers (e.g., a board of directors for a corporation). Most early DAOs are managed by distributed consensus, while other methods for governance such as delegated authority are currently being tested. These wide-ranging and experimental approaches to governance may result in inefficient coordination mechanisms, voter apathy, collusion amongst participants and chaotic consensus efforts. DAOs will likely face internal disputes which could result in dissolution or "forks" of the DAO. Moreover, DAOs are attempting to discover more efficient proposal and execution processes to conserve assets (e.g., moving proposal and voting processes off-chain while continuing to execute decisions on-chain). Thus, DAO infrastructure is currently extremely kinetic and unsettled while DAO tooling is still in its infancy. Furthermore, DAO treasuries and other assets remain subject to smart contract risk and hack. See "Smart Contracts" above. Due to the emerging nature of DAOs, DAO governance and infrastructure remains fluid and untested.

Regulatory Risks of DAOs. Participation in a DAO often is evidenced through a blockchain-based “token” that is coupled with the smart contracts that govern the organization. DAO tokens are generally increasingly designed to provide their holders with the right to govern the DAO’s activities through voting and execution mechanisms. Whether or not such tokens are considered securities, commodities, commodity interests, or other regulated assets is an open question and may vary on a case-by-case basis. Furthermore, even if these tokens are not deemed to be regulated assets, DAO investments in other assets such as securities would subject the DAO to securities regulations. For example, a DAO formed for the purpose of making venture investments (a “Venture DAO”) would need to comply with the Investment Company Act and the Investment Advisers Act. A failure to comply with such laws and regulations would subject the Venture DAO to enforcement actions and other penalties, and the Fund’s investment in such DAO could be forfeited.

Simple Agreement for Future Tokens. The Fund’s assets may be invested in ICOs through Simple Agreements for Future Tokens (“SAFTs”). SAFTs are agreements that offer the right to a Digital Asset (e.g., tokens) at a later point in time, usually upon the triggering of a condition outlined in the agreement. SAFTs that the Fund invests in may offer the right to Digital Assets that have some characteristics of equity securities, such as obtaining an interest in a company. Consequently, such tokens are subject to some of the same risks as equity securities. Such tokens may be subject to legal or other restrictions on transfer, may have no liquid market, may afford limited voting rights to the holder of the token, and may have a lack of control in the management of the issuer of the token. SAFTs are also subject to the same risks as ICOs including, but not limited to, fraud, security breaches, regulatory developments, enforcement actions, failure of the conditions of the agreement to memorialize, no guarantee in value or worth of the underlying token, and technological developments. Such future restrictions may have an adverse impact on the Fund’s assets or on their ability to sell their assets. SAFTs further subject the Fund to all risks associated with Digital Assets in general.

SAFT Valuation Risks. Digital Assets purchased through a SAFT will generally be valued at cost until distributions are made with respect to such Digital Assets. Any such Digital Assets may also be revalued in the event the Investment Manager believes such valuation does not accurately reflect the value of the applicable Digital Assets because there are subsequent offerings of such Digital Assets at higher values, as reported by the relevant issuer during the applicable financing round. Such values will be deemed accurate and will be used in determining the value of the applicable Digital Assets held by the Fund.

SAFE and SAFT Risk. Simple Agreements for Future Equity (a “SAFE”) and SAFTs are agreements that grant the holder the right to equity (or in the case of SAFTs, Digital Assets) at a later date, similar to a convertible note, but with key legal differences:

- Unlike a convertible note, a SAFE/SAFT is not a debt instrument. A SAFE/SAFT is neither debt nor equity but a security that may or may not convert to equity (or tokens) at a later date. There are no voting rights attached to the SAFE or SAFT.
- Debt instruments have maturity dates. SAFEs and SAFTs (including the ones in this offering) do not.
- Debt instruments have interest rates. SAFEs and SAFTs do not.

SAFEs and SAFTs are investment vehicles and, like any investment vehicle, are inherently risky. SAFEs and SAFTs will only provide an equity stake or distribute Digital Assets if a triggering event occurs. There is no guarantee these events will occur – and if they do not, the Fund could lose some or all of the money invested. There is not now and likely will not be a public market for the SAFEs or SAFTs. Because the SAFEs and SAFTs have not been registered under the securities laws of any state or non-United States jurisdiction, the SAFEs and SAFTs have transfer restrictions and cannot be resold in the United States except pursuant to Rule 501 of Regulation D.

Non-Fungible Tokens. NFTs are unique Digital Assets (often in the form of art or collectibles) that cannot be exchanged for the same amount of the same kind of asset because each holds different characteristics. Unlike digital currencies, NFTs are differentiated from others of its kind in code, and each may hold several different functionalities and characteristics. Similar to digital currencies, there are risks associated with using internet-based assets, including, but not limited to, the risk of source code, hardware, software and Internet connections failure or problems. The source code relating to the holding and transfer of such assets is vulnerable to software failure, hacking, and malware, and could lead to theft and loss of the Fund's assets. NFTs are created, issued, and transmitted according to their respective protocols run by computers in the NFT network. These protocols may have underlying flaws that may result in the loss of some or all assets held by the Fund. These protocols may also be subject to network scale attacks that result in the loss of some or all assets held by the Fund.

In general, these protocols are currently start-up businesses with no institutional backing, limited operating history and no publicly available financial information. The participation in such protocols requires users to take on risk by transferring Digital Assets from a personal account to a third-party's account. In particular, NFTs are traded peer-to-peer in decentralized online marketplaces; therefore, it may be difficult or impossible to verify the identity of third-party buyers and sellers, or whether a third-party buyer or seller is a bona fide participant in the network. This creates credit risk that the unknown counterparty will not perform its obligations under the related agreement. It also increases the risk of fraudulent transactions, in that an unscrupulous market participant could use hidden wallets to sell and/or buy assets to or from itself at inflated prices, thereby seeming to create gains that in reality do not exist. For example, OpenSea is the largest marketplace for user-owned digital goods and NFTs; however, it is only an administrative platform that facilitates peer-to-peer transactions between buyers and sellers. OpenSea is not a broker, financial institution, or creditor. The Fund is therefore subject to risks that a counterparty will not perform its obligations under the related contracts without any recourse through the exchange platform.

These platforms may also impose daily, weekly, monthly, or customer-specific transaction or distribution limits or suspend access or withdrawals entirely, rendering the exchange of such Digital Assets for fiat currency difficult or impossible. Additionally, Digital Asset prices and valuations on such platforms have been volatile and subject to influence by many factors including the levels of liquidity on protocols and operational interruptions and disruptions. The prices and valuation of Digital Assets remain subject to any volatility experienced by Digital Asset protocols, and any such volatility can adversely affect an investment in the Fund.

NFT Valuation Risks. The unique nature of NFTs presents an inherent difficulty in the valuation of the Digital Assets. Each NFT is comprised of its own data, which defines its characteristics in the context of its network; therefore, without a liquid market of comparable assets, the valuation of the current market price of the NFT will likely be less precise. The value of NFTs may be based on certain criteria within the context of its network and often on the appreciation of its respective community of network participants. Valuation of certain NFTs thus may require identifying the criteria and

distinguishing characteristics that define its value within its native network. For the aforementioned reasons, the Investment Manager will value NFTs at cost until they are sold.

The value of NFTs may also be dependent upon the use or public interest in the creation and development of distributed networks and related applications surrounding the NFTs. A lack of use or public interest in the creation of such networks and ecosystems of applications may negatively impact the potential value or utility of the NFTs and adversely affect the Fund's investment.

Claims by Holders of Rights in NFT Underlying Works. The work underlying an NFT may have been “minted” into an NFT and offered for sale without the right holder's permission. While many NFT marketplaces have attempted to develop safeguards to prevent the infringement of the rights of the holder of such underlying works, there is no assurance that such safeguards are reliable. While it can be expected that the individuals who minted the NFT would be subject to copyright infringement claims, rather than the Fund as a purchaser of the NFT, if an NFT held by the Fund is subject to a copyright infringement claim it may affect the resale value of the NFT and adversely affect an investment in the Fund.

Risk of NFT Duplication by Malicious Actors. While the blockchain underlying NFTs allows the authenticity of the NFT to be proven, there is a risk that malicious actors may duplicate the NFT on the blockchain and engineer components of the NFT such as its token ID and transaction history to closely resemble the original NFT. While the Investment Manager believes authenticity will be determined, there is a risk that such duplicate NFTs are sold to other investors, diluting the NFT market and adversely affecting investor confidence in NFTs. Such events could negatively affect the entire NFT ecosystem and the Fund's investments.

Public Nature of NFT Investments. Considering the public nature of the NFT marketplace, other participants in the NFT ecosystem may be able to determine the Fund's holdings and attempt to recreate the Fund's strategies. This could adversely affect the profitability of the Fund's strategy by forcing the Fund to compete with additional market participants or by increasing the acquisition costs of the Fund's targeted investments.

Risk of NFT Wash Trading. Certain NFT marketplaces have seen an increased volume of “wash trading” of NFTs. “Wash trading” occurs when a trader buys and sells an NFT for the purpose of feeding misleading information to the market, typically by selling the NFT to themselves via a second account or colluding with other traders. Such wash trading creates the illusion of increased demand for an NFT and artificially increases the price of the NFT. Increased wash trading will affect the ability of the Investment Manager to properly price potential investments, which could negatively impact the Fund's investments by causing the Fund to overpay for an NFT.

Highly Volatile NFT Markets. The market valuation of NFTs can be extremely volatile. This volatility can increase the Fund's risks associated with direct investments in NFTs.

Options. The Fund may buy or sell (write) both call options and put options on various underlying investments including options on specific Digital Assets, securities, options on securities indices, and options on security futures contracts. When the Fund writes options, it may do so on a “covered” or an “uncovered” basis. A call option is “covered” when the writer owns investments of the same class and amount as those to which the call option applies. A put option is covered when the writer has an open short position in investments of the relevant class and amount. The Fund's option transactions may be part of a hedging strategy (i.e., offsetting the risk involved in another investment position) or a form

of leverage, in which the Fund has the right to benefit from price movements in a large number of investments with a small commitment of capital. These activities involve risks that can be substantial, depending on the circumstances.

In general, without taking into account other positions or transactions the Fund may enter into, the principal risks involved in options trading can be described as follows: When the Fund buys an option, a decrease (or inadequate increase) in the price of the underlying security in the case of a call, or an increase (or inadequate decrease) in the price of the underlying security in the case of a put, could result in a total loss of their investment in the option (including commissions). The Fund could mitigate those losses by selling short, or buying puts on, the investments for which it holds call options, or by taking a long position (e.g., by buying the investments or buying calls on them) in investments underlying put options.

When the Fund sells (writes) an option, the risk can be substantially greater than when it buys an option. The seller of an uncovered call option bears the risk of an increase in the market price of the underlying security above the exercise price. The risk is theoretically unlimited unless the option is “covered”. If it is covered, the Fund would forego the opportunity for profit on the underlying security should the market price of the security rise above the exercise price. If the price of the underlying security were to drop below the exercise price, the premium received on the option (after transaction costs) would provide profit that would reduce or offset any loss the Fund might suffer as a result of owning the security. Swaps and certain options and other custom instruments are subject to the risk of non-performance by the swap counterparty, including risks relating to the creditworthiness of the swap counterparty, market risk, liquidity risk and operations risk.

Commodity Futures Contracts. The Fund may trade futures and/or commodity interests (e.g., futures contracts on commodities, Digital Assets, securities indices, or currencies). As with some other derivatives, futures trading can provide a form of leverage, allowing the Fund to participate in market price fluctuations of Digital Assets, securities indices or commodity interests underlying futures (or options on futures), while investing only a small percentage of the value of those underlying securities indices or commodity interests. Trading in futures can be highly speculative and may entail risks that are greater than investing in securities or Digital Assets. Some of those risks include the following:

- *Futures Trading is Volatile and Speculative.* Futures markets are highly volatile. Futures contracts are influenced by, among other things: changing supply and demand relationships, governmental actions, agricultural and commercial trade programs and policies, national and international political events, national and international economic events, weather and other natural occurring phenomena, and prevailing psychological characteristics of the marketplace. There is no assurance that the Investment Manager will engage in profitable trades for the Fund or that the Fund will not incur substantial losses.
- *Futures Trading is Highly Leveraged.* The margin deposit required to enter into a futures position is typically 2-10% of the total value of the contract. As a result, if the Fund’s account is margined, a relatively small price movement in a commodity futures contract may result in a loss to the investor equal to or substantially greater than the amount of the deposit. Combined with the volatility of futures prices, the leveraged nature of futures trading can cause futures traders to sustain large and sudden losses of their capital. When the market value of a particular open position changes to a point where the margin on deposit in a participating investor’s account does not satisfy the applicable maintenance margin requirements imposed by the Fund’s futures commission merchant (“FCM”), the Fund, and not the Investment Manager,

will receive a margin call from the FCM. If the Fund does not satisfy the margin call within a reasonable time (which may be as brief as a few hours), the FCM will close out the Fund's position.

- *Futures Positions May Be Illiquid.* Futures positions may be closed out only on the exchange on which they were entered into or through a linked exchange. Most commodity exchanges limit fluctuations in certain futures contract prices during a single day by regulations referred to as "daily price fluctuation limits" or "daily limits". Once the price for a particular contract has increased or decreased by an amount equal to the "daily limit", positions can be neither taken nor liquidated unless traders are willing to effect trades at or within the limit. This could prevent the Fund from liquidating unfavorable positions and subject it to substantial losses. In addition, the Fund may not be able to effect futures contract trades at favorable prices if trading volume in those contracts is low.
- *Cash Flow.* Futures contracts gains and losses are marked-to-market daily for purposes of determining margin requirements. Option positions generally are not, although short option positions will require additional margin if the market moves against the position. Due to these differences in margin treatment between futures and options, there may be periods in which positions on both sides must be closed down prematurely due to short-term cash flow needs. Were this to occur during an adverse move in the spread or straddle relationships, a substantial loss could occur. Futures exchanges and the CFTC typically have the right to suspend or limit trading in the contracts that each such exchange lists. Such a suspension or limitation could render it impossible for the Fund to liquidate its positions and thereby expose it to losses. In addition, there is no guarantee that exchange and other secondary markets will always remain liquid enough for the Investment Manager to close out existing futures positions. It is also possible that an exchange or the CFTC could order the immediate liquidation and settlement of a particular contract, or order that trading in a particular contract be conducted for liquidation only.
- *Counterparties, Futures Commission Merchants, and other Third Parties.* In entering into futures contracts and options on futures contracts, there is a credit risk that a counterparty will not be able to meet its obligations to the Fund. The counterparty for futures contracts and options on futures contracts traded in the United States exchanges is the clearinghouse associated with such exchange. In general, clearinghouses are backed by the corporate members of the clearinghouse who are required to share any financial burden resulting from the non-performance by one of its members, and as such, should significantly reduce this credit risk. In cases where the clearinghouse is not backed by the clearing members, it is normally backed by a consortium of banks or other financial institutions. There can be no assurance that any counterparty, clearing members, or clearinghouse will be able to meet its obligations to the Fund. In addition, under the Commodity Exchange Act, FCMs are required to maintain customers' assets in a segregated account. If the Fund engages in futures and options contract trading and the FCMs with whom the Fund maintains accounts fail to so segregate the Fund's assets or are not required to do so, the Fund will be subject to a risk of loss in the event of the bankruptcy of any of its FCMs. Even where customers' funds are properly segregated, the Fund might be able to recover only a pro rata share of its property pursuant to a distribution of a bankrupt FCM's assets.

Lack of Operating History of Portfolio Companies. The Fund may invest in Portfolio Companies that have relatively limited operating histories. Generally, very little public information exists about

these companies, and the Fund will rely on the ability of the Investment Manager to obtain adequate information to evaluate the potential returns. If the Investment Manager is unable to uncover all material information about these companies, the Fund may not make a fully informed investment decision, and may lose money on its investment. These companies may be particularly vulnerable to U.S. and foreign economic downturns such as the recent recession and may have limited access to capital. These businesses also frequently have less diverse product lines and a smaller market presence than larger competitors and may experience substantial variations in operating results. They may face intense competition, including from companies with greater financial, technical, operational and marketing resources, and typically depend upon the expertise and experience of a single individual executive or a small management team. The Fund's success depends, in large part, upon the abilities of the key management personnel of the Portfolio Companies, who are responsible for the day-to-day operations of the Portfolio Companies. Competition for qualified personnel is intense at any stage of a company's development. The loss of one or more key managers can hinder or delay a company's implementation of its business plan and harm its financial condition. Portfolio Companies may not be able to attract and retain qualified managers and personnel. In addition, Portfolio Companies may compete with each other for investment or business opportunities and the success of one could negatively impact the other. Furthermore, Portfolio Companies do business in regulated industries and could be affected by changes in government regulation. Accordingly, these factors could impair their cash flow or result in other events, such as bankruptcy, which could limit their ability to repay their obligations to the Fund, and may materially and adversely affect the return on, or the recovery of, the Fund's investment. As a result, the Fund may lose its entire investment in any or all of the Portfolio Companies.

Economic Risks of Portfolio Companies. The business and operating results of Portfolio Companies may be impacted by worldwide economic conditions. Any conflict or uncertainty, including due to natural disasters, public health concerns, political unrest or safety concerns, could harm their financial condition and results of operations and cash flows. In addition, if the government of any country in which products are developed, manufactured or sold sets technical or regulatory standards for products developed or manufactured in or imported into their country that are not widely shared, it may lead some of their customers to suspend imports of their products into that country, require manufacturers or developers in that country to manufacture or develop products with different technical or regulatory standards and disrupt cross-border manufacturing, marketing or business relationships which, in each case, could harm the business of Portfolio Companies. In addition, Portfolio Companies may be susceptible to economic slowdowns or recessions.

Failure of a Portfolio Company. Although the Portfolio Companies are carefully selected by the Investment Manager, it is possible that the Fund may lose all or a portion of its investment in some Portfolio Companies. No assurance can be given that the failure of one or more Portfolio Companies will not have a material adverse effect on the Fund's overall performance.

Investing in Blockchain Technology Companies. Companies in the rapidly changing fields of blockchain technology and the Digital Assets markets face special risks. The Investment Manager has no control over and limited visibility into future technological developments. The rapid pace of technological development creates the risk that an issuer's products and services become obsolete, fail to gain meaningful market share, or fall out of favor as more appealing and advanced technologies and products emerge. A Portfolio Company's intellectual property rights may be subject to legal challenge. Many companies in the blockchain technology and Digital Assets space have limited operating histories. Such a company may be unable to engage and retain sufficient skilled engineering, marketing and management personnel to allow it to maintain its technological edge and develop the corporate

infrastructure required to sustain and grow its business. Some Digital Asset or blockchain industries may be subject to greater governmental regulation than other sectors, and changes in governmental policies and the need for regulatory approvals may materially and adversely affect the business of companies in those sectors. For these and other reasons specific to particular industries and companies, investments in companies in blockchain technology industries pose greater risks than those in certain other sectors.

Investment In Companies Dependent Upon New Technologies. The Fund may invest in the token offerings of technology companies as part of its investment strategy. As such, the value of the Fund's interests may be susceptible to factors affecting the information technology, software, communications, consumer and related technology industries and an investment in the Fund may be subject to greater risk than an investment in a fund that invests in a broader range of industry sectors, that does not invest in technology companies, and/or that limits its portfolio exposure to a smaller percentage to that of the Fund. The specific risks faced by technology companies include: significant capital requirements; rapidly changing science and technologies; products or technologies that may quickly become obsolete; scarcity of management, technical, scientific, research and marketing personnel with appropriate training; the possibility of lawsuits related to ownership and licensing of patents and intellectual property and related infringement; and rapidly changing investor sentiments and preferences with regard to technology sector investments (which are generally perceived as risky).

Forward Contracts. The Fund may invest in forward contracts and options thereon which, unlike futures contracts, are not traded on exchanges and are not standardized; rather banks and dealers act as principals in these markets, negotiating each transaction on an individual basis. Forward and "cash" trading is substantially unregulated; there is no limitation on daily price movements and speculative position limits are not applicable. Disruptions can occur in any market traded by the Fund due to political intervention or other factors. The imposition of controls by government authorities might also limit such forward (and futures) trading to the possible detriment of the Fund. Market illiquidity or disruption could result in major losses to the Fund.

Qualified Custodians and the Custody Rule. In 2003, the SEC amended Rule 206(4)-2 of the Investment Advisers Act (the "Custody Rule"), requiring investment advisers registered with the SEC to maintain custody of client funds and securities with "qualified custodians" (as defined under the Investment Advisers Act). Because the changes to the Custody Rule were implemented prior to the existence of Digital Assets, the Custody Rule (and the securities and commodities regulatory framework in general) did not contemplate or accommodate for the business and technological limitations of investments in the Digital Assets industry, which is still in a nascent stage. There are currently a limited number of qualified custodians in the Digital Assets space with limited capabilities with respect to the types and amounts of Digital Assets that they can maintain. In some cases, utilizing a Third Party Provider may provide less security for the Fund's assets than a cold storage or self-custody solution. Depending on the Fund's investments, it may be difficult or impossible to fully comply with the qualified custodian requirement. Further, it remains unclear how or whether the Custody Rule applies to Digital Assets. The SEC has not adopted final rules about whether Digital Assets are considered "client funds or securities" under the Custody Rule and whether investment advisers are required to maintain custody of Digital Assets with qualified custodians in order to comply with the rule. In the event future guidance or regulations with respect to the Custody Rule extend to Digital Assets, the Fund may be adversely affected. The Investment Manager is not limited in any way in determining the appropriate custody solutions to safeguard the Fund's investments, and retains the right to use any Third Party Provider, including qualified custodians, in the future as firms and Digital Assets custody standards begin to evolve.

Custody of Fund Assets. The Investment Manager may maintain custody of the Fund's Digital Assets with third party custodians selected by the Investment Manager, including the use of multiparty computation custodians, on or within "hot wallets" on exchanges, or "cold wallets", either through paper or hardware cold storage, and/or on "air-gapped" computers utilized by the Fund. To the extent the Investment Manager maintains custody of any of the Fund's Digital Assets, the Investment Manager shall select or generate the private keys that control movement of the Digital Assets. The Investment Manager may also utilize proprietary storage methods developed by the Investment Manager. The Investment Manager may maintain certain of the Fund's Digital Assets with one or more of the Fund's exchanges, which may result in the Fund being exposed to counterparty risk with respect to such exchanges. Digital Asset exchanges may also require the Investment Manager to provide control of the private keys when the exchange is utilized by the Fund. Several of the Fund's exchanges may be unable to provide for "cold wallet" storage. Such exchanges and wallets have developed security systems to maintain confidential access to the private keys that have been generated and which control movement of the currencies. The Investment Manager may not be able to obtain control of the private keys generated by the exchanges utilized by the Fund, because each exchange may use different methodologies and security systems. A single type of Digital Asset held by the Fund may be custodied or secured in different ways (e.g., with respect to a particular Digital Asset, a portion of the Fund's holdings may be custodied by one third party custodian while another portion is custodied by another third-party custodian or other method), and different types of Digital Assets may have different custody or security arrangements. The Investment Manager also intends to incorporate multi-signature storage solutions, if the Investment Manager, in its sole discretion, deems appropriate. The foregoing, however, shall not limit the Investment Manager in any way from utilizing Digital Asset custody standards and practices that may exist in the future. The Investment Manager retains the right to use any third-party Digital Asset custodian in the future as firms and Digital Asset custody standards begin to develop.

The systems and methodologies of the exchanges and wallets utilized by the Fund may be subject to exposure from hacking, malware, and general security threats. The Investment Manager is not liable to the Fund or to Limited Partners for the failure or penetration of the security system absent gross negligence, fraud or criminal behavior.

Short Selling. Short selling involves selling securities which are not owned and borrowing them for delivery to the purchaser, with an obligation to replace the borrowed securities at a later date. Short selling allows the investor to profit from declines in market prices to the extent such decline exceeds the transaction costs and the costs of borrowing the securities. The extent to which the Fund engages in short sales depends upon the Investment Manager's investment strategy and opportunities. A short sale creates the risk of a theoretically unlimited loss, in that the price of the underlying security could theoretically increase without limit, thus increasing the cost to the Fund of buying those securities to cover the short position. There can be no assurance that the Fund will be able to maintain the ability to borrow securities sold short. In such cases, the Fund can be "bought in" (i.e., forced to repurchase securities in the open market to return to the lender). There also can be no assurance that the securities necessary to cover a short position are available for purchase at or near prices quoted in the market. Purchasing securities to close out the short position can itself cause the price of the securities to rise further, thereby exacerbating the loss.

Derivatives. Derivatives are financial contracts whose value depends on, or is derived from, an underlying product, such as the value of a futures or commodities contract. The Investment Manager will make use of derivatives in their trading. Derivatives often carry a high degree of embedded leverage and consequently, are highly price sensitive to changes in interest rates, government policies,

economic forecasts and other factors which generally have a much less direct impact on the price levels of the underlying instruments. Specifically, the risks generally associated with derivatives include the risks that: (1) the value of the derivative will change in a manner detrimental to the Fund; (2) before purchasing the derivative, the Fund will not have the opportunity to observe its performance under all market conditions; (3) another party to the derivative may fail to comply with the terms of the derivative contract; (4) the derivative may be difficult to purchase or sell; and (5) the derivative may involve indebtedness or economic leverage, such that adverse changes in the value of the underlying asset could result in a loss substantially greater than the amount invested in the derivative itself or in heightened price sensitivity to market fluctuations.

Net Cash. The Fund may hold a significant portion of its portfolio in cash and cash equivalents. This may result in the Fund's investment results underperforming market indices, or a portfolio which is 100% invested without any net cash holdings.

Highly Volatile Markets. The prices of financial instruments in which the Fund may invest can be highly volatile. Price movements of forward and other derivative contracts in which the Fund's assets may be invested are influenced by, among other things, interest rates, changing supply and demand relationships, trade, fiscal, monetary and exchange control programs and policies of governments, and national and international political and economic events and policies. The Fund is subject to the risk of failure of any of the exchanges on which their positions trade or of its clearinghouses.

High Risk Investments. While investments in companies in certain industries offer the opportunity for significant capital gains, such investments involve a high degree of business, financial, technological and regulatory risk, which can result in substantial losses. Moreover, the Fund's portfolio may include investments particularly subject to increased risk because they are in companies at an early stage of development, which have been or may go into bankruptcy, acquired as leverage buyouts subject to interest rate fluctuations, or engaged in highly competitive industries dominated by companies with substantially greater resources. As a result, the Fund may experience substantial volatility and potential for loss. The Investment Manager believes that its investment program and research techniques moderate this risk through a careful selection of securities and other financial instruments. However, no guarantee or representation is made that the program will be successful.

Unidentified Investments; Competitive Market for Investments. The Investment Manager may be very selective when seeking investments. The business of identifying and structuring certain transactions is competitive (and may become more competitive in the future), and involves a high degree of uncertainty. There can be no assurance that the Investment Manager will be able to locate and complete attractive investments or that it will be able to adhere to the investment strategy outlined herein. Furthermore, there can be no assurance that the Investment Manager will be able to invest the entire amount of the Fund's assets or that suitable investment opportunities will otherwise be identified. If the Investment Manager is unable to identify adequate investments at any given time, a significant portion of the Fund's assets may be held in cash or equivalents, which produce low rates of return.

Use of Leverage. The Fund may leverage its capital because the Investment Manager believes that the use of leverage may enable the Fund to achieve a higher rate of return. Accordingly, the Fund may pledge its investments in order to borrow additional funds for investment purposes. The Fund may also leverage its investment return with options, short sales, swaps, forwards, and other derivative instruments. The amount of borrowings which the Fund may have outstanding at any time may be substantial in relation to its capital. The Fund's leverage (defined as the Master Fund's net assets plus leverage, divided by equity capital and expressed as a percentage) will not exceed 200% as measured

immediately after such leverage is incurred (i.e., 2:1 leverage). While leverage presents opportunities for increasing the Fund's total return, it has the effect of potentially increasing losses as well. Accordingly, any event which adversely affects the value of an investment by the Fund would be magnified to the extent the Fund is leveraged. The cumulative effect of the use of leverage by the Fund in a market that moves adversely to the Fund's investments could result in a substantial loss to the Fund which would be greater than if the Fund were not leveraged. The use of short-term margin borrowings results in certain additional risks to the Fund. For example, should the securities pledged to brokers to secure the Fund's margin accounts decline in value, the Fund could be subject to a "margin call", pursuant to which the Fund must either deposit additional funds or securities with the broker or suffer mandatory liquidation of the pledged securities to compensate for the decline in value. In the event of a sudden drop in the value of the Fund's assets, the Fund might not be able to liquidate assets quickly enough to satisfy its margin requirements.

Use of Financing. The Fund may borrow by entering into reverse repurchase agreements. Under a reverse repurchase agreement, the Fund sells securities and agrees to repurchase them at a mutually agreed date and price. Reverse repurchase agreements may involve the risk that the market value of the securities retained in lieu of sale by the Fund may decline below the price of the securities the Fund has sold but is obligated to repurchase. In the event the buyer of securities under a reverse repurchase agreement files for bankruptcy or becomes insolvent, such buyer or its trustee or receiver may receive an extension of time to determine whether to enforce the Fund's obligation to repurchase the securities and the Fund's use of the proceeds of the reverse repurchase agreement may effectively be restricted pending such decision. To the extent that, in the meantime, the value of the securities that the Fund has purchased has decreased, the Fund could experience a loss. The financing used by the Fund to leverage their portfolio is extended by securities brokers and dealers in the marketplace in which the Fund invests. While the Fund attempts to negotiate the terms of these financing arrangements with such brokers and dealers, its ability to do so is limited. The Fund is therefore subject to changes in the value that the broker-dealer ascribes to a given security or position, the amount of margin required to support such security or position, the borrowing rate to finance such security or position and/or such broker-dealer's willingness to continue to provide any such credit to the Fund. Because the Fund currently has no alternative credit facility which could be used to finance its portfolio in the absence of financing from broker-dealers, it could be forced to liquidate its portfolio on short notice to meet its financing obligations. The forced liquidation of all or a portion of the Fund's portfolio at distressed prices could result in significant losses to the Fund.

Commissions/Transaction Costs. During some periods, the Fund's activities may involve a high level of trading, and the turnover of its portfolio may generate substantial transaction costs. These costs will be borne by the Fund regardless of its profitability.

Hedging Transactions. The Investment Manager on behalf of the Fund will not, in general, attempt to hedge all or any market or other risks inherent in the Fund's portfolio positions, and may hedge certain risks, if at all, only partially. The Fund may choose not, or may determine that it is economically unattractive, to hedge all or certain risks – either in respect of particular positions or in respect of its overall portfolio. The Fund's portfolio composition will commonly result in various directional market risks remaining unhedged. Even if the Investment Manager is successful in reducing or controlling risk through hedging, the cost of hedging may have the effect of reducing returns. Furthermore, it is possible that the Investment Manager's hedging strategies will not be effective in controlling risk, due to unexpected non-correlation (or even positive correlation) between the hedging instrument and the position being hedged, increasing rather than reducing both risk and losses.

Limited Diversification. The Partnership Agreement does not limit the amount of the Fund's capital that may be committed to any single investment, industry, or sector. At any given time, it is therefore possible that the Investment Manager may select investments that are concentrated in a limited number or types of investments. This limited diversity could expose the Fund to losses disproportionate to market movements in general if there are disproportionately greater adverse price movements in those investments.

Non-U.S. Securities. Although the Fund's emphasis will be on Digital Assets, the Fund may invest in non-U.S. securities of certain Portfolio Companies. Investments in securities of non-U.S. issuers pose a range of potential risks which could include expropriation, confiscatory taxation, imposition of withholding or other taxes on dividends, interest, capital gains or other income, political or social instability, illiquidity, price volatility and market manipulation. In addition, less information may be available regarding securities of non-U.S. issuers, and non-U.S. issuers may not be subject to accounting, auditing and financial reporting standards and requirements comparable to or as uniform as those of U.S. issuers. Transaction costs of investing in non-U.S. securities markets are generally higher than in the U.S. There is generally less government supervision and regulation of exchanges, brokers and issuers than there is in the United States. An issuer of securities may be domiciled in a country other than the country in whose currency the instrument is denominated. The Fund might have greater difficulty taking appropriate legal action in non-U.S. courts. Non-U.S. markets also have different clearance and settlement procedures which in some markets have at times failed to keep pace with the volume of transactions, thereby creating substantial delays and settlement failures that could adversely affect the Fund's performance.

Security Breaches. Any security breach caused by hacking, which involves efforts to gain unauthorized access to information or systems, or to cause intentional malfunctions or loss or corruption of data, software, hardware or other computer equipment, and the inadvertent transmission of computer viruses, could result in the halting of the Fund's operations, the suspension of redemptions or a loss of Fund assets. While the Investment Manager generally intend to use and rely on third party security systems maintained by the exchanges on which the Fund's trades are effected, such security systems are not impenetrable and may not be free from defect, and any loss due to a security breach or software defect may be borne by the Fund.

Systems and Operational Risk. The Fund's investment strategy relies extensively on computer programs and systems to trade, clear and settle securities transactions, to evaluate certain securities based on real-time trading information, to monitor its portfolio and net capital, and to generate risk management and other reports that are critical to oversight of account activities. In addition, certain of Investment Manager's operations interface with or depend on systems operated by third parties, including its prime brokers and market counterparties and their sub-custodians and other service providers, and the Investment Manager may not be in a position to verify the risks or reliability of such third-party systems. These programs or systems may be subject to certain defects, failures or interruptions, including, but not limited to, those caused by worms, viruses and power failures. Any such defect or failure could have a material adverse effect on the Fund's portfolio.

Transaction Fees. Many Digital Assets allow market participants to offer miners (*i.e.*, parties that process transactions and record them on a blockchain or distributed ledger) a fee. While not mandatory, a fee is generally necessary to ensure that a transaction is promptly recorded on a blockchain or distributed ledger. The amounts of these fees are subject to market forces and it is possible that the fees could increase substantially during a period of stress. In addition, Digital Asset exchanges, wallet

providers and other custodians may charge high fees relative to custodians in many other financial markets. These fees will impact the performance of the Fund.

Illiquid Investments. The Fund may invest in securities and other assets, which are subject to legal or other restrictions on transfer or for which no liquid market exists. The market prices, if any, for such investments tend to be volatile and may not be readily ascertainable, and the Fund may not be able to sell them when it desires to do so or to realize what it perceives to be their fair value in the event of a sale. The sale of restricted and illiquid securities often requires more time and results in higher brokerage charges or dealer discounts and other selling expenses than does the sale of securities eligible for trading on national securities exchanges or in the over-the-counter markets. The Fund may not be able to readily dispose of such illiquid investments, and in some cases, may be contractually prohibited from disposing of such investments for a specified period of time. Restricted securities may sell at a price lower than similar securities that are not subject to restrictions on resale. An investment in the Fund is suitable only for certain sophisticated investors who do not require immediate liquidity for their investments.

Counterparty Risk. Some of the markets in which the Fund may affect its transactions are “over-the-counter” or “interdealer” markets. The participants in such markets are typically not subject to credit evaluation and regulatory oversight as are members of “exchange-based” markets. This exposes the Fund to the risk that a counterparty will not settle a transaction in accordance with its terms and conditions because of a dispute over the terms of the contract (whether or not bona fide) or because of a credit or liquidity problem, thus causing the Fund to suffer a loss. Such “counterparty risk” is accentuated for contracts with longer maturities where events may intervene to prevent settlement, or where the Fund has concentrated its transactions with a single or small group of counterparties. The Fund is not restricted from dealing with any particular counterparty or from concentrating any or all of its transactions with one counterparty. Moreover, the Fund has no internal credit function that evaluates the creditworthiness of their counterparties. The ability of the Fund to transact business with any one or number of counterparties, the lack of any meaningful and independent evaluation of such counterparties financial capabilities and the absence of a regulated market to facilitate settlement may increase the potential for losses by the Fund.

No Control Over Portfolio Companies. The Fund may acquire substantial positions in the securities of particular companies. Nevertheless, the Fund is unlikely to be represented on the board of directors or share any control over the management of any such company. The success of each investment depends on the ability and success of the management of that company, in addition to economic and market factors.

Fund Risks

Illiquidity of Interests; In-Kind Distributions. An investment in the Fund is relatively illiquid and is not suitable for an investor who needs liquidity. There is no public market for Interests (nor is any public market expected to develop for such Interests) and the Partnership Agreement imposes significant limitations on Limited Partners’ abilities to transfer Interests. Interests may not be transferred or pledged except in compliance with significant restrictions on transfer as required by Federal and state securities and commodities laws and as provided in the Partnership Agreement. The Partnership Agreement does not permit a Limited Partner to transfer or pledge all or any part of its Interest to any person without the prior written consent of the General Partner, the granting of which is in the General Partner’s sole discretion. In addition, rights to withdraw funds from the Fund are subject to several limitations. The General Partner may consent (or, in its sole discretion, decline to

consent) to deviations from one or more of the procedures or limitations regarding withdrawals. The General Partner, following consultation with the Investment Manager, has the discretion to cause the Fund to deliver amounts withdrawn in-kind rather than cash. The assets so delivered may be relatively illiquid and the Limited Partner would bear the risk of a decline in their value after the effective time of its withdrawal. Further, such investments so distributed may not be readily marketable or saleable and may have to be held by such Limited Partner for an indefinite period of time. Any such in-kind distributions will not materially prejudice the interests of the remaining Limited Partners. These facts, taken together, will significantly affect the liquidity of a Limited Partner's investment in the Fund.

Effect of Substantial Withdrawals. Substantial withdrawals by Limited Partners within a short period of time could require or result in the liquidation of investment positions more rapidly than would otherwise be desirable, possibly reducing the value of the Fund's assets and/or disrupting the Investment Manager's investment strategy. Reduction in the size of the Fund could make it more difficult to generate a positive return or to recoup losses due to, among other things, reductions in the Fund's ability to take advantage of particular investment opportunities or decreases in the ratio of its income to its expenses. The General Partner may permit some Limited Partners to have access to more information about the Fund's investments, or to obtain information more rapidly, than Limited Partners generally. In addition, withdrawals or redemptions by investors in other investment vehicles or accounts managed by the General Partner or the Investment Manager, some of which may have more advantageous information and/or liquidity rights than those provided to Limited Partners, could adversely affect the value of portfolio positions held by the Fund. Further, a significant withdrawal of Capital Accounts from the Fund may cause a temporary imbalance in the Fund's portfolio, which may adversely affect the remaining non-withdrawing Limited Partners. The Fund may distribute cash and/or assets to withdrawing Limited Partners who have no need for liquidity in the investment, other than to pay annual tax liabilities associated with the Fund.

Potential Mandatory Withdrawal. The General Partner may, in its sole discretion at any time, require a Limited Partner to withdraw all or a portion of its Capital Account. Such a mandatory withdrawal could result in adverse tax and/or economic consequences to such Limited Partner.

Risk of Asset Growth. If the assets managed by the Investment Manager and its affiliates grow significantly, it may adversely affect the Fund's investment performance. It becomes more difficult to find attractive investment opportunities as the amount of assets that the Investment Manager must invest increases. In this event, the Investment Manager may find it necessary to invest in a greater number of positions than it currently intends, which could dilute its focus on individual positions, impair its ability to monitor existing and potential investments, and result in investments in positions that it otherwise would not select. In addition, with greater assets to invest, it will be increasingly difficult for the Fund to make investments large enough to be meaningful to their overall portfolios.

Contingency Reserves. The General Partner, following consultation with the Investment Manager, may on behalf of the Fund establish reserves for contingencies (including general reserves for unspecified contingencies). The establishment of such reserves will not insulate any portion of the Fund's assets from being at risk, and such assets may still be traded by the Fund. A pro rata portion of any reserve may be withheld from distribution to a withdrawing Limited Partner.

Tax Liability Without Distributions. Partners must recognize for income tax purposes their pro rata shares of the taxable net income of the Fund, regardless of whether the Partners requested a partial withdrawal from the Fund to cover their income tax liabilities. Taxable income can be expected to differ from Net Income, primarily because generally only realized gains and losses are considered for

income tax purposes but Net Income and Net Loss will include unrealized gains and losses. The Fund may generate taxable income for a Partner even though the value of the Partner's interest in the Fund has declined. It will generally be necessary for Partners to pay such tax liabilities out of separate funds or withdrawals from the Fund. There are significant limitations on a Partner's right to withdraw funds from the Fund. Sufficient information may not be available in time for the Partner to determine accurately an amount to withdraw to pay taxes for a given fiscal year.

Information Rights. Subject to the sole discretion of the General Partner, certain Limited Partners may invest on terms that provide access to information that is not generally available to other Limited Partners, and as a result, may be able to act on such additional information (i.e., withdraw their Capital Accounts) that other Limited Partners do not receive.

Performance Allocation. The General Partner is entitled to receive a Performance Allocation, based upon the net capital appreciation, if any, allocated to the Limited Partner's Capital Account. The Performance Allocation may create an incentive for the Investment Manager to make investments that are riskier or more speculative than would be the case if such arrangement were not in effect. In addition, because the Performance Allocation is calculated on a basis which includes unrealized appreciation of the Fund's assets, it may be greater than if such compensation were based solely on realized gains.

Side Letter Agreements. In accordance with common industry practice, the General Partner and/or the Investment Manager may enter into one or more Side Letters or similar agreements with certain Limited Partners pursuant to which they may agree to vary certain of the terms applicable to any such Limited Partner or grant to any such Limited Partner specific rights, benefits, or privileges that are not made available to Limited Partners generally. The General Partner and/or the Investment Manager may also agree to provide a greater level of disclosure regarding the investments and activities of the Fund to certain Limited Partners than other Limited Partners. Such agreements will be disclosed only to those actual or potential Limited Partners that have separately negotiated with the General Partner and/or the Investment Manager for the right to review such agreements. Any of these rights, benefits, or privileges negotiated via a side letter might reasonably be expected to put other holders of equity interests of that class who are in the same position at a material disadvantage in connection with the exercise of their withdrawal rights.

Asset Valuation. The General Partner and the Investment Manager have substantial discretion in determining the value of the Fund's assets and liabilities, whether or not a public market exists for assets of the same class or type. While some marketable assets are valued based on prices reported in the public markets, other investments may be more thinly-traded or subject to irregular trading activity. Determinations on the value of certain investments, and how to value assets and liabilities as to which limited prices or quotations are available, are based on the General Partner's or the Investment Manager's recommendations or instructions to the Administrator. The General Partner and the Investment Manager may face a conflict of interest in making any of these valuation decisions or recommendations. If the General Partner's valuation of any such asset is inaccurate, the General Partner might receive a Performance Allocation and the Investment Manager may receive a Management Fee that is greater than the fee to which they would otherwise be entitled. The Investment Manager may not be able to effectively manage the Fund's investment portfolio, diversification, and other internal guidelines and risks if the Fund's portfolio is inaccurately valued. Any such inaccuracy could adversely affect the Limited Partners. Additionally, any reduction in the value of any assets or

increase in the value of any liabilities held by the Fund would reduce the amount of fees to which the General Partner or the Investment Manager may be entitled.

In-Kind Contributions. The Fund may accept Capital Contributions of Digital Assets, however Capital Contributions may be valued in U.S. dollars using closing values as of the day before the Limited Partner's Capital Contribution is accepted by the Fund in accordance with the Investment Manager's valuation policy. Changes in relative value of the Digital Assets against the U.S. dollar will affect the value of the in-kind Capital Contribution and may result in a Limited Partner's Capital Account being credited with a lower value than the subscription amount set forth in such Limited Partner's Subscription Documents. All of the risks of the Fund's trading of Digital Assets described in this Memorandum will thus be borne directly by the Limited Partner during the period from when such Digital Assets are contributed to the Fund and when the Fund accepts the Capital Contribution. Digital Assets are volatile and speculative, and Limited Partners may experience a significant loss of value of the in-kind Capital Contribution before their Capital Contribution is accepted by the Fund.

Additionally, Limited Partners who, within a two-year period, make in-kind contributions and receive withdrawal proceeds in-kind or in cash, may be presumed to have participated in a taxable sale and thereby such Limited Partner and the Fund may be forced to recognize gain or loss for such in-kind contribution and payment of withdrawal proceeds, unless adequate disclosure is made pursuant to Treasury Regulation § 1.707-8(b).

Master-Feeder Structure. The Fund invests substantially all of its assets through a "master-feeder" structure. The "master-feeder" fund structure presents certain unique risks to investors. For example, a smaller feeder fund investing in a master fund may be materially affected by the actions of a larger feeder fund investing in such master fund. If a larger feeder fund redeems its shares of a master fund, a remaining feeder fund may experience higher *pro rata* operating expenses, thereby producing lower returns. A master fund may become less diverse due to a redemption by a larger feeder fund, resulting in increased portfolio risk. A master fund is a single entity and creditors of such master fund may enforce claims against all assets of such master fund, including a *pro rata* share of assets owned by the feeder.

Conflicts Among Offering Documents. Each investor that acquires an Interest will become subject to the Partnership Agreement and an applicable Subscription Agreement. In the event any terms or provisions of such Partnership Agreement or Subscription Agreement conflict with the information contained in this Memorandum or any related offering materials, such Partnership Agreement or Subscription Agreement shall control.

Legal Counsel. Documents relating to the Fund, including the Subscription Documents to be completed by each Limited Partner, as well as the Partnership Agreement, are detailed and often technical in nature. Cole-Frieman & Mallon LLP has served as US legal counsel and Ogier (Cayman) LLP has served as Cayman Islands legal counsel to the Fund, the Investment Manager, and the General Partner and does not represent the interests of any Limited Partner. Moreover, under the Partnership Agreement, each Limited Partner will be required to waive any actual or potential conflicts of interest between such Limited Partner and legal counsel to the Fund. Accordingly, each prospective Limited Partner is urged to consult with its own legal counsel before investing in the Fund. Finally, in advising as to matters of law (including matters of law described in this Memorandum), legal counsel has relied, and will rely, upon representations of fact made by the General Partner, the Investment Manager, and other persons in this Memorandum and other documents. Such advice may be materially inaccurate or

incomplete if any such representations are themselves inaccurate or incomplete, and legal counsel generally will not undertake independent investigation with regard to such representations.

Other Risks

Tax Considerations. The Fund will be permitted to utilize leverage and borrow. Thus, tax-exempt Limited Partners may incur an income tax liability with respect to their share of any unrelated business taxable income (“UBTI”) the Fund may generate, if applicable. Each investor should consult with and rely on its own independent tax counsel as to the U.S. Federal income tax consequences of an investment in the Fund based on its particular circumstances, as well as to applicable state, local or non-United States tax laws. For a more detailed discussion of the income tax considerations associated with an investment in the Fund, see the discussion below under “Tax Considerations”.

Risks for Certain Benefit Plan Investors Subject to ERISA. Prospective investors that are benefit plan investors subject to the ERISA and Department of Labor Regulations issued thereunder should read the section hereof entitled “ERISA MATTERS” in its entirety for a discussion of certain risks related to an investment by benefit plan investors in the Fund.

Investment Company Regulation. The Fund relies on Section 3(c)(7) of the Investment Company Act to avoid requirements that the Fund register as an “investment company” under, and comply with the substantive provisions of, the Investment Company Act. If the Fund were required to be registered as an investment company, the Investment Company Act would require, among other things, that the Fund have a board of directors, some of whom were unrelated to the General Partner and the Investment Manager, compel certain custodial arrangements and regulate the relationship and transactions between the Fund, the General Partner and the Investment Manager. Compliance with some of those provisions could possibly reduce certain risks of loss, although such compliance could significantly increase the Fund’s operating expenses and limit the Fund’s investment and trading activities. Interpretations of Section 3(c)(7) are complex and uncertain in several respects, and as a result, there can be no assurance that the Fund will remain entitled to rely on that Section. If the Fund were found not to have been entitled to such reliance, the Fund, the General Partner and the Investment Manager could be subject to legal actions by the SEC and others and the Fund could be forced to terminate its business under adverse circumstances.

Alternative Investment Fund Managers Directive. The Alternative Investment Fund Managers Directive (the “AIFM Directive”) of the European Union (“EU”) took effect across the EU and European Economic Area (“EEA”) on July 22, 2013, albeit allowing EEA countries to rely on transitional provisions until July 21, 2014. The AIFM Directive regulates (i) alternative investment fund managers (“AIFM”) based in the EEA (ii) the management of any alternative investment fund (“AIF”) established in the EEA (irrespective of where an AIF’s AIFM is based), and (iii) the marketing in the EEA of the securities of any AIF, such as the Fund, whether conducted by an EEA AIFM, a non-EEA AIFM or a third party. In order to obtain authorization to market the Fund in the EEA, an AIFM is required to comply with numerous obligations in relation to its own operations and in relation to the AIFs that it manages, which may create significant compliance costs and burdens. Pursuant to the AIFM Directive, a non-EEA AIFM marketing a non-EEA AIF (i.e., the Fund) to persons within the EEA, is required to, among other things: (i) confirm that U.S. and Cayman Islands regulatory authorities have entered into a cooperation-and-information-sharing agreement with the regulator of each EEA country into which the Fund is to be marketed; (ii) confirm that the Cayman Islands is not listed as a non-cooperative country for the purposes of the Financial Action Task Force; and (iii) provide EEA investors and the regulators of such investors’ EEA countries with the Fund’s annual

financial report and certain additional information about the Fund. A fund managed by a non-EEA AIFM, will only be able “to market” to investors in certain countries within the EEA in accordance with applicable national private placement rules. It should be noted that each EEA country has its own definition of what it means “to market” an AIF and each EEA country has implemented its own national private placement rules. The requirements for additional service functions, notification and registration, as well as ongoing and annual reporting vary significantly from jurisdiction to jurisdiction. Further, each EEA country has the authority to change its rules or enact new rules that may require AIFs to become registered with the local regulator before securities can be offered in that country. It should also be noted that although “reverse solicitation”, where an EEA investor approaches a non-EEA AIFM regarding shares or interests, as applicable, in a non-EEA AIF, is outside the scope of the AIFM Directive and, accordingly, remains permissible in EEA jurisdictions, because each EEA country has a different definition of “marketing”, “reverse solicitation” is also interpreted differently across the various EEA jurisdictions. It is possible that the Fund or the Investment Manager may, in the future, be required to take significant measures to comply with national rules implementing the AIFM Directive in those countries of the EEA where the Fund is to be marketed. Compliance with the requirements of the AIFM Directive and marketing rules in the EEA may be costly (e.g., if numerous EEA registrations are required) or could require significant amendments to be made to the structure of the Fund (such as redomiciling the Fund, if EEA investors were to become the principal target for fund-raising). It should be noted that such costs may be prohibitive and, accordingly, may impair the ability of the Investment Manager to market Interests in the EEA in the future which may have a material adverse effect on the Fund’s ability to achieve its investment objective.

Registration Exemption. The Fund offers Interests on a continuing basis without registration under the Securities Act in reliance on an exemption for “transactions by an issuer not involving any public offering”, and without registration or qualification of the Interests under state laws in reliance on related exemptions. While the General Partner believes reliance on such exemptions is justified, there can be no assurance that factors such as the manner in which offers and sales are made, concurrent offerings by other funds, the scope of disclosure provided, failures to file notices or renewals of claims for exemption, or changes in applicable laws, regulations, or interpretations will not cause the Fund to fail to qualify for such exemptions under Federal or one or more states’ laws. Failure to so qualify could result in the rescission of sales of Interests at prices higher than the current value of those Interests, potentially materially and adversely affecting the Fund’s performance and business. Further, even non-meritorious claims that offers and sales of Interests were not made in compliance with applicable securities laws could materially and adversely affect the General Partner’s ability to conduct the Fund’s business.

Possibility of Additional Government or Market Regulation. Market disruptions, the dramatic increase in the capital allocated to alternative investment strategies during recent years, and the growing concern about the lack of regulation of private investment funds, have led to increased governmental as well as self-regulatory scrutiny of the private investment fund industry in general. Certain legislation proposing greater regulation of the industry periodically is considered by U.S. federal, state, and local and non-U.S. governments, regulatory or administrative agencies, self-regulatory organizations or other similar entities. It is impossible to predict what, if any, changes in the regulations applicable to the Fund, the General Partner, and the Investment Manager, the markets in which they trade and invest or the counterparties with which they do business may be instituted in the future. Any such regulation could have a material adverse impact on the profit potential of the Fund, as well as require increased transparency as to the identity of the Limited Partners. The financial services industry generally, and certain investment activities of private investment funds similar to the

Fund, and their investment managers, in particular, have been subject to intense and increasing regulatory scrutiny.

Additional governmental scrutiny may increase the Fund's, the General Partner's, or the Investment Manager's exposure to potential liabilities and to legal, compliance, and other related costs. Increased regulatory oversight, enhanced regulation and the adoption of new statutes, rules or regulations with respect to the investment activities of the Fund may also reduce the amount and availability of the investment opportunities of the Fund. The reduction of such investment opportunities could have a material and adverse effect on the investment performance of the Fund. Such increased regulatory oversight and regulation may also impose additional administrative burdens on the General Partner or the Investment Manager and such regulatory proposals, or any future proposals, if adopted could adversely affect the Fund, including the business, financial condition and prospects of the Fund, and could also require increased transparency as to the identity of the Limited Partners.

Other Laws and Regulations. The Fund, the Investment Manager, and the General Partner are subject to various other securities and similar laws and regulations that could limit some aspects of the Fund's operations or subject the Fund, the Investment Manager, or the General Partner to the risk of sanctions for noncompliance.

The foregoing list of risk factors does not purport to be a complete enumeration or explanation of the risks involved in an investment in the Fund. Prospective Limited Partners should read the entire Memorandum and consult with their own advisers before deciding to subscribe for Interests.

POTENTIAL CONFLICTS OF INTEREST

Various conflicts of interest exist among the General Partner, the Investment Manager, their affiliates, the Fund, and the Limited Partners. The Fund must rely on the General Partner and the Investment Manager for the operation of its affairs and the management of its portfolio. It should be noted that the principals, managing members, members, employees, and affiliates of the General Partner or the Investment Manager, and other parties related to the General Partner or the Investment Manager, may own Interests (directly or indirectly), and such Interests may be significant from time to time. Such conflicts include, but are not necessarily limited to, the following:

General Partner and Investment Manager Conflicts of Interest. Each of the General Partner and the Investment Manager will devote as much of their time and effort to the affairs of the Fund as each deems necessary and appropriate to accomplish the purposes of the Fund. Under the terms of the Partnership Agreement, the General Partner and its directors, members, partners, shareholders, officers, employees, agents and affiliates, including the Investment Manager, CC Data Limited, and MarketVector Indexes GmbH (collectively, "Affiliated Parties"), may conduct any other business, including any business within the securities industry, whether or not such business is in competition with the Fund. Without limiting the generality of the foregoing, the Affiliated Parties may act as investment adviser or investment manager for others, may manage funds, separate accounts or capital for others, and may serve as an officer, director, consultant, partner or stockholder of one or more investment funds, partnerships, securities firms or advisory firms. In this regard, it should be noted that the Investment Manager carries on substantial investment activities for other client accounts, including discretionary accounts and other investment vehicles, including those disclosed in the Investment Manager's Form ADV. In addition, the Investment Manager acts as the investment manager for the Master Fund and the Onshore Fund and the Investment Manager and the Affiliated Parties may in the

future act as the investment manager to other investment funds and investment accounts, including offshore investment funds and other U.S. investment partnerships. Such other entities or accounts may have investment objectives or may implement investment strategies similar or different to those of the Fund, compete with the Fund for the same investment opportunities, and/or engage in transactions or other activities or pursue investment strategies that are inconsistent with those effected for the Fund or that are contrary to or conflict with the interests of the Fund. The Affiliated Parties may give advice to or effect transactions on behalf of other accounts that are inconsistent with or contrary to advice given to or transaction effected on behalf of the Fund. In addition, the Affiliated Parties may, through other investments, including other investment funds, have interests in investments in which the Fund invests as well as interests in investments in which the Fund does not invest. As a result of the foregoing, the Affiliated Parties may have conflicts of interest in allocating their time and activity between the Fund and other entities, in allocating investments among the Fund and other entities and in effecting transactions for the Fund and other entities, including ones in which the Affiliated Parties may have a greater financial interest. The Affiliated Parties will devote to the Fund so much of their time as, in their judgement, the business of the Fund reasonably requires, but are not obligated to devote all of their time to the activities of the Fund.

Investment Opportunities. Neither the General Partner nor the Affiliated Parties are obligated to make any particular investment opportunity available to the Fund and may take advantage of any opportunity, either for other accounts the General Partner manages or for themselves.

Allocations. The Affiliated Parties may give advice or take action with respect to such other entities or accounts that differs from the advice given with respect to the Fund. To the extent a particular investment is suitable for both the Fund and other clients of the Affiliated Parties, such investments may be allocated between the Fund and the other clients in some manner that the Affiliated Parties determine is fair and equitable under the circumstances to all clients, including the Fund. When it is determined that it would be appropriate for the Fund and one or more other investment accounts managed by the Investment Manager or its affiliates to participate in an investment opportunity, the Investment Manager will generally seek to execute orders for all of the participating investment accounts, including the Fund, on an equitable basis, taking into account such factors as the relative amounts of capital available for new investments, relative exposure to short-term market trends, and the investment programs and portfolio positions of the Fund and the affiliated entities for which participation is appropriate. Orders may be combined for all such accounts, if applicable, and if any order is not filled at the same price, they may be allocated on an average price basis.

Cross-Transactions. Situations may arise where certain assets held by one or more funds and investment accounts managed by the Investment Manager may be transferred to other funds and investment accounts managed by the Investment Manager, including for the purpose of rebalancing the portfolios of such funds and investment accounts. Such transactions will be conducted in accordance with, and subject to, the Investment Manager's fiduciary obligations to the Fund. The Investment Manager is authorized to select, one or more persons, not affiliated with the Investment Manager, to serve on a committee, the purpose of which will be to consider, and on behalf of the Limited Partners, approve or disapprove, to the extent required by applicable law, principal transactions and certain other related party transactions.

Calculation of Net Asset Value. The Administrator calculates the beginning net asset value of Capital Accounts, upon which the Management Fee is based. However, in limited circumstances the General Partner or the Investment Manager will be entitled to direct the Administrator to accept pricing information of the General Partner or Investment Manager even if the valuation implied by such pricing

information differs from valuations that the Administrator may accept from other clients or valuations that affiliates of the Administrator may use in connection with their customer or proprietary business and the Administrator is entitled to rely on such prices without further verification. In such situations, this could result in the calculation of a larger Management Fee.

Fees to Third Parties, Affiliated Broker-Dealer. Selling commissions and/or referral fees may be paid in connection with the offering of the Limited Partnership Interests. A portion of the Management Fee and/or the Performance Allocation may be remitted to third parties introducing Limited Partners to the Fund, or the General Partner or Investment Manager may use its own resources to compensate third parties for such introductions. Notwithstanding the foregoing, placement agents or brokers that place certain Limited Partners in the Fund will be paid Placement Agent Fees out of such Limited Partner's investment in the Fund. The Placement Agent Fees will reduce such Limited Partner's net investment in the Fund.

The Investment Manager may also engage an affiliate to provide staking services to the Fund and fees may be paid by the Fund to such affiliate in connection with its provision of staking services.

The Investment Manager may also direct brokerage from Fund trades to broker-dealers which introduce Limited Partners to the Fund, subject to applicable laws. The General Partner may also designate a "Special Limited Partner" to receive a portion of any such fees.

Without limiting the foregoing, the General Partner has engaged Van Eck Securities a registered broker-dealer and an affiliate of the General Partner and Investment Manager, to offer Interests on behalf of the Fund. Van Eck Securities will not receive any compensation in connection with such engagement.

Voting of Interests. The General Partner, the Investment Manager, and their principals, members, employees, and related parties will be entitled to vote any Interests they own as Limited Partners. The interests of the General Partner, Investment Manager, and such related parties may conflict with the interests of the other Limited Partners on any issue requiring a vote.

No Independent Counsel. Prospective investors in the Fund have not been separately represented by counsel. The law firms retained by the General Partner to represent the Fund represent the Fund, the Investment Manager, and the General Partner, but not the prospective investors or Limited Partners of the Fund.

Different Terms for Certain Limited Partners. The Fund may create additional classes of Interests which Interests may be subject to different terms, including, without limitation, different fees, withdrawal rights, and information rights. In addition, the Fund, the General Partner, and/or the Investment Manager, without the approval or consent of any Limited Partner, may enter into Side Letters with Limited Partners that have the effect of establishing rights under, or altering or supplementing the terms of, the Partnership Agreement as it applies to such Limited Partner.

The foregoing description of conflicts of interest does not purport to be a complete list of potential conflicts. Other present and future activities of the General Partner, the Investment Manager, and their affiliates may give rise to additional conflicts of interest. If a conflict of interest arises, the General Partner and the Investment Manager will attempt to resolve such conflicts in a fair and equitable manner.

THE OFFERING

The Fund is offering Limited Partnership Interests to certain qualified investors as described herein and in the Subscription Documents.

Interests in the Fund are privately offered on a confidential basis in reliance upon exemptions contained in the Securities Act and the rules and regulations promulgated thereunder. Each Limited Partner will be required to represent and warrant to the Fund in connection with its subscription, among other things, that the Limited Partner: (i) is acquiring an Interest for its own account for investment purposes only and not with a view toward resale or other distribution in whole or in part; and (ii) will not transfer, sell or otherwise dispose of its Interest in any manner that will violate the Securities Act or other applicable laws, rules or regulations. Interests are offered to non-U.S. Persons and a limited number of U.S. Persons that are an “accredited investor” as that term is defined in Rule 501(a) of Regulation D promulgated under the Securities Act, a “qualified purchaser” as that term is defined in Section 2(a)(51) of the Investment Company Act, and exempt from U.S. Federal income taxation.

Interests may be offered by any form of general solicitation or general advertising pursuant to Rule 506(c) under Regulation D promulgated under the Securities Act, provided that the Fund takes reasonable steps to verify that each prospective investor is an “accredited investor” as that term is defined in Rule 501(a) of Regulation D and complies with all applicable laws and regulations. Each prospective investor must have completed and submitted all requested documentation necessary for the Fund to make such verification.

The minimum initial investment that will be accepted from a new Limited Partner is \$1,000,000 and the minimum additional investment that will be accepted from an existing Limited Partner is \$250,000. The General Partner may raise or lower the minimum investment amounts from time to time and accept Capital Contributions below the established minimums in its sole discretion. Capital Contributions will be credited to the Fund as of the first business day of each month or on such other day or days as the General Partner may from time to time determine. The General Partner may reject any Capital Contribution in its sole discretion.

The Fund may, in the General Partner’s sole discretion, accept Capital Contributions in-kind (i.e., in the form of securities, Digital Assets, or other assets), in lieu of, or in addition to, cash as payment for Interests.

Neither the General Partner nor any of its affiliates shall be deemed to be a guarantor of the value of any Capital Account or have any liability for the repayment, to any Limited Partner, of any Capital Contribution.

WITHDRAWALS & DISTRIBUTIONS

Withdrawals of Capital. Generally, a Limited Partner may make withdrawals from such Limited Partner’s Capital Account as of the last day of any calendar quarter upon 30 calendar days’ prior written notice, subject to the Investment Manager’s ability to designate Side Pocket Investments, as described below. Each date on which Capital Accounts may be withdrawn is herein referred to as a “Withdrawal Date”.

The General Partner, in its sole discretion, may waive any of the foregoing requirements or restrictions, in whole or in part, for certain Limited Partners. The General Partner, in its sole discretion, may waive any of the foregoing requirements or restrictions to facilitate withdrawals by Limited Partners to settle any tax liability relating to investments in the Fund. If the General Partner in its sole discretion permits a Limited Partner to withdraw capital on any date other than a Withdrawal Date, the General Partner may impose an additional administrative fee to cover the legal, accounting, administrative, brokerage, and any other costs and expenses associated with such withdrawal.

Side Pocket Investments. The Investment Manager may designate certain assets as “Side Pocket Investments” when the Investment Manager, in its sole discretion, determines that an asset is illiquid or it is in the best interest of the Fund and the Master Fund to value such investments separately from the Fund’s and the Master Fund’s other assets. Partners may not make a withdrawal with respect to a Side Pocket Investment until such investment is realized, deemed realized, or distributed.

If the Investment Manager designates an asset as a Side Pocket Investment, the Partners of the Fund at the time of such designation will have a proportionate interest in such investment and shall bear any expenses associated with such Side Pocket Investment. In the event the Fund makes an investment which the Investment Manager determines is a Follow-Up Investment to a Side Pocket Investment, the participating Partners will share in such Follow-Up Investment in proportion to their participating percentage interests in the related Side Pocket Investment; *provided*, that the Investment Manager, in its sole discretion, may allocate a Follow-Up Investment among all Partners invested in the Fund as of the date of such Follow-Up Investment. Notwithstanding the foregoing, the Investment Manager, in its sole discretion, may adjust any of the foregoing guidelines in order to effectuate participation in Side Pocket Investments in a fair and equitable manner.

The General Partner shall not receive a Performance Allocation with respect to any Side Pocket Investment until the investment is realized, deemed realized, or distributed; however, the Fund’s financial statements will reflect the Performance Allocation as if it was earned, treating all assets and liabilities other than Side Pocket Investments as if they were realized at the reporting date and treating each Side Pocket Investment as if such Side Pocket Investment’s value had not changed since being designated as a Side Pocket Investment until such Side Pocket Investment is realized, deemed realized, or distributed. Side Pocket Investments will be included in the calculation of the Management Fee.

Upon the realization of all or any portion of a Side Pocket Investment or a determination by the Investment Manager that an investment should no longer be designated as a Side Pocket Investment, such investment, or the proceeds of such investment, will be reallocated on the books and records of the Fund to the Capital Accounts of the Partners participating thereof.

Payment of Distribution Proceeds. Provided that the General Partner has received all necessary documentation, the Fund will normally distribute proceeds payable to a Limited Partner in connection with a withdrawal in U.S. dollars within 30 calendar days after an authorized Withdrawal Date. However, the General Partner shall have the right, at its sole discretion, to withhold up to 5% of the amount withdrawn from a Limited Partner’s Capital Account for the Fund’s liabilities and other contingencies until no later than 30 calendar days after the completion of the year-end audit of the Fund’s financial statements for any withdrawal of 90% or more of a Limited Partner’s Capital Account balance, excluding Side Pockets (or when combined with all other withdrawals of such Limited Partner during the preceding 12 months, would result in such Limited Partner having withdrawn 90% or more of such Limited Partner’s Capital Account as of the beginning of such period). The Fund will remit the outstanding balance of the withdrawal proceeds without interest.

The Fund reserves the right to pay any withdrawal request in-kind. If the Fund distributes assets in-kind in satisfaction of a withdrawal request, the General Partner may in its sole discretion, at the request of any Limited Partner and to the extent practicable, hold any such assets in trust or in a liquidating special purpose vehicle, liquidate such securities on the Limited Partner's behalf, and distribute the proceeds of such distribution (less the costs of any such liquidation) to the Limited Partner. Any such trust or liquidating special purpose vehicle will pay a management fee to the General Partner (or its affiliate), calculated and paid in the same manner as the Management Fee, as if such assets remained in the Fund.

Reserves. The General Partner may establish reserves and holdbacks for estimated accrued expenses, liabilities, and contingencies (even if such reserves or holdbacks are not otherwise required by GAAP), which could reduce the amount of a distribution upon withdrawal.

Suspension of Withdrawals. The General Partner may suspend withdrawals and/or payments due to Partners in connection with withdrawals for the whole or any part of any period during which the General Partner reasonably determines that: (i) effecting such withdrawals or making such payments would violate securities laws, commodities laws, or other laws, or would result in adverse legal and/or tax consequences; (ii) it is not practicable to accurately ascertain the value of any portion of the assets of the Fund or the Master Fund due to factors such as the closure of or the suspension of trading on any exchange or other market on which such assets are usually traded or the break-down in any of the means usually employed by the General Partner in ascertaining such value; or (iii) circumstances exist as a result of which it is not reasonably practicable for the Fund or the Master Fund to realize on the value of any of its assets; (iv) effecting such withdrawals or making such payments would have a material adverse effect on the Limited Partners generally; (v) during any period when the Master Fund has postponed or suspended withdrawals and/or the determination of its net asset value; or (vi) after the General Partner determines that it is in the best interest of the Fund or the Limited Partners to wind up and dissolve the Fund. The General Partner may also temporarily suspend withdrawals and/or payments due to Partners in connection with withdrawals in order for the Fund or the Master Fund to effect the orderly liquidation of its assets necessary to effect withdrawals. To the extent that a request for withdrawal of capital is not subsequently withdrawn, the withdrawal will generally become effected as of the first Withdrawal Date following the recommencement of withdrawals, on the basis of the Partner's Capital Account balance at that time.

Death or Disability of a Limited Partner. In the event of the death, disability, incapacity, adjudication of incompetency, termination, bankruptcy, insolvency, or dissolution of a Limited Partner, the General Partner may, in its sole discretion, at any time after such an event, effect a complete withdrawal of the balance of such Limited Partner's Capital Account. Such Limited Partner's Capital Account shall continue at the risk of the Fund's business until such complete withdrawal is effected or the earlier termination of the Fund. Payment of the withdrawing Limited Partner's Capital Account shall be made on the same terms and shall be subject to the same conditions as a complete withdrawal by a Limited Partner of its Capital Account.

Limited Partner Interest After Notice. The Interest of a Limited Partner that gives notice of withdrawal shall not be included in calculating the partnership percentages of the Limited Partners required to take any action under the Partnership Agreement.

General Partner Withdrawals. The General Partner may withdraw substantially all of its Capital Account at any time, without notice to the Limited Partners; provided that the General Partner may not withdraw capital from the Fund if the General Partner suspends withdrawal rights. Notwithstanding the foregoing, the General Partner may withdraw capital from its Capital Account in the Fund or the

Master Fund equal to the amount of a previously earned Performance Allocation at any time in the General Partner's sole and absolute discretion.

Mandatory Withdrawals. The General Partner, in its sole discretion, may require any Limited Partner to withdraw all or any part of its Capital Account at any time and for any reason, such withdrawal to be effective on the date specified in such notice. Under such circumstances, the General Partner will have the irrevocable power to act in the name of such Limited Partner to withdraw its Interest in the Fund. The General Partner has the right to terminate the Fund at any time by the compulsory termination of all Interests. In the case of such termination, the Fund's assets will be distributed to the Partners within 30 days after completion of a final audit of the Fund's financial statements (which will generally be performed within 120 days of the termination of the Fund or as soon thereafter as is reasonably possible).

CUSTODY

The Investment Manager may maintain custody of the Fund's Digital Assets with third party custodians selected by the Investment Manager, including the use of multiparty computation custodians, on or within "hot wallets" on exchanges, or "cold wallets", either through paper or hardware cold storage, and/or on "air-gapped" computers utilized by the Fund. To the extent the Investment Manager maintains custody of any of the Fund's Digital Assets, the Investment Manager shall select or generate the private keys that control movement of the Digital Assets. The Investment Manager may also utilize proprietary storage methods developed by the Investment Manager. The Investment Manager may maintain certain of the Fund's Digital Assets with one or more of the Fund's exchanges, which may result in the Fund being exposed to counterparty risk with respect to such exchanges. Digital Asset exchanges may also require the Investment Manager to provide control of the private keys when the exchange is utilized by the Fund. Several of the Fund's exchanges may be unable to provide for "cold wallet" storage. Such exchanges and wallets have developed security systems to maintain confidential access to the private keys that have been generated and which control movement of the currencies. The Investment Manager may not be able to obtain control of the private keys generated by the exchanges utilized by the Fund, because each exchange may use different methodologies and security systems. A single type of Digital Asset held by the Fund may be custodied or secured in different ways (e.g., with respect to a particular Digital Asset, a portion of the Fund's holdings may be custodied by one third party custodian while another portion is custodied by another third-party custodian or other method), and different types of Digital Assets may have different custody or security arrangements. The Investment Manager also intends to incorporate multi-signature storage solutions, if the Investment Manager, in its sole discretion, deems appropriate. The foregoing, however, shall not limit the Investment Manager in any way from utilizing Digital Asset custody standards and practices that may exist in the future. The Investment Manager retains the right to use any third-party Digital Asset custodian in the future as firms and Digital Asset custody standards begin to develop. The custodian(s) will be paid a customary fee for their services.

The Fund and the Master Fund have consented to the transfer and reuse of assets on customary terms under its service agreement(s) with the custodian(s). Such transfer and reuse is restricted by regulatory limitations imposed upon the custodian(s).

The Master Fund has engaged Coinbase Custody International, Ltd. to serve as a digital asset custodian for the Fund. Coinbase Custody International, Ltd. is based in Dublin, Ireland and offers institutional, industry-leading crypto asset storage and staking solutions to certain non-US domiciled entities.

Coinbase Custody International, Ltd. is registered as a Virtual Asset Service Provider and is regulated primarily by the Central Bank of Ireland.

The Fund intends to make investments in Portfolio Companies that will be privately placed without the use of a broker. In the event the Fund makes any investments in Portfolio Companies that are not privately placed, such investment securities of the Fund will be purchased and sold through U.S. and non-U.S. brokerage firms. In the event any of the Fund's Investments in a Portfolio Company is an uncertificated security acquired in a private transaction and the Fund's ownership thereof is recorded only on the books of the applicable Portfolio Company or its transfer agent, the Fund may hold such asset directly.

With respect to the Fund's direct investments in securities, the Investment Manager is responsible for the placement of the portfolio transactions of the Fund and the negotiation of any commissions paid on such transactions. Purchases of portfolio instruments through brokers involve a commission to the broker. Securities transactions are executed by brokers selected by the Investment Manager in its sole discretion and without the consent of the Fund.

In placing any portfolio transactions, the Investment Manager will seek to obtain the best execution for the Fund, taking into account the following factors: (i) the ability to effect prompt and reliable executions at favorable prices (including the applicable dealer spread or commission, if any); (ii) the operational efficiency with which transactions are effected, taking into account the size of order and difficulty of execution; (iii) the financial strength, integrity and stability of the broker; (iv) the quality, comprehensiveness and frequency of available research services considered to be of value; and (v) the competitiveness of commission rates in comparison with other brokers satisfying the Investment Manager's other selection criteria.

Under such arrangements, the Investment Manager is authorized to pay higher prices for the purchase of securities from or accept lower prices for the sale of securities to brokerage firms that provide it with such investment and research information or to pay higher commissions to such firms if the Investment Manager determines such prices or commissions are reasonable in relation to the overall services provided. Research services furnished by brokers may include written information and analyses concerning specific products; market, financial and economic studies and forecasts; statistics and pricing or appraisal services; discussions with research personnel; and invitations to attend conferences or meetings with management or industry consultants. The Investment Manager is not required to weigh any of these factors equally. Information so received is in addition to and not in lieu of services required to be performed by the Investment Manager, and the Investment Manager's fee would not be reduced as a consequence of the receipt of such supplemental research information. Research services provided by broker-dealers used by the Fund may be utilized by the Investment Manager or its affiliates in connection with its investment services for other accounts, and likewise, research services provided by broker-dealers used for transactions of other accounts may be utilized by the Investment Manager in performing its services for the Fund. Since commission rates in the United States are negotiable, selecting brokers on the basis of considerations which are not limited to applicable commission rates may at times result in higher transaction costs than would otherwise be obtainable.

The use of brokerage commissions to obtain investment research services and to pay for the administrative costs and expenses of the Investment Manager creates a conflict of interest between the Investment Manager and the Fund, because the Fund pays for such products and services that are not exclusively for the benefit of the Fund and that may be primarily or exclusively for the benefit of the

Investment Manager. To the extent that the Investment Manager is able to acquire these products and services without expending its own resources (including the Management Fee paid by the Fund), the Investment Manager's use of "soft-dollars" would tend to increase the Investment Manager's profitability. In addition, the availability of these non-monetary benefits may influence the Investment Manager to select one broker rather than another to perform services for the Fund. The Partnership Agreement specifically authorizes these practices to the fullest extent permitted by law.

Notwithstanding the above, all "soft dollar" arrangements, if any, will fall within the safe harbor provided by Section 28(e) of the Securities Exchange Act, as that safe harbor is currently interpreted by the SEC.

The Fund may in the future enter into a prime brokerage agreement to engage a broker and serve as the Fund's prime broker who will clear (generally on the basis of payment against delivery) the securities transactions for the Fund which are effected through other brokerage firms. Pursuant to the terms of a prime brokerage agreement, the services provided by the Fund's prime broker(s) may include the provision to the Fund of custody, margin financing, clearing, settlement, stock borrowing and non-U.S. exchange facilities.

The Investment Manager, in its sole discretion, may change custodians, or change or add prime brokers without notice to the Limited Partners.

ADMINISTRATOR

Securitize Fund Services, LLC (the "Administrator" or "Securitize") will be the administrator of the Fund pursuant to a Service Agreement entered into with the Fund (the "Administration Agreement"). Pursuant to the Administration Agreement, the Administrator will be responsible, among other things, for providing certain administration, accounting, registration, record-keeping, secretarial, anti-money laundering, and related services to the Fund, the Onshore Fund and the Master Fund, namely: (a) maintaining the accounting books and records of the Fund, the Onshore Fund, and the Master Fund; (b) calculating the Net Asset Value of the Fund, the Onshore Fund, and the Master Fund and preparing monthly financial statements; (c) maintaining the books and records of the Fund, the Onshore Fund, and Master Fund; (d) providing record-keeping services in connection with the issuance, transfer, and redemption of the Interests; (e) performing anti-money laundering services, including, but not limited to, providing an Anti-Money Laundering Compliance Officer, a Money Laundering Reporting Officer, and a Deputy Money Laundering Reporting Officer; and (f) performing other administrative and clerical services necessary in connection with the administration of the Fund, the Onshore Fund, and the Master Fund. The Administrator may delegate to its affiliates any or all of its duties under the Administration Agreement.

The Administrator is a service provider to the Fund, the Onshore Fund, and the Master Fund and does not have any responsibility or authority to provide any investment advice or recommendations with respect to the Fund, the Onshore Fund, and the Master Fund. The Administrator has no responsibility for monitoring compliance by the General Partner or the Investment Manager with any investment objectives and restrictions to which they may be subject with respect to the Fund, the Onshore Fund, or the Master Fund. The Administrator is not liable for any loss or damage suffered by the Fund, the Onshore Fund, or the Master Fund as a consequence of any services rendered by the Administrator to the Fund, the Onshore Fund, and the Master Fund, unless such liabilities or expenses arise out of the willful misfeasance, bad faith, fraud, or gross negligence by the Administrator in performing its duties or from reckless disregard by the Administrator of its obligations or duties.

The Administration Agreement also provides for indemnification of the Administrator from and against any and all liabilities, actions, proceedings, claims, demands, costs or expenses whatsoever (other than those resulting from willful misfeasance, bad faith, fraud, gross negligence, or a material breach of the Administration Agreement) which may be imposed on, incurred by or asserted against the Administrator in performing its duties there under.

The Administrator is entitled to customary monthly fees from the Fund, the Onshore Fund, and the Master Fund in respect of its services as administrator comprised of a fee calculated by reference to the Fund's net asset value and fixed fees for certain services based on the Administrator's standard schedule of services. In addition, the Administrator is entitled to reimbursement by the Fund, the Onshore Fund, and the Master Fund of all reasonable out-of-pocket expenses properly incurred by it in the performance of its services under the Administration Agreement. The Administrator's fees may be amended from time to time by agreement of the Fund, the Onshore Fund, and the Master Fund and the Administrator. The Administration Agreement will continue in force until terminated by either party with notice in writing to the other party and may be terminated by the Fund, the Onshore Fund, and the Master Fund or the Administrator upon 90 days' written notice.

Net Asset Value. The Net Asset Value of the Fund shall be determined as of the close of business on each Valuation Day, (herein defined as the last business day of each calendar month), according to the valuation policy of the Investment Manager ("Valuation Policy"). The Valuation Policy is summarized below. The calculation shall be made in accordance with U.S. GAAP and the Valuation Policy by adding the value of all the assets of the Fund and deducting therefrom the total liabilities of the Fund.

The Administrator is responsible for calculating Net Asset Value and the Investment Manager has the discretion to value the Fund's assets. The Investment Manager has substantial discretion in determining the value of the Fund's assets. Valuations will be made in accordance with the Valuation Policy, a copy of which will be provided to Limited Partners and upon request.

The assets of the Fund will be valued in accordance with the valuation principles contained in the Valuation Policy, as summarized below:

- (a) On the Valuation Day, Digital Assets are valued using index pricing consisting of dollar volume weighted closing prices of certain trading exchanges of the Digital Assets or, if not available, the closing price of a single exchange where the Digital Asset is determined to be principally traded. Digital Assets traded over-the-counter shall be valued at the closing price on the Valuation Date as reported by any reliable source selected by the Investment Manager.
- (b) Securities traded on national exchanges are valued at the closing price on the markets in which the securities trade. Securities traded on the NASDAQ Stock Market LLC ("NASDAQ") are valued at the NASDAQ official closing price. Over-the-counter securities not included on NASDAQ and listed securities for which no sale was reported are valued at the mean of the bid and ask prices. Debt securities are valued on the basis of evaluated prices furnished by an independent pricing service or provided by securities dealers.
- (c) Short-term debt instruments having a maturity of 60 days or less are valued at amortized cost.
- (d) Assets that are not traded publicly shall be valued by the Investment Manager in a fair and equitable manner in accordance with its valuation policies and procedures.

- (e) Any assets or liabilities denominated in currencies other than the U.S. dollar are converted into U.S. dollars at the current market rates on the date of valuation as quoted by one or more sources. If a market quotation for a security or other asset is not readily available or the Investment Manager believes it does not otherwise accurately reflect the market value of the security or asset at the time the Fund calculates its Net Asset Value, the security or asset will be fair valued by the Investment Manager in accordance with its valuation policies and procedures.

In connection with the determination of the Net Asset Value, the Fund will rely, without further verification, upon (i) valuations and pricing information provided by the Investment Manager and other third parties the General Partner considers competent to provide those valuations and information; and (ii) the calculation of Net Asset Value by the Administrator. The General Partner, Investment Manager, or the Administrator will not be liable for any error in the determination of the Net Asset Value arising from any inaccuracy or error in the valuations and pricing information so provided or from any error in its calculation upon which they have relied in good faith.

The Administrator (and the Investment Manager to the extent they are involved in the calculation of Net Asset Value) will apply all methodologies associated with the calculation of net asset value on a consistent basis. The involvement of the Investment Manager in valuing hard to value assets and in connection with management exceptions is an integral part of the Fund's Valuation Policy. This is because there are certain circumstances in which the Investment Manager is party to information regarding the Fund's assets which is not generally available or because there is no publicly available information upon which the Administrator may rely in calculating the net asset value of a certain asset. This is particularly the case with respect to level 3 assets in respect of which subjective assumptions may be key to mark to model valuation. Consistent methodologies are applied in respect of unobservable inputs and sensitivity analysis wherever applicable.

Certain of the Fund's assets and liabilities may not have readily observable market prices and the valuation of such assets may rely on quoted prices in inactive markets or models that have observable inputs. Certain other categories of assets (principally level 3 assets) may lack any readily available market information and, accordingly, the valuation of such assets may rely substantially on models and significant unobservable inputs including assumptions from market participants. As such assets are not actively traded, their value can only be estimated using a combination of complex market prices, mathematical models and subjective assumptions.

The Net Asset Value will be reported to Limited Partners by way of investor statements issued on a monthly basis.

TAX CONSIDERATIONS

Certain U.S. Tax Considerations

THE DISCUSSION HEREIN IS FOR INFORMATIONAL PURPOSES ONLY AND IS A DISCUSSION PRIMARILY OF THE U.S. TAX CONSEQUENCES TO SUBSCRIBERS. EACH SUBSCRIBER SHOULD CONSULT ITS PROFESSIONAL TAX ADVISOR WITH RESPECT TO THE TAX ASPECTS OF AN INVESTMENT IN THE FUND. TAX CONSEQUENCES MAY VARY DEPENDING UPON THE PARTICULAR STATUS OF A SUBSCRIBER.

This summary generally outlines certain significant Cayman Islands and U.S. Federal income tax principles that are likely to apply to the Fund and the investors, given the anticipated nature of the Fund's activities. The actual tax and financial consequences of the purchase and ownership of an Interest in the Fund will vary depending upon the investor's circumstances.

The discussion of U.S. Federal income tax matters contained herein is based on existing law as contained in the United States Internal Revenue Code of 1986, as amended (the "Code"), United States Treasury regulations, administrative rulings and court decisions as of the date of this Memorandum. No assurance can be given that future legislation, administrative rulings or court decisions will not modify the conclusions set forth in this summary, possibly with retroactive effect.

Because the nature of the Fund's investments is not fully known at the time of this Memorandum, it is not possible to address the specific tax consequences of the Fund's investments. Accordingly, the following discussion is intended as a general guide only.

The following summary was written to support the promotion or marketing of the Fund and was not intended or written to be used, and cannot be used, for the purpose of avoiding U.S. Federal, state, or local tax penalties. Each investor should consult with and rely on its own independent tax counsel as to the U.S. Federal income tax consequences of an investment in the Fund based on its particular circumstances, as well as to applicable state, local, or non-United States tax laws.

Fund Taxed as a Corporation. The Fund intends to make an election to be treated as a corporation for U.S. Federal income tax purposes.

Cayman Islands Taxation

The Government of the Cayman Islands will not, under existing legislation, impose any income, corporate or capital gains tax, estate duty, inheritance tax, gift tax or withholding tax upon the Fund or the Partners. The Cayman Islands are not party to a double tax treaty with any country that is applicable to any payments made to or by the Fund.

The Fund has applied for and can expect to receive an undertaking from the Financial Secretary of the Cayman Islands that, in accordance with section 6 of the Tax Concessions Act (As Revised) of the Cayman Islands, for a period of 50 years from the date of the undertaking, no law which is enacted in the Cayman Islands imposing any tax to be levied on profits, income, gains or appreciations shall apply to the Fund or its operations and, in addition, that no tax to be levied on profits, income, gains or appreciations or which is in the nature of estate duty or inheritance tax shall be payable (i) on or in respect of the shares, debentures or other obligations of the Fund or (ii) by way of the withholding in whole or in part of a payment of dividend or other distribution of income or capital by the Fund to its members or a payment of principal or interest or other sums due under a debenture or other obligation of the Fund.

Limited Partners will not be subject to any income, withholding or capital gains taxes in the Cayman Islands with respect to their Interests and dividends or distributions received on those Interests, nor will they be subject to any estate or inheritance taxes in the Cayman Islands. There are no exchange controls in the Cayman Islands.

The Cayman Islands and FATCA

US Requirements. The Foreign Account Tax Compliance Act ("FATCA") provisions of the Hiring Incentives to Restore Employment Act ("HIRE Act") provide that the Fund and the Master Fund must disclose the name, address and taxpayer identification number of certain United States persons that own, directly or indirectly, an interest in the Fund or the Master Fund, as well as certain other information relating to any such interest, pursuant to the terms of the intergovernmental agreement between the United States and the Cayman Islands ("US IGA") and implementing legislation and regulations which have been adopted by the Cayman Islands. If the Fund and the Master Fund fail to comply with these requirements, then a 30% withholding tax will be imposed on certain payments to the Fund or the Master Fund of United States source income. Although the Fund and the Master Fund will attempt to satisfy the obligations imposed on them to avoid the imposition of this withholding tax, no assurance can be given that the Fund and the Master Fund will be able to satisfy these obligations. In this regard, the Fund may require investors to provide any documentation or other information regarding the investors and their beneficial owners that the Fund determines is necessary or desirable for the Fund to avoid the withholding tax and otherwise comply with the HIRE Act. If the Fund or the Master Fund becomes subject to a withholding tax as a result of the HIRE Act, the value of Interests held by all Limited Partners may be materially affected. The Cayman Islands legislation requires the Fund and the Master Fund to make an annual report to the Cayman Islands Tax Information Exchange Authority ("Cayman TIA"). Any information provided by the Fund or the Master Fund to the Cayman TIA will be shared with the Internal Revenue Service of the United States ("IRS").

Other Intergovernmental Agreements. It is possible that further inter-governmental agreements ("future IGAs") similar to the US IGA may be entered into with other third countries by the Cayman Islands Government to introduce similar regimes for reporting to such third countries' fiscal authorities.

OECD Multilateral Competent Authority Agreement. Over 100 countries have signed the OECD Multilateral Competent Authority Agreement and Common Reporting Standard ("CRS") for the implementation of the automatic exchange of tax information based on the OECD's Multilateral Convention on Mutual Administrative Assistance in Tax Matters. The CRS is similar in form and substance to the US IGA and applies in respect of each "participating jurisdiction" (as identified in a list published by the Cayman TIA). The implementation in the Cayman Islands is governed by the Tax Information Authority (International Tax Compliance) (Common Reporting Standard) Regulations (As Revised) ("CRS Regulations"). As a result of this, Cayman Islands financial institutions, including the Fund and the Master Fund, have substantially expanded international tax compliance obligations and substantially expanded reporting obligations.

By investing (or continuing to invest) in the Fund, investors shall be deemed to acknowledge that: (i) the Fund (or its agent or delegate) may be required to disclose to the Cayman TIA certain confidential information in relation to the investor, including, but not limited to, the investor's name, address, tax identification number (if any), social security number (if any) and certain information relating to the investor's investment; (ii) the Cayman TIA may be required to automatically exchange information as outlined above with the IRS, HM Revenue & Customs, the United Kingdom tax authority ("HMRC") and other fiscal authorities ("Competent Authorities") of CRS "participating jurisdictions"; (iii) the Fund (or its agent or delegate) may be required to disclose to the IRS, HMRC and other Competent Authorities certain confidential information when registering with such authorities and if such authorities contact the Fund (or its agent or delegate directly) with further enquiries; (iv) the Fund may require the investor to provide additional information and/or documentation which the Fund may be required to disclose to the Cayman TIA; (v) in the event an investor does not provide the requested information and/or documentation and/or has not itself complied with the applicable requirements, whether or not that actually leads to compliance failures by the Fund, or a risk of the Fund's or its

investors' being subject to withholding tax under the relevant legislative or inter-governmental regime, the Fund reserves the right to take any action and/or pursue all remedies at its disposal, including, without limitation, compulsory redemption or withdrawal of the investor concerned; and (vi) no investor affected by any such action or remedy shall have any claim against the Fund (or its agent or delegate) for any form of damages or liability as a result of actions taken or remedies pursued by or on behalf of the Fund in order to comply with any of the US IGA, the CRS Regulations or any future IGAs or agreements, laws or regulations entered into or implemented by the Cayman Islands for the purpose of ensuring and/or enhancing international tax transparency.

Other jurisdictions. It is possible that certain dividends, interest and other income received by the Fund from sources within certain countries may be subject to withholding taxes imposed by such countries. The Fund may also be subject to capital gains taxes or other taxes in some of the countries where it purchases and sells securities or otherwise conducts business. It is impossible to predict in advance the rate of tax that will be paid since the amount of the assets of the Fund to be invested in various countries is uncertain.

Cayman Islands – Automatic Exchange of Financial Account Information.

Cayman Islands regulations have been issued to give effect to the US IGA, CRS and OECD Standard for Automatic Exchange of Financial Account Information (“AEOI” and collectively, the “AEOI Regulations”). Pursuant to the AEOI Regulations, the Cayman Islands Tax Information Authority (the “TIA”) has published guidance notes on the application of the US IGA and CRS.

All Cayman Islands “Financial Institutions” are required to comply with the registration, due diligence and reporting requirements of the AEOI Regulations, unless they are able to rely on an exemption that allows them to become a “Non-Reporting Financial Institution” (as defined in the relevant AEOI Regulations) with respect to one or more of the AEOI regimes, in which case only the registration requirement would apply under CRS. The Fund does not propose to rely on any Non-Reporting Financial Institution exemption and therefore intends to comply with all of the requirements of the AEOI Regulations.

The AEOI Regulations require the Fund and/or the General Partner (as applicable) to, amongst other things (i) register with the IRS to obtain a Global Intermediary Identification Number (in the context of the US IGA only), (ii) register with the TIA, and thereby notify the TIA of its status as a “Reporting Financial Institution”; (iii) adopt and implement written policies and procedures setting out how it will address its obligations under CRS, (iv) conduct due diligence on its accounts to identify whether any such accounts are considered “Reportable Accounts”, (v) report information on such Reportable Accounts to the TIA, and (vi) file a CRS Compliance Form with the TIA. The TIA will transmit the information reported to it to the overseas fiscal authority relevant to a reportable account (e.g. the IRS in the case of a US Reportable Account) annually on an automatic basis.

For details on the U.S. FATCA withholding tax regime see U.S. tax disclosure below.

By investing in the Fund or continuing to invest in the Fund, investors shall be deemed to acknowledge that further information may need to be provided to the Fund, the Fund's compliance with the AEOI Regulations may result in the disclosure of investor information, and investor information may be exchanged with overseas fiscal authorities. Where an investor fails to provide any requested information (regardless of the consequences), the General Partner and the Fund may be obliged, and reserve the right, to take any action and pursue all remedies at their disposal including, without

limitation, compulsory withdrawal of the investor concerned or closure of the investor's account. In accordance with TIA issued guidance, the Fund is required to close an investor's account if an appropriate self-certification is not obtained within 90 days of account opening.

Although the Fund will attempt to satisfy any obligations imposed on it with respect to the above, no assurance can be given that the Fund will be able to satisfy these obligations. In this regard, the Fund may require investors to provide any documentation or other information regarding the investor and its beneficial owners that the Fund determines is necessary or desirable in order for the Fund to comply with FATCA, the US IGA, CRS, any future IGAs and the Cayman legislation and regulations.

If the Fund becomes subject to a withholding tax or a fine as a result of FATCA, the US IGA, CRS or any future IGAs, the value of Interests held by all Limited Partners may be materially affected, although the Fund generally expects to charge the amounts to the relevant Limited Partner, as applicable, including by way of a compulsory redemption of all or a portion of such Limited Partners' investments as required.

The General Partner will use its best efforts to minimize the effects of taxation and may, without prior notice to any Limited Partner, establish subsidiaries of the Fund in any jurisdiction to seek improvement of its tax efficiency.

The regulatory obligations described above in respect of AEOI apply equally to both the Fund and the Master Fund.

IT IS POSSIBLE THAT THE CURRENT TAX TREATMENT ACCORDED TO THE FUND IN THE CAYMAN ISLANDS, THE UNITED STATES AND ELSEWHERE WILL BE MODIFIED BY LEGISLATIVE, ADMINISTRATIVE OR JUDICIAL ACTION IN THE FUTURE. SUCH LEGISLATION COULD SIGNIFICANTLY ALTER THE TAX CONSEQUENCES OF AN INVESTMENT IN THE FUND. A SUBSCRIBER SHOULD SEEK, AND MUST RELY ON, THE ADVICE OF ITS OWN TAX ADVISORS WITH RESPECT TO THE POSSIBLE IMPACT ON ITS INVESTMENT OF ANY FUTURE TAX LEGISLATION OR ADMINISTRATIVE OR JUDICIAL ACTION.

SUBSCRIBERS ARE URGED TO CONSULT THEIR OWN TAX ADVISORS IN DETERMINING ALL TAX CONSEQUENCE WITH RESPECT TO THEIR OWN PARTICULAR CIRCUMSTANCES UNDER THE LAWS OF THE JURISDICTIONS OF WHICH THEY ARE CITIZENS, RESIDENTS OR DOMICILIARIES OR IN WHICH THEY CONDUCT BUSINESS.

Compliance with Laws, Tax Mitigation, FATCA/CRS and Investor Personal Data. The General Partner may take all such action as the General Partner may from time to time, and with or without legal advice, determine to be necessary or desirable in order to comply with or to avoid breaching any applicable law or regulation (including, without limitation, any law relating to tax, tax information, anti-money laundering, combating terrorist financing or information disclosure) and may, without limitation, effect payments to any relevant government body or authority and debit any relevant costs, penalties, losses or taxes incurred to the relevant capital account or from amounts otherwise owing to the relevant Limited Partner.

The General Partner may decline, withhold, reduce, delay or cancel any redemption, redemption payment, repurchase, repurchase payment, dividend payment, liquidation payment or other payment (and, in whole or partial discharge of any payment obligation, pay any relevant amounts to any relevant

tax or other government body or authority) as the General Partner may determine from time to time, and with or without legal advice, be necessary or desirable: (i) in order to comply with or to avoid breaching any applicable law or regulation (including, without limitation, any law relating to tax, tax information, anti-money laundering, combating terrorist financing or information disclosure), or (ii) where the agreement(s), information or documentation relating to the acquisition of the relevant Interests is not complete to the satisfaction of the General Partner.

If the Fund is required by the laws of any relevant jurisdiction to make a withholding, whether on account of tax or otherwise, from any redemption, repurchase, dividend, liquidation or other payment, the amount of such withholding shall be deducted from the amount otherwise payable (and may be paid to any relevant tax or other government body or authority or reimbursed to one or more of the other Limited Partners as the General Partner may determine).

If the Fund, or any of their respective service providers, suffers or incurs directly or indirectly any loss, penalty, withholding tax or other tax under or pursuant to FATCA/CRS, that the Fund, or any of their respective service providers, might not otherwise have suffered or incurred, by reason directly or indirectly of one or more Limited Partners or former Limited Partners holding Interests whether taken alone or in conjunction with other persons, connected or not, or any other circumstances appearing to the General Partner to be relevant (including, without limitation, where a Limited Partner or former Limited Partner has failed to provide to the Fund, or any of their respective service providers, to the satisfaction of such persons such information or documentation as they required such Limited Partner or former Limited Partner to provide in order to seek to reduce or avoid any loss, penalty, withholding tax or other tax under or pursuant to FATCA/CRS that has or may be incurred or suffered whether directly or indirectly by the Fund, or any of their respective service providers), such Limited Partner or Limited Partner shall indemnify upon demand the Fund, and any of their respective service providers, in full in respect of any such loss, penalty, withholding tax or other tax and the Fund may deduct the amount of such loss, penalty, withholding tax or other tax from any redemption, repurchase, dividend and/or liquidation or other monies from time to time otherwise payable to or in respect of such Limited Partner (and may divide such amount between such Limited Partners as they see fit).

The Fund and the General Partner and service providers (including, without limitation, the Investment Manager and the Administrator) are authorised to make disclosure to such persons (including, without limitation, any relevant tax, tax information, regulatory or other government body or authority) of information relating to the Limited Partners of the Fund as they may see fit, including without limitation, any disclosure they consider appropriate:

- (a) to the Tax Information Authority of the Cayman Islands with a view to reducing, avoiding or mitigating any direct or indirect loss, penalty, withholding tax or other tax incurred or suffered by the Fund or any of their respective service providers, under FATCA/CRS and otherwise in order to comply with FATCA/CRS;
- (b) otherwise with a view to reducing, avoiding or mitigating any direct or indirect loss, penalty, withholding tax or other tax suffered or incurred by the Fund, or any of their respective service providers, or in respect of any investment of the Fund;
- (c) in connection with establishing counterparty relationships of the Fund or any service provider to the Fund;

- (d) to the Administrator, the Investment Manager and other service providers to the Fund and any other member of their respective groups;
- (e) to the Fund;
- (f) to persons who intervene in the process of the business relationship (for example, external processing centres, dispatch agents or payment agents), including companies based in countries where data protection laws might not exist; and/or
- (g) in order to comply with or to avoid breaching any applicable law or regulation, and, without limitation, any such disclosure may be on such terms as they may determine and may relate to the identity, nationality, residence and/or tax residence, and source of funds of any Limited Partner, the identity, nationality, residence and/or tax residence and source of funds of any direct or indirect owner or controller of a Limited Partner, the affairs of the Fund generally, and/or the affairs of the Fund in respect of, by reference to, or attributable to a Limited Partner.

The Fund is required to make comprehensive disclosure to the Tax Information Authority of the Cayman Islands as to the affairs of the Fund and the Limited Partners. Service providers to the Fund may have similar disclosure requirements.

Other Taxes, Laws and Regulations. The Fund may invest in securities sourced in countries other than Cayman Islands or the United States and the Fund may be subject to income, withholding or other taxation in such other countries. The Limited Partners in the Fund may be resident for tax purposes in many different countries and, accordingly, no attempt is made in this Memorandum to summarize the tax consequences for every investor who might become a Limited Partner in the Fund. Subscribers should therefore consult their professional advisors on the possible tax consequences of subscribing for, acquiring, holding, transferring or repurchasing Interests under the laws of their country of citizenship, residence, domicile or incorporation.

It is possible that certain dividends, interest and other income received by the Fund from sources within certain countries may be subject to withholding taxes imposed by such countries. The Fund may also be subject to capital gains taxes or other taxes in some of the countries where it purchases and sells securities or otherwise conducts business. It is impossible to predict in advance the rate of tax that will be paid since the amount of the assets of the Fund to be invested in various countries is uncertain.

BASED ON THE STRUCTURE AND OPERATIONS OF THE FUND, THE FUND GENERALLY SHOULD NOT BE SUBJECT TO U.S. INCOME TAX, EXCEPT AS PROVIDED BELOW.

Other Tax Considerations

U.S. Trade or Business. Section 864(b)(2) of the Code, provides a safe harbor (the “Safe Harbor”) applicable to a non-U.S. partnership (other than a dealer in securities) that engages in the U.S. in trading securities (including contracts or options to buy or sell securities) for its own account pursuant to which such non-U.S. partnership will not be deemed to be engaged in a U.S. trade or business. The Safe Harbor also provides that a non-U.S. partnership (other than a dealer in commodities) that engages in the U.S. in trading commodities for its own account is not deemed to be engaged in a U.S. trade or business if “the commodities are of a kind customarily dealt in on an organized commodity exchange and if the transaction is of a kind customarily consummated at such place.” Pursuant to proposed regulations, a non-U.S. taxpayer (other than a dealer in stocks, securities or derivatives) that effects

transactions in the United States in derivatives (including (i) derivatives based upon stocks, securities, and certain commodities, and (ii) certain notional principal contracts based upon an interest rate, equity, or certain commodities and currencies) for its own account is not deemed to be engaged in a United States trade or business. Although the proposed regulations are not final, the IRS has indicated in the preamble to the proposed regulations that for periods prior to the effective date of the proposed regulations, taxpayers may take any reasonable position with respect to the application of Section 864(b)(2) of the Code to derivatives, and that a position consistent with the proposed regulations will be considered a reasonable position.

The Fund intends to conduct its business in a manner so as to meet the requirements of the Safe Harbor. Thus, any securities and commodities trading activities by the Fund should not constitute a U.S. trade or business and, except in the limited circumstances discussed below, the Fund should not be subject to the regular U.S. income tax on any of its trading profits. However, if certain of the Fund's activities were determined not to be of the type described in the Safe Harbor, the Fund's activities may constitute a U.S. trade or business, in which case the Fund would be subject to U.S. income and branch profits tax on the income and gain from those activities.

U.S. Withholding Tax. In general, under Section 881 of the Code, a non-U.S. entity electing to be treated as a corporation which does not conduct a U.S. trade or business is nonetheless subject to tax at a flat rate of 30% (or lower tax treaty rate) on the gross amount of certain U.S. source income which is not effectively connected with a U.S. trade or business, generally payable through withholding. Income subject to such a flat tax rate is of a fixed or determinable annual or periodic nature, including dividends and certain interest income. There is presently no tax treaty between the U.S. and the Cayman Islands.

Certain types of income are specifically exempted from the 30% tax and thus withholding is not required on payments of such income to an entity treated as a non-U.S. corporation for U.S. tax purposes. The 30% tax does not apply to U.S. source capital gains (whether long or short-term) or to interest paid to an entity treated as a non-U.S. corporation on its deposits with U.S. banks. The 30% tax also does not apply to interest which qualifies as portfolio interest. The term "portfolio interest" generally includes interest (including original issue discount) on an obligation in registered form which has been issued after July 18, 1984 and with respect to which the person who would otherwise be required to deduct and withhold the 30% tax receives the required statement that the beneficial owner of the obligation is not a U.S. person within the meaning of the Code. Under certain circumstances, interest on bearer obligations may also be considered portfolio interest.

Withdrawals of Interests. Gain realized by Limited Partners who are not U.S. persons within the meaning of the Code ("non-U.S. Partners") upon the sale, exchange or withdrawal of Interests held as a capital asset should generally not be subject to U.S. Federal income tax provided that the gain is not effectively connected with the conduct of a trade or business in the U.S. However, in the case of nonresident alien individuals, such gain will be subject to the 30% (or lower tax treaty rate) U.S. tax if (i) such person is present in the U.S. for 183 days or more during the taxable year (on a calendar year basis unless the nonresident alien individual has previously established a different taxable year) and (ii) such gain is derived from U.S. sources.

Generally, the source of gain upon the sale, exchange or withdrawal of Interests is determined by the place of residence of the beneficial owner. For purposes of determining the source of gain, the Code defines residency in a manner that may result in an individual who is otherwise a nonresident alien with respect to the U.S. being treated as a U.S. resident only for purposes of determining the source of

income. Each potential individual Limited Partner who anticipates being present in the U.S. for 183 days or more (in any taxable year) should consult his tax advisor with respect to the possible application of this rule.

Gain realized by a non-U.S. Limited Partner engaged in the conduct of a U.S. trade or business will be subject to U.S. Federal income tax upon the sale, exchange or withdrawal of Interests if such gain is effectively connected with its U.S. trade or business.

Non-U.S. Limited Partners may be required to make certain certifications to the Fund as to the beneficial ownership of the Interests and the non-U.S. status of such beneficial owner, in order to be exempt from U.S. information reporting and backup withholding on a withdrawal of Interests.

Estate and Gift Taxes. Individual holders of Interests who are neither present nor former U.S. citizens nor U.S. residents (as determined for U.S. estate and gift tax purposes) are not subject to U.S. estate and gift taxes with respect to their ownership of such Interests.

Other Jurisdictions. Interest, dividend and other income realized by the Fund from non-U.S. sources, and capital gains realized on the sale of securities of non-U.S. issuers, may be subject to withholding and other taxes levied by the jurisdiction in which the income is sourced. It is impossible to predict the rate of foreign tax the Fund will pay since the amount of the assets to be invested in various countries and the ability of the Fund to reduce such taxes, are not known.

Investment in Non-U.S. Securities. Dividends and interest received by the Fund with respect to non-U.S. Securities may give rise to withholding and other taxes imposed by non-U.S. countries, generally at rates from 10% to 40%. Tax conventions between certain countries and the U.S. may reduce or eliminate such taxes. With a limited number of exceptions, non-U.S. countries generally do not impose taxes on capital gains with respect to investments by nonresident investors. The tax treatment under the laws of non-U.S. countries of many of the investments that the Fund holds is unclear. Such countries may assert that the Fund owes additional taxes with respect to such transactions. In the event that such tax is actually paid, a Limited Partner may be entitled, subject to certain limitations, to a credit or deduction on the Limited Partner's federal income tax return for the Limited Partner's proportionate share of the Fund's non-U.S. tax liability. On the other hand, even though the Fund may never actually pay such liability, the Fund may be required to treat such uncertain tax positions as liabilities on its financial statements, which could cause the value of a Limited Partner's investment in the Fund to be reduced, thus reducing the amount that such Limited Partner would receive from distributions of the Fund. This paragraph is not a comprehensive discussion of non-U.S. tax consequences of investment in the Fund.

Tax-Exempt U.S. Persons

The term "Tax-Exempt U.S. Person" means a U.S. person within the meaning of the Code that is exempt from payment of U.S. Federal income tax. Generally, a Tax-Exempt U.S. Person is exempt from federal income tax on certain categories of income, such as dividends, interest, capital gains and similar income realized from securities investment or trading activity. This type of income is exempt even if it is realized from securities trading activity which constitutes a trade or business. This general exemption from tax does not apply to the "unrelated business taxable income" ("UBTI") of a Tax-Exempt U.S. Person. Generally, except as noted above with respect to certain categories of exempt trading activity, UBTI includes income or gain derived from a trade or business, the conduct of which is substantially unrelated to the exercise or performance of the Tax-Exempt U.S. Person's exempt

purpose or function. UBTI also includes (i) income derived by a Tax-Exempt U.S. Person from debt-financed property and (ii) gains derived by a Tax-Exempt U.S. Person from the disposition of debt-financed property.

In 1996, Congress considered whether, under certain circumstances, income derived from the ownership of the shares/interests of a non-U.S. corporation should be treated as UBTI to the extent that it would be so treated if earned directly by the shareholder. Subject to a narrow exception for certain insurance company income, Congress declined to amend the Code to require such treatment. Accordingly, based on the principles of that legislation, a Tax-Exempt U.S. Person investing in a non-U.S. entity taxed as a corporation such as the Fund should not realize UBTI with respect to an unleveraged investment in Interests. Tax-Exempt U.S. Persons are urged to consult their own tax advisors concerning the U.S. tax consequences of an investment in the Fund.

There are special considerations which should be taken into account by certain beneficiaries of charitable remainder trusts that invest in the Fund. Charitable remainder trusts should consult their own tax advisors concerning the tax consequences of such an investment on their beneficiaries.

Reporting Requirements for U.S. Persons. Any U.S. person within the meaning of the Code owning 10% or more (taking certain attribution rules into account) of either the total combined voting power or total value of all classes of shares/interests of a non-U.S. corporation (including non-corporations electing to be treated as a corporation such as the Fund) will likely be required to file an information return with the IRS containing certain disclosure concerning the filing beneficial owner, other beneficial owner, and the entity. The Fund has not committed to provide all of the information about the Fund or its Limited Partners needed to complete the return. In addition, a U.S. person within the meaning of the Code that transfers cash to a non-U.S. entity treated as a corporation will likely be required to report the transfer to the IRS if (i) immediately after the transfer, such person holds (directly, indirectly or by attribution) at least 10% of the total voting power or total value of such corporation (or entity treated as such for U.S. tax purposes) or (ii) the amount of cash transferred by such person (or any related person) to such corporation (or entity treated as such for U.S. tax purposes) during the twelve-month period ending on the date of the transfer exceeds \$100,000.

Furthermore, certain U.S. persons within the meaning of the Code will have to file Form 8886 ("Reportable Transaction Disclosure Statement") with their U.S. tax return, and submit a copy of Form 8886 with the Office of Tax Shelter Analysis of the IRS if the Fund engages in certain "reportable transactions" within the meaning of recently issued U.S. Treasury Regulations. Limited Partners required to file this report include a U.S. person within the meaning of the Code if the Fund is treated as a "controlled foreign corporation" and such U.S. person owns a 10% voting interest. In certain situations, there may also be a requirement that a list be maintained of persons participating in such reportable transactions, which could be made available to the IRS at its request. Moreover, if a U.S. person within the meaning of the Code recognizes a loss upon a disposition of Interests, such loss could constitute a "reportable transaction" for such beneficial owner, and such beneficial owner would be required to file Form 8886. Under new legislation, a significant penalty is imposed on taxpayers who fail to make the required disclosure. The penalty is generally \$10,000 for natural persons and \$50,000 for other persons (increased to \$100,000 and \$200,000, respectively, if the reportable transaction is a "listed" transaction). Limited Partners who are U.S. persons within the meaning of the Code (including Tax-Exempt U.S. Persons) are urged to consult their own tax advisors concerning the application of these reporting obligations to their specific situations and the new penalty discussed above.

Moreover, certain U.S. persons are generally required to file FinCEN Form 114 with the IRS with respect to financial interests in foreign financial accounts held by such U.S. persons during the previous calendar year if the aggregate value of such accounts exceeds \$10,000 at any time during the calendar year. Significant penalties may apply in respect of the failure to file FinCEN Form 114 in respect of foreign financial accounts. Thus, Tax-Exempt U.S. Persons should consult their tax advisors as to whether to file FinCEN Form 114 in respect of ownership of Interests of the Fund in their particular circumstances.

U.S. Foreign Account Tax Compliance Act. FATCA imposes a 30% withholding tax on U.S. persons holding offshore accounts on certain “withholdable payments” to “foreign financial institutions” which do not provide information about their U.S. accounts to the IRS. A “withholdable payment” is generally any U.S. source income, such as interest, dividends, rents, royalties and other fixed or determinable income (“FDAP”). See “Cayman Islands Taxation” above for a discussion of the inter-governmental agreement signed by the Cayman Islands with the United States.

Passive Foreign Investment Company Considerations. The Fund is expected to constitute a passive foreign investment company (“PFIC”) for U.S. federal income tax purposes. Under U.S. Treasury Regulations, a Tax-Exempt U.S. Person is generally not considered to be a shareholder in a PFIC. Therefore, the Tax-Exempt U.S. Person would generally not be subject to the PFIC rules, except to the extent that a “dividend” paid by such PFIC would be taxable under Subchapter F of the Code. Hence, a Tax-Exempt U.S. Person would be subject to tax under the PFIC regime in respect of an excess distribution from, or any gain realized on the sale of the shares of a PFIC in only limited circumstances. Additionally, these U.S. Treasury Regulations provide that a Tax-Exempt U.S. Person that is not taxable under the PFIC rules may not make a QEF election under Section 1295 of the Code, and the Fund will not provide the information necessary to enable any such Tax-Exempt U.S. Person to make such an election. Moreover, different rules may apply to certain types of tax-exempt entities, such as charitable remainder trusts.

Future Changes in Applicable Law

The foregoing description of U.S. and Cayman Islands income tax consequences of an investment in and the operations of the Fund is based on laws and regulations which are subject to change through legislative, judicial or administrative action. Other legislation could be enacted that would subject the Fund to income taxes or subject Limited Partners to increased income taxes.

The foregoing summary should not be considered to describe fully the income and other tax consequences of an investment in the Fund. Prospective investors are strongly urged to consult with their tax advisors, with specific reference to their own situations, with respect to the potential tax consequences of an investment in the Fund.

ERISA MATTERS

Most pension or profit sharing plans, individual retirement accounts and other tax-advantaged retirement funds are subject to the provisions of the Code, the Employee Retirement Income Security Act of 1974, as amended (“ERISA”), or both, which may be relevant to a decision as to whether such a fund should invest in the Fund. There may, for example, be issues as to whether such an investment is “prudent” for the investing entity, whether the investing fund is diversified, and whether the investing fund’s need for liquidity has been balanced against the restrictions on transferability and the lack of liquidity associated with an investment in the Fund. Since the Fund will be permitted to borrow, tax-

exempt Limited Partners may incur an income tax liability with respect to their share of the Fund's "unrelated business taxable income". Further, it is possible that the purchase of Interests may be or become a "prohibited transaction" with respect to the entity. It is recommended that any pension or retirement fund or similar entity, individual retirement account, or tax-exempt entity consult its own legal counsel before investing in the Fund.

If the aggregate amount invested in the Fund by benefit plan investors (i.e., employee benefit plans as defined in Section 3(3) of ERISA, that are maintained by non-governmental U.S. entities and/or churches, plans described in Section 4975(e)(1) of the Code (such as individual retirement accounts and entities the underlying assets of which include plan assets by reason of investment therein by benefit plan investors) were to equal or exceed 25% of the aggregate Capital Accounts of Limited Partners, equity participation by benefit plan investors would be considered "significant" under applicable Department of Labor regulations and, as a result, the underlying assets of the Fund would be deemed benefit plan assets for purposes of such regulations. If the assets of the Fund were deemed to be benefit plan assets of a benefit plan investor, the Investment Manager would be a fiduciary (as defined in ERISA and/or the Code) with respect to such plan and would be subject to the obligations and liabilities imposed upon fiduciaries by ERISA and/or the Code. Moreover, the Fund would be subject to various other requirements of ERISA and/or the Code. In particular, the Fund would be subject to rules restricting transactions involving "parties in interest" and prohibiting fiduciaries from engaging in transactions producing conflicts of interest. These rules could cause the Fund to violate ERISA and/or the Code unless the Fund obtained appropriate exemptions from the U.S. Department of Labor, allowing the Fund to conduct its operations as described herein. The General Partner intends to monitor the level of participation by benefit plan investors to avoid exceeding the 25% limitation. Notwithstanding the foregoing, the General Partner reserves the right, in its sole discretion, to waive the 25% limitation and thereafter to comply with the restrictions under ERISA.

The fiduciary, prohibited transactions and reporting provisions of ERISA and the Internal Revenue Code are highly complex, and the foregoing is merely a brief summary of some of them. Each qualified retirement plan should consult with its own counsel on the applicability and impact of ERISA before investing in the Fund.

GENERAL COMMENTS

Prevention of Money Laundering - United States. To ensure compliance with statutory and other generally accepted principles relating to anti-money laundering regulations and policies, including the Fund's and the General Partner's obligations under the USA Patriot Act, the Fund requires verification of identity and source of funds from all prospective investors in the Fund. Pending the provision of evidence satisfactory to the Fund, admission of an investor may be delayed in the sole discretion of the General Partner. If the General Partner or the Administrator has not received satisfactory evidence of an investor's identity within a reasonable period of time following a request for such evidence, the General Partner may refuse to admit the investor, in which event any subscription proceeds received by the Fund from such investor will be returned to the account of such investor. If the General Partner has suspicion that a payment to the Fund (by way of subscription or otherwise) contains the proceeds from criminal conduct, it may be required under applicable anti-money laundering and terrorist financing laws and regulations to report its suspicions to one or more enforcement or regulatory agencies, including various U.S. governmental agencies. In addition, in accordance with the USA Patriot Act and certain interpretations there under, certain U.S. financial institutions, such as SEC-registered broker-dealers, may seek to rely on customer identification procedures undertaken by the General Partner in order to discharge certain of their own anti-money laundering obligations. In such

situations, the General Partner may elect to undertake such procedures or to permit such reliance, which may involve sharing of customer identification information between the General Partner and the relying financial institution.

As mentioned above, the Fund, or the Administrator reserves the right to request such evidence as is necessary to verify the identity, address and source of funds of a prospective investor. The Fund or the Administrator also reserves the right to request such verification evidence in respect of a transferee of Interests. In the event of delay or failure by the prospective investor or transferee to produce any evidence required for verification purposes, the Fund or the Administrator may refuse to accept the application or (as the case may be) to register the relevant transfer, and (in the case of a subscription of Interests) any funds received will be returned without interest to the account from which such funds were originally debited.

The Fund or the Administrator also reserves the right to refuse to make any withdrawal payment or distribution to a Limited Partner if the General Partner or the Administrator suspects or is advised that the payment of any withdrawal or distribution money to such Limited Partner might result in a breach or violation of any applicable anti-money laundering or other laws or regulations by any person in any relevant jurisdiction, or such refusal is considered necessary or appropriate to ensure the compliance by the Fund, the General Partner or the Administrator with any such laws or regulations in any relevant jurisdiction. The Fund and the Administrator also reserve the right to request such verification evidence in respect of a redemption request.

The Fund and the Master Fund. Each of the Fund and the Master Fund was formed and registered in the Cayman Islands on March 27, 2025, as an exempted limited partnership under the Exempted Limited Partnership Act (As Revised) of the Cayman Islands (the “ELP Act”) with unlimited duration. A Cayman Islands exempted limited partnership is constituted by the signing of the relevant partnership agreement and its registration with the Registrar of Exempted Limited Partnerships in the Cayman Islands.

Notwithstanding registration, an exempted limited partnership is not a separate legal person distinct from its partners. Under Cayman Islands law, any rights or property of an exempted limited partnership (whether held in that partnership's name or by any one or more of its general partners) shall be held or deemed to be held by the general partner, and if more than one then by the general partners jointly, upon trust as an asset of the exempted limited partnership in accordance with the terms of the partnership agreement. Any debts or obligations incurred by the general partner in the conduct of the Fund's or the Master Fund's business are the debts and obligations of the relevant exempted limited partnership. Registration under the ELP Act entails that a exempted limited partnership becomes subject to, and the limited partners therein are afforded the limited liability (subject to the partnership agreement) and other benefits of, the ELP Act.

The business of an exempted limited partnership will be conducted by its general partner(s) who will be liable for all debts and obligations of the exempted limited partnership to the extent the exempted limited partnership has insufficient assets. As a general matter, a limited partner of an exempted limited partnership will not be liable for the debts and obligations of the exempted limited partnership save (i) as provided in the partnership agreement, (ii) if such limited partner becomes involved in the conduct of the partnership's business and holds himself out as a general partner to third parties or (iii) if such limited partner is obliged pursuant to section 34 of the ELP Act to return a distribution made to it within six months before an insolvency of the exempted limited partnership is insolvent and the limited partner has actual knowledge of such insolvency at that time.

Each of the Fund and the Master Fund will be terminated, wound up and dissolved in accordance with its partnership agreement. Copies of the Fund's and the Master Fund's partnership agreements, together with copies of the annual or periodic reports as detailed in this Memorandum, are available upon request from the Investment Manager and, upon reasonable notice, may be inspected, reviewed and obtained at the offices of the Investment Manager. It is not anticipated that limited partnership interests in either the Fund or the Master Fund will be certificated or listed on any stock exchange.

The General Partner shall maintain or cause to be maintained at the registered office of the Fund or at such other location as the General Partner may from time to time determine the following (together, the "Register"):

- a register of limited partners containing the name and address of each Limited Partner, the date on which a person became a Limited Partner and the date on which a person ceased to be a Limited Partner, for the purposes of section 29 of the ELP Act; and
- a record of limited partners' contributions containing a record of the amount and date of Capital Commitment or Capital Contribution (each as defined in the Partnership Agreement) of each Limited Partner and the amount and date of any payment representing a return of the whole or any part of the Capital Contribution to any Limited Partner, for the purposes of section 30 of the ELP Act.

A Limited Partner shall have no right to inspect other information contained in the Register (including, without limitation, information relating to other Limited Partners) unless specifically provided for in the Partnership Agreement.

The regulatory obligations described in the following paragraphs apply equally to both the Fund and the Master Fund.

Prevention of Money Laundering - Cayman Islands. In order to comply with legislation or regulations aimed at the prevention of money laundering and the countering of terrorist and proliferation financing, the Fund is required to adopt and maintain anti-money laundering procedures, and may require subscribers to provide evidence to verify their identity, address and source of funds. Where permitted, and subject to certain conditions, the Fund may also delegate the maintenance of its anti-money laundering procedures (including the acquisition of due diligence information) to a suitable person.

The Fund, and the Administrator on the Fund's behalf, reserve the right to request such information and documentation as it considers necessary to verify the identity, address and/or source of funds of a Limited Partner (i.e. a subscriber or a transferee and the identity of their beneficial owners/controllers (where applicable)). In some cases the General Partner, or the Administrator on the Fund's behalf, may be satisfied that full due diligence may not be required where a relevant exemption applies under applicable law. However, detailed verification information may be required prior to payment of any proceeds in respect of, or any transfer of, an Interest in the Fund.

In the event of delay or failure on the part of the subscriber, prospective subscriber or transferee in producing any information or evidence required for verification purposes, the Fund, or the Administrator on the Fund's behalf, may refuse to accept the application or (as the case may be) to register the relevant transfer, or if the application has already occurred, may suspend or redeem the Interest, in which case any funds received will be returned without interest to the account from which

they were originally debited.

The Fund, and the Administrator on the Fund's behalf, also reserve the right to refuse to make any redemption or dividend payment to a Limited Partner if the General Partner or the Administrator suspect or are advised that the payment of redemption or dividend proceeds to such Limited Partner may be non-compliant with applicable laws or regulations, or if such refusal is considered necessary or appropriate to ensure the compliance by the Fund or the Administrator with any applicable laws or regulations.

None of the Fund, the Investment Manager, the Administrator or their respective delegates, agents and affiliates will be liable for any loss suffered by a subscriber arising as a result of a refusal of, or a delay in processing, an application for Interests if such information and documentation as has been requested by the Fund, or the Administrator on behalf of the Fund, has not been provided by the subscriber in a timely manner.

The Cayman Islands Monetary Authority (the "Authority") has a discretionary power to impose substantial administrative fines upon the Fund in connection with any breaches by the Fund of prescribed provisions of certain regulatory laws and regulations of the Cayman Islands including the Mutual Funds Act and the Anti-Money Laundering Regulations (As Revised) of the Cayman Islands, as amended and revised from time to time, and upon the General Partner and/or any director or officer of the General Partner who either consented to or connived in the breach, or to whose neglect the breach is proved to be attributable. To the extent any such administrative fine is payable by the Fund, the Fund will bear the costs of such fine and any associated proceedings.

If any person resident in the Cayman Islands knows or suspects or has reasonable grounds for knowing or suspecting that another person is engaged in criminal conduct or is involved with terrorism or terrorist property and the information for that knowledge or suspicion came to their attention in the course of business in the regulated sector, or other trade, profession, business or employment, the person will be required to report such knowledge or suspicion to (i) the Financial Reporting Authority of the Cayman Islands or a nominated officer (appointed in accordance with the Proceeds of Crime Act (As Revised) of the Cayman Islands) if the disclosure relates to criminal conduct or money laundering, or (ii) a police officer of the rank of constable or higher, or the Financial Reporting Authority, pursuant to the Terrorism Act (As Revised) of the Cayman Islands, if the disclosure relates to involvement with terrorism or terrorist financing and terrorist property. Such a report shall not be treated as a breach of confidence or of any restriction upon the disclosure of information imposed by any enactment or otherwise.

By subscribing for Interests, subscribers consent to the disclosure by the Fund, the Investment Manager, the Administrator and their delegates, agents and affiliates, of any information about them to regulators and others upon request in connection with money laundering and similar matters both in the Cayman Islands and in other jurisdictions.

In accordance with the Anti-Money Laundering Regulations (As Revised) of the Cayman Islands and guidance issued by the Authority, the Fund and the Master Fund are required to appoint and have each appointed natural persons to serve as its Anti-Money Laundering Compliance Officer, Money Laundering Reporting Officer and Deputy Money Laundering Reporting Officer (the "AML Officers"). Subscribers may obtain details (including contact details) of the current AML Officers of the Fund, by contacting the Investment Manager.

The Fund is subject to laws that restrict it from dealing with entities, individuals, organizations and/or investments which are subject to applicable sanctions regimes.

Accordingly, the Fund will require the subscriber to represent and warrant, on a continuing basis, that it is not, and that to the best of its knowledge or belief its beneficial owners, controllers or authorized persons (“Related Persons”) (if any) are not; (i) named on any list of sanctioned entities, individuals, territories or countries maintained by the U.S. Treasury Department’s Office of Foreign Assets Control (“OFAC”) or pursuant to the European Union (“EU”), United Kingdom (“UK”) Regulations (to such extent such sanctions are extended by the UK Government to the Cayman Islands by virtue of Order in Council passed by the UK Government, as such lists may be amended from time to time) and/or Cayman Islands legislation, (ii) operationally based or domiciled in a country or territory in relation to which sanctions imposed by the United Nations, OFAC, the EU, the UK, and/or the Cayman Islands apply, or (iii) otherwise subject to sanctions imposed by the United Nations, OFAC, the EU, the UK (including as the latter are extended to the Cayman Islands by Statutory Instrument), or the Cayman Islands (collectively, a “Sanctions Subject”), or (iv) directly or indirectly affiliated with any country, territory, individual or entity named on an OFAC list or prohibited by any OFAC sanction programmes or on any sanctions list. Each subscriber will also be required to represent that subscription monies are not directly or indirectly derived from activities that may contravene Cayman Islands, United States federal or state, or international, laws and regulations, including anti-money laundering and terrorist financing laws and regulations. Where the subscriber or a Related Person is or becomes a Sanctions Subject, the Fund may be required immediately and without notice to the subscriber to cease any further dealings with the subscriber and/or the subscriber’s interest in the Fund until the subscriber ceases to be a Sanctions Subject, or a license is obtained under applicable law to continue such dealings (a “Sanctioned Persons Event”). The Fund, the General Partner and the Administrator shall have no liability whatsoever for any liabilities, costs, expenses, damages and/or losses (including but not limited to any direct, indirect or consequential losses, loss of profit, loss of revenue, loss of reputation and all interest, penalties and legal costs and all other professional costs and expenses) incurred by the subscriber as a result of a Sanctioned Persons Event.

In addition, should any investment made on behalf of the Fund subsequently become subject to applicable sanctions, the Fund may immediately and without notice to the subscriber cease any further dealings with that investment until the applicable sanctions are lifted or a license is obtained under applicable law to continue such dealings (a “Sanctioned Investment Event”). Should a Sanctioned Investment Event occur, the Fund may exercise its power to “side pocket” such investment, the consequences of which are disclosed further herein.

As a regulated mutual fund in the Cayman Islands, the Master Fund is also subject to the same statutory requirements aimed at preventing money laundering and terrorism that apply to the Fund. The Master Fund will discharge its obligations by implementing procedures substantially similar to the Fund.

Cayman Islands Mutual Funds Act

The Fund falls or will fall within the definition of a “Mutual Fund” in terms of the Mutual Funds Act and accordingly is or will be regulated in terms of that Mutual Funds Act. However, the Fund is not required to be licensed or employ a licensed mutual fund administrator since the minimum aggregate investment purchasable by a prospective investor in the Fund is equal to or exceeds US\$100,000 or its equivalent in any other currency.

The Fund is also a 'regulated feeder fund' for the purposes of the Mutual Funds Act and accordingly

the Master Fund is a 'mutual fund' and a 'master fund' for the purposes of the Mutual Funds Act. As such, the Master Fund is also registered with CIMA pursuant to Section 4(3) of the Mutual Funds Act and prescribed details of the Master Fund have been filed with the Authority.

As a regulated mutual fund, the Fund is or will be subject to the supervision of the Cayman Islands Monetary Authority (the "Authority"). The Fund must file this Memorandum and details of any changes that materially affect any information in this Memorandum with the Authority. The Fund must also file annually with the Authority accounts approved by an approved auditor, together with a return containing particulars specified by the Authority, within six months of its financial year end or within such extension of that period as the Authority may allow. A prescribed fee must also be paid annually.

The Authority may, at any time, instruct the Fund to have its accounts audited and to submit them to the Authority within such time as the Authority specifies. In addition, the Authority may ask the Directors to give the Authority such information or such explanation in respect of the Fund as the Authority may reasonably require to enable it to carry out its duty under the Mutual Funds Act.

The Authority shall, whenever it considers it necessary, examine, including by way of on-site inspections or in such other manner as it may determine, the affairs or business of the Fund for the purpose of satisfying itself that the provisions of the Mutual Funds Act and applicable anti-money laundering regulations are being complied with.

The Directors must give the Authority access to or provide at any reasonable time all records relating to the Fund and the Authority may copy or take an extract of a record it is given access to. Failure to comply with any supervisory request by the Authority may result in substantial fines.

The Authority has wide powers to take certain actions if certain events occur. For instance, it has wide powers to take action if it is satisfied that a regulated mutual fund:

1. is or is likely to become unable to meet its obligations as they fall due;
2. is carrying on or is attempting to carry on business or is winding up its business voluntarily in a manner that is prejudicial to its investors or creditors;
3. has contravened any provision of the Mutual Funds Act or of the Anti-Money Laundering Regulations (Revised);
4. is not being managed in a fit and proper manner; or
5. has a person appointed as Director, manager or officer that is not a fit and proper person to hold the respective position.

The powers of the Authority include, *inter alia*, the power to require the replacement of Directors and/or the Investment Manager, the power to appoint a person, at the expense of the Fund, to advise the Fund on the proper conduct of its affairs, the power to appoint a person, at the expense of the Fund, to assume control of the affairs of the Fund, including for the purpose of terminating the business of the Fund, and the power to cancel or impose conditions on any mutual fund registration granted under the Mutual Funds Act. There are other remedies available to the Authority including the ability to cancel the registration of the Fund and to apply to the courts of the Cayman Islands for approval of other actions, and requiring the Fund to re-organize its affairs in a manner specified by the Authority.

The Authority has a discretionary power to impose substantial administrative fines upon the Fund in connection with any breaches by the Fund of prescribed provisions of certain regulatory laws and regulations of the Cayman Islands including the Mutual Funds Act and the Anti-Money Laundering Regulations (Revised) of the Cayman Islands and upon any director or officer of the Fund who either consented to or connived in the breach, or to whose neglect the breach is proved to be attributable. To the extent any such administrative fine is payable by the Fund, the Fund will bear the costs of such fine and any associated proceedings.

Requests for Information. The Fund, the Master Fund, the General Partner or any of its or their directors or agents domiciled in the Cayman Islands, may be compelled to provide information, subject to a request for information made by a regulatory or governmental authority or agency under applicable law; e.g. by the Authority, either for itself or for a recognized overseas regulatory authority, under the Monetary Authority Act (As Revised), or by the Tax Information Authority, under the Tax Information Authority Act (As Revised) and associated regulations, agreements, arrangements and memoranda of understanding. Disclosure of confidential information under such laws shall not be regarded as a breach of any duty of confidentiality and, in certain circumstances, the Fund, the Master Fund, the General Partner and any of its or their directors or agents, may be prohibited from disclosing that the request has been made.

Cayman Islands Data Protection. The Cayman Islands Data Protection Act (As Revised) (the “DPA”) introduces legal requirements for the Fund and the Master Fund based on internationally accepted principles of data privacy. For the purposes of the DPA, the data controller in respect of any personal data provided in respect of Limited Partners and their respective representatives, directors, officers, agents or beneficial owners in respect of whom personal data is provided in relation to the Fund shall be the Fund or the General Partner. The Fund and the Master Fund have prepared a document outlining the Fund’s data protection obligations to investors in the Fund and the data protection rights of such investors (and individuals connected with investors) under the DPA (the “Privacy Notice”). The Privacy Notice sets out the purposes for which such personal data may be processed, the circumstances in which such data might be disclosed or transferred as well as other matters. The Privacy Notice is attached hereto as Exhibit A and is available to existing investors by contacting the General Partner.

The Fund has engaged the Administrator to act as data processor, as defined in the DPA. Pursuant to the NAV Agreement, the Administrator, as data processor, is permitted to do the following, including but not limited to, processing personal data (as defined in the DPA and the NAV Agreement) in order to provide services under the NAV Agreement and to carry out anti-money laundering checks and related actions; disclose or transfer the personal data to its affiliates, employees, agents, delegates, subcontractors, credit reference agencies, professional advisors or competent authorities for the provision of the services; and report tax or regulatory related information to competent bodies or authorities.

The Administrator, as data processor, shall, among others, only act on and process such personal data in accordance with the documented instructions of the Fund and the General Partner, unless otherwise prevented or required by applicable laws; ensure that all persons who have access to personal data have committed themselves to appropriate obligations of confidentiality; and upon termination of the NAV Agreement, the personal data shall, at the Fund’s option, be destroyed or returned to the Fund, unless applicable laws prevent the return or deletion of such personal data.

Prospective subscribers should note that, by virtue of making investments in the Fund and the associated interactions with the Fund and its affiliates and/or delegates (including completing the Subscription Agreement, and including the recording of electronic communications or phone calls where applicable), or by virtue of providing the Fund with personal information on individuals connected with the subscriber (for example directors, trustees, employees, representatives, shareholders, investors, clients, beneficial owners or agents) such individuals will be providing the Fund and its affiliates and/or delegates (including, without limitation, the Administrator) with certain personal information which constitutes personal data within the meaning of the DPA. The Fund shall act as a data controller in respect of this personal data and its affiliates and/or delegates, such as the Administrator, the Investment Manager and others, may act as data processors (or data controllers in their own right in some circumstances).

By investing in the Fund and/or continuing to invest in the Fund, subscribers shall be deemed to acknowledge that they have read in detail and understood the Privacy Notice and that the Privacy Notice provides an outline of their data protection rights and obligations as they relate to the investment in the Fund. The Subscription Agreement contains relevant representations and warranties.

Oversight of the DPA is the responsibility of the Ombudsman's office of the Cayman Islands. Breach of the DPA by the Fund could lead to enforcement action by the Ombudsman, including the imposition of remediation orders, monetary penalties or referral for criminal prosecution.

Cayman Islands Beneficial Ownership

Each of the Fund and the Master Fund is within the scope of the Beneficial Ownership Transparency Act, 2023 and associated Beneficial Ownership Transparency Regulations, 2024 ("**Beneficial Ownership Transparency Regime**"), which came into force on 31 July 2024. Each of the Fund and the Master Fund will be required to comply with the Beneficial Ownership Transparency Regime and failure to do so may result in an administrative fine payable by the Fund and/or the Master Fund. Pursuant to the Beneficial Ownership Transparency Regime, the Fund and the Master Fund may be required to provide certain beneficial ownership information to the Cayman Islands Registrar of Exempted Limited Partnerships.

OTHER PROVISIONS OF THE PARTNERSHIP AGREEMENT

The following description is a summary of certain provisions of the Fund's Partnership Agreement. All the prospective investors should carefully review the Partnership Agreement before making an investment decision. To the extent there are any inconsistencies, the Partnership Agreement will control.

Management. The Fund shall be managed by the General Partner and the Investment Manager, who shall have the sole discretion to make investments on behalf of the Fund. The General Partner may appoint such agents of the Fund, including the Investment Manager, as it deems necessary to hold such offices and exercise such powers of the General Partner in the management of the Fund and perform such duties in connection therewith as shall be determined from time to time by the General Partner. The General Partner and the Investment Manager shall each devote as much of its time and efforts to the affairs of the Fund as may, in its judgment, be necessary to accomplish the purposes of the Fund. Nothing herein contained shall prevent the General Partner, the Investment Manager or any of their respective members, officers, employees or affiliates, or any other Partner from conducting any other business, including any business within the securities industry, whether or not such business is in

competition with the Fund. Further, to the extent permitted by law, the General Partner and the Investment Manager disclaim and eliminate all fiduciary duties to the Fund and the Limited Partners.

Term. The Fund shall continue in perpetuity, unless dissolved upon the happening of any of the following events: (a) the decision of the General Partner for any reason whatsoever; (b) the withdrawal, bankruptcy, insolvency or dissolution of the General Partner, unless the business of the Fund is continued in accordance with the terms of the Partnership Agreement; or (c) a judicial decree of dissolution has been obtained.

In-Kind Distributions. In the discretion of the General Partner, following consultation with the Investment Manager, a Limited Partner may receive in-kind distributions from the Fund's portfolio. Such investments so distributed may not be readily marketable or saleable and may need to be held by such Limited Partner for an indefinite period of time. Any such in-kind distributions will not materially prejudice the Interests of the remaining Limited Partners.

Assignability of Limited Partner's Interest. Limited Partner Interests may not be transferred or assigned without the written consent of the General Partner. Upon such a transfer or assignment, the assignee shall become a Limited Partner only upon the execution of such agreements and other documents required by the General Partner.

Admission of New Partners. With the consent of the General Partner, additional Limited Partners may be admitted to the Fund on a monthly basis. In connection with the admission of a Partner to the Fund, such Partner shall, in advance of such admission and as a condition thereto, sign a copy of the Partnership Agreement or a supplement thereto pursuant to which it agrees to be bound by the terms of the Partnership Agreement.

Amendments to Partnership Agreement. The Partnership Agreement may be amended by the General Partner in any manner that does not adversely affect any Limited Partner; provided, however, that in any event the General Partner may amend the Partnership Agreement to correct ambiguities and inconsistencies identified by the General Partner. The Partnership Agreement may also be amended on the consent of both (i) the General Partner, and (ii) Limited Partner Interests that, as of the date determined by the General Partner, represent greater than 50% of all Limited Partner Interests.

In situations where the General Partner is required to obtain the consent of Limited Partners to an amendment to the Partnership Agreement, the General Partner may obtain such consent by way of "negative consent". Under this procedure, the General Partner would inform Limited Partners of the proposed amendment no later than 15 calendar days prior to the implementation of the amendment, and the amendment would be deemed to be approved if Limited Partners holding a simple majority in interest of Limited Partner Interests fail to object to such amendment within that time frame.

The General Partner may also use the negative consent procedure for other purposes, such as obtaining consent to: (i) actions and practices involving actual or potential conflicts between the interests of the General Partner or any of its related parties, on the one hand, and the Fund or the Limited Partners, on the other hand; and (ii) the admission of an additional general partner in situations where the admission of an additional general partner would result in a change in the actual control or management of the Fund.

Reports to Partners. Each Limited Partner will have access to monthly unaudited reports of the Fund's performance through the Administrator's online portal. As soon as reasonably practicable after the end of each Fiscal Year, each Limited Partner will also receive annual audited financial statements and

such additional tax information as shall enable such Limited Partner or former Limited Partner (or its legal representatives) to prepare its Federal income tax return in accordance with the laws, rules and regulations then prevailing. The books of account and records of the Fund shall be audited, in accordance with GAAP, as of the end of each Fiscal Year by independent certified public accountants designated from time to time by the General Partner.

Exculpation. The General Partner, the Investment Manager, affiliates of the General Partner or the Investment Manager, and any of their respective members, partners, officers, and employees (collectively, “Affiliates”) will not be liable to any Partner or the Fund for any acts or omissions arising out of, or in connection with, the Fund, any investment made or held by the Fund or the Partnership Agreement unless such action or inaction constitutes fraud, willful misconduct, or gross negligence or for any act or omission of any broker or agent of the Fund, provided that such broker or agent was selected, engaged or retained by the Fund in accordance with the standard above. Each of the General Partner, the Investment Manager and Affiliates may consult with counsel and accountants in respect of the Fund’s affairs and be fully protected and justified in any action or inaction that is taken in accordance with the advice or opinion of such counsel or accountants, provided that they shall have been selected in accordance with the standard above. The foregoing provisions will not be construed so as to provide for the exculpation of the General Partner, the Investment Manager or any Affiliate for any liability (including liability under Federal securities laws which, under certain circumstances, impose liability even on persons that act in good faith), to the extent (but only to the extent) that such liability may not be waived, modified or limited under applicable law, but will be construed so as to effectuate the foregoing provisions to the fullest extent permitted by law.

Indemnification. To the fullest extent permitted by law, the Fund shall indemnify, defend, and hold harmless the General Partner, the Investment Manager each Affiliate, and the legal representatives of any of the foregoing (each, an “Indemnified Party”), from and against any loss, cost or expense suffered or sustained by an Indemnified Party by reason of (i) any acts, omissions, or alleged acts or omissions arising out of, or in connection with, the Fund, any investment made or held by the Fund or the Partnership Agreement, including, without limitation, any judgment, award, settlement, reasonable attorneys’ fees, and other costs or expenses incurred in connection with the defense of any actual or threatened action, proceeding or claim, provided that such acts, omissions, or alleged acts or omissions upon which such actual or threatened action, proceeding or claim are based did not constitute fraud, willful misconduct or gross negligence by such Indemnified Party, or (ii) any acts or omissions, or alleged acts or omissions, of any broker or agent of any Indemnified Party, provided that such broker or agent was selected, engaged, or retained by the Indemnified Party in accordance with the standard above. The Fund shall, in the sole discretion of the General Partner, advance to any Indemnified Party reasonable attorneys’ fees and other costs and expenses incurred in connection with the defense of any action or proceeding that arises out of such conduct. If such an advance is made by the Fund, the Indemnified Party shall agree to reimburse the Fund for such fees, costs, and expenses to the extent that it shall be determined that it was not entitled to indemnification. The foregoing provisions will not be construed so as to provide for the indemnification of the General Partner, the Investment Manager or any Affiliate for any liability (including liability under Federal securities laws which, under certain circumstances, impose liability even on persons that act in good faith), to the extent (but only to the extent) that such indemnification would be in violation of applicable law, but will be construed so as to effectuate the foregoing provisions to the fullest extent permitted by law.

Types of Instruments in which the Fund May Invest. The Fund may invest, on margin or otherwise, in any of the following, whether readily marketable or not: Digital Assets, Portfolio Companies, securities and other financial instruments of United States and foreign entities, including, without

limitation, capital stock; shares of beneficial interest; partnership interests and similar financial instruments; interests in real estate and real estate related assets; bonds, notes and debentures (whether subordinated, convertible or otherwise); currencies; commodities; interest rate, currency, commodity, equity and other derivative products, including, without limitation, (i) futures contracts (and options thereon) relating to stock indices, currencies, United States Government securities, securities of foreign governments, other financial instruments and all other commodities (ii) swaps, options, warrants, caps, collars, floors and forward rate agreements, (iii) spot and forward currency transactions and (iv) agreements relating to or securing such transactions; mortgage-backed obligations issued or collateralized by U.S. Federal agencies (including, without limitation, fixed-rate pass-throughs, adjustable rate mortgages, collateralized mortgage obligations, stripped mortgage-backed securities and REMICs); loans; credit paper; accounts and notes receivable and payable held by trade or other creditors; trade acceptances; contract and other claims; executory contracts; participations; mutual funds; exchange traded funds and similar financial instruments; money market funds; obligations of the United States or any state thereof, foreign governments and instrumentalities of any of them; commercial paper; certificates of deposit; bankers' acceptances; choses in action; trust receipts; and any other obligations and instruments or evidences of indebtedness of whatever kind or nature; in each case, of any person, corporation, government or other entity whatsoever, whether or not publicly traded or readily marketable, and to sell Digital Assets or securities short and cover such sales.

EXHIBIT A – PRIVACY POLICY

Cayman Privacy Notice

This privacy notice (**Cayman Privacy Notice**) explains the manner in which the Fund collects, processes and maintains personal data about you pursuant to the Data Protection Act (Revised) of the Cayman Islands, as amended from time to time and any regulations, codes of practice or orders promulgated pursuant thereto (**DPA**).

The General Partner is committed to processing personal data in accordance with the DPA. In its use of personal data, the General Partner will be characterised under the DPA as a 'data controller', whilst certain of the Fund's service providers, affiliates and delegates may act as 'data processors' under the DPA.

Interpretation: For the purpose of this Cayman Privacy Notice **you** or **your** shall mean, you, the Subscriber or potential subscriber for Interests in the Fund and shall also include any individual connected to you which could include: any person owning or controlling the Subscriber, having a beneficial interest in the Subscriber or being a beneficial owner under applicable legislation, any person for whom the Subscriber is acting as agent or nominee, any trustee, settlor or protector of a trust, and the directors, managers, members, officers and employees of all such persons. **We, us or our** means the General Partner acting as general partner of the Fund in its capacity as data controller of the personal data.

Personal data: By virtue of making an investment in the Fund, the General Partner, the Investment Manager, the Administrator, any anti-money laundering officer service provider, the registered office provider and their respective affiliates and delegates (**Authorised Entities**) may collect, record, store, transfer and otherwise process personal data¹ by which individuals may be directly or indirectly identified.

Much of the personal data will be provided through completion of subscription forms, investor questionnaires and other information provided by you in writing (including any anti-money laundering, identification, and verification documentation), in person, by telephone (which may be recorded), fax, electronically or by any other means.

¹ Examples of personal data include: name, title, date of birth, age, gender, nationality, picture, national identification number, usernames, email address, residential address, postal address, telephone / mobile / fax number, family structure, siblings, offspring, source of wealth, personal assets, bank account numbers and income details, tax identification number, financial and investment qualification, shareholder reference number, payment details and other details of products and services purchased by the client, power of attorney information, job titles, employment history, employer details, personal data contained in emails, data regard the client's preferences in connection with marketing communications, personal data obtained pursuant to standard criminal record checks, data obtained further to the Fund's standard anti-money laundering, beneficial ownership and client due diligence checks. It may also include data which, when aggregated with other data, enables an individual to be identified, such as an IP address and geolocation data.

We may combine personal data that you provide to us with personal data that we collect from, or about you. This may include personal data collected in an online or offline context including from credit reference agencies and other available public databases or data sources, such as news outlets, websites and other media sources and international sanctions lists.

If you are a nominee investor or a corporate entity, this Cayman Privacy Notice will be relevant for those individuals connected to you and you should transmit this document to such individuals for their awareness and consideration.

Why is your personal data processed: Your personal data will be processed fairly and for lawful purposes, including:

- A where the processing is necessary for the Fund to perform a contract to which you are a party or for taking pre-contractual steps at your request, which may include the following circumstances:
 - (a) to operate the Fund, including managing and administering the Fund on an on-going basis which enables the Fund and its investors to satisfy their contractual duties and obligations to each other;
 - (b) to process your subscription, investment or redemption in the Fund or any payment or distribution to you, such as recording your information in the registers and accounts of the Fund;
 - (c) to send you statements in relation to your investment in the Fund;
 - (d) to facilitate the continuation or termination of the contractual relationship between you, other investors and the Fund; and/or
 - (e) to administer and facilitate the transfer of funds and other transactions between you, other investors and the Fund;
- B where the processing is necessary for compliance with any legal, tax or regulatory obligation to which the Fund is subject, which may include the following circumstances:
 - (a) to undertake investor due diligence and on-boarding checks;
 - (b) to carry out know-your-client, client due diligence, anti-money laundering, counter-terrorist financing and proliferation financing checks of investors (and where applicable, their controllers and beneficial owners);
 - (c) to comply with requests from regulatory, governmental, tax and law enforcement authorities;

- (d) to prevent and detect fraud;
- (e) surveillance and investigation activities;
- (f) to carry out audit checks and to instruct auditors;
- (g) to comply with FATCA, CRS and other comparable legislation;
- (h) to comply with applicable sanctions and embargo legislation; and/or
- (i) to maintain statutory registers;

C where the processing is for the purposes of legitimate interests pursued by the Fund or by an Authorised Entity to whom the data are disclosed, which may include the following circumstances:

- (a) to comply with a legal, tax, accounting or regulatory obligation to which the Fund or such Authorised Entity is subject;
- (b) to assess and process requests you make;
- (c) to send updates, information and notices or otherwise corresponding with you in connection with your investment in the Fund;
- (d) to verify the identity of the Fund to third parties in connection with any actual or proposed investments and/or for any purpose which the Fund considers is necessary or desirable;
- (e) to assist the Fund in the improvement and optimisation of our services, advertising and marketing;
- (f) to investigate any complaints, or pursue or defend any claims proceedings or disputes (where domestic or foreign);
- (g) to provide you with, and inform you about, our investment products and services;
- (h) for risk management and risk controlling purposes relating to the Fund;
- (i) to comply with audit requirements;
- (j) to ensure internal compliance with our policies and procedures;
- (k) to seek professional advice, including legal advice;
- (l) to facilitate business asset transactions involving the Fund or related entities;

- (m) to monitor communications to/ from us (where permitted by law);
- (n) to protect the securities and integrity of our IT systems;
- (o) for direct marketing purposes;
- (p) to help detect, prevent, investigate, and prosecute fraud and/or other criminal activity, and share this data with legal, compliance, risk and managerial staff to assess suspicious activities, and against fraud, breach of confidence or theft of proprietary materials; and/or

D *where you otherwise consent to the processing of personal data for any other specific purpose.*

As a data controller, we will only use your personal data for the purposes for which we collected it. If we need to use your personal data for an unrelated purpose, we will contact you.

Automated decision-making: We do not envisage that any decisions will be taken about you using fully automated means, however we will notify you in writing if this position changes.

Disclosure of personal data: We anticipate that we will share your personal data with the Authorised Entities for the purposes set out in this Cayman Privacy Notice as well as advisers (e.g. auditors, legal counsel and tax advisers) to the Fund and/or the Investment Manager relating to or in connection with subscriptions to the Fund. We may also share relevant personal data where it is lawful to do so and necessary to comply with our contractual obligations or your instructions or where it is necessary or desirable to do so in connection with any regulatory reporting obligations. In exceptional circumstances, we will share your personal data with regulatory, prosecuting and other governmental agencies or departments, and parties to litigation (whether pending or threatened), in any country or territory including to any other person where we have a public or legal duty to do so (e.g. to assist with detecting and preventing fraud, tax evasion and financial crime or compliance with a court order). At times, it may also be necessary to share relevant personal data with (i) a prospective service provider of the Fund including one which is replacing an existing service provider or (ii) to people or companies where required in connection with a potential or actual corporate restructuring, merger, acquisition or takeover of the Fund and/or the Investment Manager.

We will not sell your personal data. Any transfer of personal data outside of the Cayman Islands shall be in accordance with the requirements of the DPA. Where necessary, we will ensure that separate and appropriate legal agreements are put in place with the recipient of that data. For example, where data is to be transferred to a person in a country which does not provide an adequate level of data protection, the Fund will ensure it puts in place appropriate safeguards, such as contracts which seek to ensure that any data processor is contractually bound to provide an adequate level of protection in respect of the personal data transferred to it and that any such transfer complies with the requirements of the DPA.

Your rights: You have certain rights under the DPA, including:

- (a) the right to be informed as to how we collect and use your personal data;
- (b) the right to obtain a copy of your personal data;
- (c) the right to require us to stop direct marketing;
- (d) the right to have inaccurate or incomplete personal data corrected;
- (e) the right to withdraw your consent and require us to stop processing or restrict the processing, or not begin the processing of your personal data;
- (f) the right to be notified of a data breach (unless the breach is unlikely to be prejudicial);
- (g) the right to obtain information as to any countries or territories outside the Cayman Islands to which we, whether directly or indirectly, transfer, intend to transfer or wish to transfer your personal data, general measures we take to ensure the security of personal data and any information available to us as to the source of your personal data,
- (h) the right to complain to the Office of the Ombudsman of the Cayman Islands. You can access their website here: ombudsman.ky; and
- (i) the right to require us to delete your personal data in some limited circumstances.

Please note that if you do not wish to provide us with requested personal data or subsequently withdraw your consent, you may not be able to invest in the Fund or remain invested in the Fund as it will affect our ability to provide our services to you and manage your investment.

Retention of Personal Data: The personal data shall not be held by the Fund for longer than necessary with regard to the purposes of the data processing.

Changes to Cayman Privacy Notice: We encourage you to regularly review this and any updated Cayman Privacy Notice to ensure that you are always aware of how personal data is collected, used, stored and disclosed.

Contact us: Please contact the Fund if you have any questions about this Cayman Privacy Notice, the personal data we hold about you or to discuss your data protection rights.